Price To Scale

2nd Edition

Practical Pricing For Your High-Growth SaaS Startup

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Price to Scale: *Practical Pricing for Your High-Growth SaaS Startup*

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PREFACE

Software Pricing is not a new topic. There's a ton of literature out there that covers either theoretical understanding of sophisticated price elasticity and demand curves or bite-sized "practical" blogs names as the "5 basic models" or "7 pricing strategies" which provide some insight but in reality exist to serve as lead-generation vehicles to persuade the reader to further engage in the consulting services of the company that has authored the article.

A practical end-to-end guide to creating and operationalizing software packaging and pricing has still been lacking. This book aims to fill that void.

Pricing is so important an activity that it impacts decisions right from company strategy and product positioning down to day-to-day sales operations. But due to its perceived complexity, both product managers and product marketers tend to avoid integrating it into their regular launch processes, often resulting in last minute ad-hoc pricing decisions. Often at fast growing startups, an inefficient pricing model eventually leads to a breaking point where a total, painful pricing overhaul has to be done.

Getting consultants to do this work isn't guaranteed to work either and is often too expensive. Just the other day, I saw the following opinion echoed within a Product Marketing community that I am a member of. A product marketing leader at a top-tier valley startup posted, *"My past company used [well known consulting company] and paid a few hundred thousand dollars and the pricing recommendations they gave killed our ACV and I had to revamp pricing and rip and replace their recommendation"*.

In this book, my goal is to arm you, the Founder/PM/PMM/Revenue Leader, with the tools to make a sound pricing decision that aligns company and product strategy with the incentives of the market and the sales team. My aim is to provide a soup to nuts understanding of the process of pricing a SaaS or software product.

The book seeks to keep away from complex analysis for the most part, while still gunning for completeness of the exercise. The hope is to cut through the noise and distill a practical and actionable approach on how to effectively and correctly position, package, and price a software product and/or product portfolio in a B2B setting.

Learning by Observation - My 'Aha!' Moment on the Importance of Pricing and Packaging

I worked at Medallia for close to five years from 2011 to 2016 in a phase where the company went from bootstrapped to one of Sequoia's biggest investments in enterprise software in that time frame, where revenue grew from around 20M to 120M. In this high growth environment, I saw the company expand out of hospitality as its core industry segment into financial services, retail, and other industries. I also saw how a very professional enterprise sales team was able to raise ASPs (Average Selling Prices) by a significant degree.

The price of our software could vary manifold between industries, from a few hundred thousand dollars to multi-million dollar deals. The business school concept of price elasticity becomes very clear when a financial services company pays 3-4x more than a retail company for roughly the same software capability.

Additionally, with a better value driven sales process, Medallia's post-VC money enterprise sales team did much better overall than the pre-VC money team. Every step in the sales process tied back to customer value, changing the conversation from a software 'tool' to a strategic change in the prospect company's direction.

And while even Medallia wasn't perfect in how it went about pricing, it was clear how much impact a value-based pricing model, with the appropriate communication of value, could have on revenue and valuation.

Why Now?

We are seeing exponential growth in Software as a Service (SaaS) companies. It is not limited to the United States alone, but emerging markets - the likes of India - have hopped onto the SaaS bandwagon and are motoring on. Globally speaking, Gartner predicts that by 2021 cloud revenues will total $278 Billion[1]. That is a staggering amount of money.

In terms of market share, SaaS is expected to represent 45% of the total enterprise software market by 2023. SaaS companies are also drawing in major funding in technology today, with notable players occupying seven of the top 10 verticals by venture capital deal activity, and three of the top 10 by investments.

As this growth happens, what will separate the winners from the losers is not just the product. The world is littered with excellently engineered products that could not find product-market fit and withered away. At the same time, there are plenty of examples of growing companies that truly have patch-work products that just seem to work well enough, but with the right GTM approaches and a well aligned price for their chosen buyer, they have managed to find space for themselves.

It is my hope that the insights from this book can help the next "little startup that could". (*Cultural reference to the children's classic called "The Little Engine That Could"*)

[1] https://www.gartner.com/en/newsroom/press-releases/2018-09-12-gartner-forecasts-worldwide-public-cloud-revenue-to-grow-17-percent-in-2019

You are probably leaving money on the table

If you are selling software, chances are that you have a lot more room to maneuver than you think. You can better sell the value of specific capabilities, set a better pricing metric, or design a higher revenue generating pricing structure.

The beauty of software is that it is generally not a commodity (more the case with b2b than b2c software), which means price isn't your buyer's most important consideration.

Which also means that increasing your buyer's perception of the value will enable you to raise prices. A well positioned packaging and pricing product offer will help you do just that.

Additionally, high growth software companies do tend to obsess initially over new logo acquisition (as they should), which inherently incents them to not risk pricing high. As they grow their brand's strength also grows, and so does their pricing power. This is why companies tend to undergo an overhaul of pricing at each significant growth stage so that they can monetize their added value to the market.

Is this book for you?

This book is for you if you have been handed the challenge of drafting or fixing pricing for your company.

This book is also for you if you are the lone ranger Product Manager/Marketer who wants to design pricing for a specific product that you are responsible for.

Finally, this book is also for Execs and/or Founder/s who have considered hiring an external consultant or expert to do this for their companies.

This book is **not** for you if :

You are looking for high, e.g. 95%+, precision pricing in the market. This level of accuracy is usually needed when you have a functional pricing and packaging model that can provide incremental optimization. This tends to be the case with established companies that are selling standardized SKUs at scale and tends to be a need at the pre-IPO or post-IPO life cycle where every $ of incremental revenue means a significant impact on the company's valuation. This also tends to be the case with pricing and optimization for fixed inventory products like airline tickets, hotel bookings, or car rentals.

What can you learn from this book?

At a very rudimentary level creating pricing and packaging, requires you to make decisions on four key aspects:

1. **Packaging:** What will be your product 'offers'/'packages'?
2. **Pricing Metric:** Which metric or set of metrics will drive your core pricing model?
3. **Pricing Structure:** How will you structure the price that is driven based on the pricing metric?
4. **Price Point**: What specific price point will you charge?

This book will help you get to those four key decisions, as well as guide you on how to operationalize the pricing within your organization.

Here are some key focal areas that this book seeks to untangle and explain:

- **Positioning**
    - Why positioning is the core to pricing
    - Basics of product positioning
    - Validating positioning prior to packaging

- Packaging
    - Why packaging matters more than pricing
    - How to package your product for best fit with your customer base
    - Approaches to help you surface maximum product value
- Pricing
    - The art of selecting the right pricing variable
    - Options to set the right pricing structure
    - Quantitative and qualitative pricing research methods
    - Selecting the price point itself
    - Special considerations such as expansions and renewals
- Rollout
    - The bill of materials required to launch pricing in your organization
    - How to think about a pricing page on your website
    - The basics of pricing operations
- Monitoring
    - How to measure the success of your pricing model

Why listen to me?

I am not a pricing expert with decades of pricing experience. I am a Marketing leader who learned the nuts and bolts of software pricing and packaging by reading, experimenting, and talking to other pricing experts. Based on a logical sequence of steps, I was able to increase product ASPs for pricing and packaging at my own firm, while increasing my sales team's satisfaction with the new pricing model.

I am writing the book that I wanted to read before I commenced on my own pricing journey. The hope is that you can understand and easily apply the sequence of steps offered in this book to design your own pricing and packaging, without feeling the need to bring in external consultants or feeling like this is rocket science. It's not.

Additionally, my aim is to offer a wider perspective of how these steps and decisions vary for companies in different stages of growth. I've tried to do this by offering insights from my own experience, but more importantly the experience of real pricing gurus who have worked on initiatives for companies like Oracle, Gainsight, Citrix, Mixpanel, Rubrik, Verint as well as from the established pricing consultancy, Simon Kucher Partners.

THE 5-STEP PRICING TRANSFORMATION FRAMEWORK
Your Roadmap to Success

It's important to recognize that pricing isn't just about placing a price point on a product. It's a strategic exercise that touches every part of your business. We've designed this 5-step framework that when sequentially applied across these steps will help take you through the process of a pricing strategy exercise. (*Note that diagnosing a pricing issue, is then conversely looking at all these steps from the bottom-up.*)

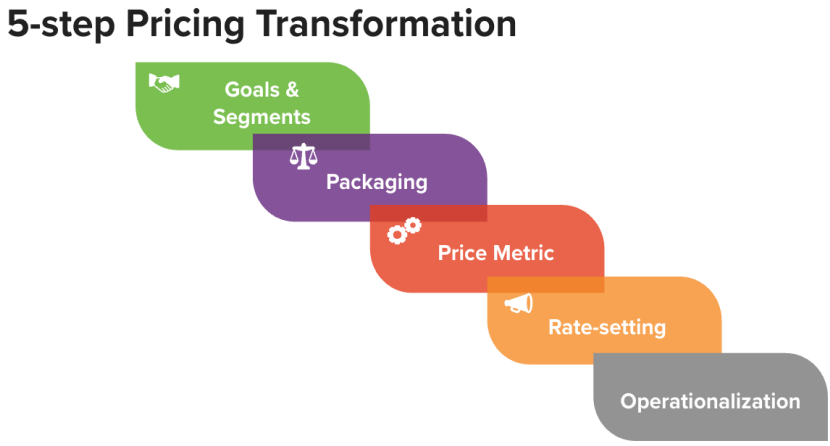


Fig.1 : 5-step Pricing Transformation Framework

Step 1: Goals & Segments - Setting the Foundation

The first step in any pricing transformation is to clarify your goals and identify your customer segments. Without a clear understanding of what your company aims to achieve—whether it's boosting margins, capturing market share, or reducing costs—your pricing efforts may fall short. Additionally, there needs to be complete clarity of "who" your customers are, i.e. what segments are you selling into and what are their Ideal Customer Profiles (ICP).

In many cases, pricing problems stem from a lack of alignment within the executive team. Different leaders may be advocating for different pricing strategies, each with their own assumptive goal and understanding of customers segments.

This happens because there's often no clear consensus on the company's go-to-market strategy or an updated ICP. Misalignment at this stage can lead to significant downstream issues, where there is often a lot of confusion, arguing and friction. All the while packaging and pricing that is created as a result of misalignment will likely not resonate with your target customers. There are many epic cases of failure with this being the root cause. In fact, most pricing problems are truly problems of misalignment at this stage.

Here's the bottom line: alignment is key. When everyone is on the same page about your strategy and segments, everything else flows more smoothly.

In fact, later in the book we dedicate a small chapter to a case study on organizational alignment at Citrix and usage of the ADKAR model by Prosci for change management.

Step 2: Positioning & Packaging - Designing Offers That Resonate

With your goals and segments clear, the next step is to focus on packaging (and the corresponding positioning). Packaging isn't just about bundling features; it's about creating offers that make sense for your specific customer segments.

For example, it's common to see companies start by creating a "good-better-best" pricing structure and slotting features into three plans. But when done without a deep understanding of what each segment truly values, this approach can backfire.

Imagine throwing all your enterprise features into a high-end package without really understanding what your enterprise customers need. You might end up with customers choosing a package that doesn't fit them or, worse, discounting heavily just to make a sale. This can lead to what's known as "shelfware," where customers pay for features they don't use, which ultimately harms your long-term financial results.

Or when your packaging is too granular it slows down sales cycles and can actually work well for bespoke enterprise type deals, but this will completely not work for a mid-market customer segment as these move quickly and the adage of "time kills all deals" applies.

Step 3: Price Metric - Aligning Pricing with Value

The next decision around pricing metric selection is to be made independent of package design. It is most often a step considered after package design.

The price metric is how you capture value from your customers. This is where you decide whether to charge based on usage, subscription, or another model. The right price metric aligns with your customer's perception of value and your business's revenue model.

For instance, in the early stages of a company, a usage-based pricing model might be appropriate as it encourages adoption by reducing upfront costs. But as this company grows, it may seek more predictable revenue, and might shift to a user-based pricing metric.

Or consider a case of launching a new AI-based SaaS product, you may encounter many considerations around pricing this product. The existing product category may still be entrenched with a user-based pricing model, however your product will drastically reduce user count as it automates a lot of work humans were doing. Additionally, with an AI-based product the ongoing cost implications are non-trivial, which increases the need to select a usage-based pricing metric. Even here the specific metric within the realm of usage-based pricing (execution, resolution, by unit tokens, or by output tokens, etc.) needs to be a carefully considered decision that helps both you and your customers win.

The point needs to be made here that many companies will combine Step 2 & 3 and introduce pricing metric as the primary way by which packages are differentiated – this is not a smart decision because you signal to your customers that the quantity of the product is how you will tier the offers and not by differing customers needs. We recommend treating it as a separate decision where packaging is first about the capabilities offered in the product and not the quantity of usage.

Step 4: Rate-setting - Finding the Right Price Points

Once the two most important decisions/levers have been made around Packaging and Pricing Metric, it's now finally time to focus on rate-setting—choosing the actual price points. This is where the rubber meets the road in terms of pricing.

Rate-setting should reflect your overall strategy, market conditions, and the Customers' willingness to pay . It's a complex step that involves understanding pricing psychology, market competition, and customer expectations. For example, while a conjoint analysis might suggest a specific price point, you'll need to consider how this aligns with your customer's perceived value and your competitive landscape.

Also, as much as qualitative and quantitative research may provide detailed answers, it is always important to test them before launching broadly as the main offering or line-up.

Step 5: Operationalization

The final step is about the structure that helps your pricing strategy actually succeed on a day-to-day basis.

Operationalizing pricing is crucial to ensuring that a company's pricing strategy is effectively implemented and drives the desired business outcomes. This phase involves integrating the new pricing model into every aspect of the business, requiring the alignment of systems, processes, and teams to ensure smooth adoption.

Essential tasks include instrumenting the pricing metric, implementing either a basic calculator or CPQ system and integrating with an ERP and/or Billing system. Depending on complexity these implementations can take months or even years and can make or break the pricing strategy.

Additionally, it requires effective sales enablement, deal management (Deal Desk), discounting policy setup and enforcement.

The next chapters will take you through all the five steps one by one.

STEP 1
Segmentation

In this chapter we are assuming that the 1st level alignment for a pricing strategy project around goals for the pricing project has already happened.

Segmentation is all about dividing up your potential customer base into smaller, more focused groups that share specific characteristics and needs from your product category. Segmenting well starts with a clear understanding of the dynamics of groupings of customers – what are their needs? what are their common attributes? how do they value products like yours? etc.

Let's break it down by looking at two common segments in horizontal B2B SaaS companies: mid-market companies and enterprise giants. Both might need technology solutions, but they have very different expectations and requirements.

Mid-market companies are generally the scrappy up-and-comers. They've grown beyond the startup phase and are now looking for software that can scale with them without breaking the bank. They need tools that are easy to implement, offer flexibility, and don't require a ton of internal resources to manage. Price sensitivity is key here, so they're often looking for a solution that gives them the most bang for their buck. They value simplicity, speed, and ROI, and they're not looking to spend months or years deploying a new system.

On the flip side, enterprise technology segments are the big players—the tech giants with complex needs. These companies have established

processes, huge teams, and a laundry list of requirements. They're not just looking for software; they need robust, scalable solutions that can integrate with the multiple systems they're already using. Security, compliance, customization, and top-notch support are non-negotiable for them. They're willing to invest significant time and money into a solution, but they expect it to be tailored to their unique needs and to deliver high reliability and performance at scale.

Generally, in order to truly get in the shoes of a company in either segment, you will want to create an Ideal Customer Profile. An ICP is a detailed description of a hypothetical company or customer that would get the most value from your product or service and, in turn, provide the most value to your business. It's essentially a blueprint for the type of customer you want to attract and retain.

Here is a simplified example of ICPs for both segments mentioned above:

Attribute	Mid-Market ICP	Enterprise ICP
Industry	SaaS companies, tech startups transitioning to scale-up phase	Large multinational technology companies, including IT services and hardware providers
Company Size	100 to 500 employees	5,000+ employees
Annual Revenue	$10M to $50M	$500M+
Growth Stage	Post-startup, experiencing rapid growth	Established market leaders focusing on maintaining competitive advantage
Decision-Making Process	Fast, involving a small team of executives (CTO, COO, VP of Operations)	Lengthy, involving multiple stakeholders (CIO, CTO, CFO, heads of business units)
Buying Triggers	- Recent funding round - Rapid growth - Need for enhanced operational efficiency - Upcoming product launch	- Digital transformation initiative - IT overhaul - Merger or acquisition - Regulatory changes

The problem that very often occurs in a company is ICP Drift and a gradual confusion around “who” the product is being sold to. ICP Drift refers to the gradual misalignment or deviation of a company's Ideal Customer Profile (ICP) from its original definition. This can happen over time as the company evolves and the sales teams begin to focus on different types of customers than in the original plan docs.

Now in this new state of play a pricing problem cannot be resolved without getting a fresh understanding and alignment in ICP definition. Often differing assumptions about ICP will lead to different pricing strategy recommendations inside a company. Many times these hidden assumptions lead to months or even years of wasted efforts (amongst the rotating hire/fire cycle of employees) without agreement on the “who” we are even selling to.

STEP 2
Positioning & Packaging

Positioning

Positioning is how you carve a place of influence in your buyer's mind.

> l *"Positioning is not what you do to the product; it's what you do to the mind of the prospect. It's how you differentiate your brand in the mind. Positioning compensates for our over-communicated society by using an oversimplified message to cut through the clutter and get into the mind. Positioning focuses on the perceptions of the prospect not on the reality of the brand."*
>
> - Al Ries, Author of 'Positioning: The Battle for Your Mind. Warner Books. 1981

There is a scene in the TV series *Man Men* that has one of the most striking examples of positioning that I've ever seen depicted on screen. If you haven't seen *Mad Men*, I suggest watching the first episode of the first season, or simply search for *"it's toasted mad men"* on Youtube so you can follow along.

As the Creative Head of an advertising firm, the show's protagonist, Don Draper is charged with repositioning cigarettes for a major client, *Lucky Strike* during a time when Big Tobacco companies were under considerable fire. There was growing medical evidence that cigarettes were injurious and fatal, in many cases. To comply with FDA regulations, tobacco companies had to work on messaging that

did not indicate that cigarettes had any health benefits. While Lucky Strike did not have any differentiating element when compared to any of their competitors, what Don Draper did for them was that he focused on Lucky Strike's buyer. He honed in on one part of their manufacturing process, which was the toasting of tobacco leaves to dry and cure them. He then came up with a simple tagline that said, "It's Toasted."

Here's why this was a stroke of genius by Don Draper:

1. He understood that the cigarette buyer prioritized personal freedom and guilt-free "happiness". He found a position in the buyer's mind that was similar to the smell of sitting in a new car.
2. By saying that it was 'toasted' (which all cigarettes were, but it wasn't a well-known fact), Draper created the impression of a differentiator, a perception that sidestepped the health hazards.
3. By using the "it's toasted" call-out, Draper also gave *Lucky Strike* the first-mover advantage. Any competitor who'd come out and say that their cigarette was toasted too, would only appear as someone who was emulating, and not the pioneer.
4. The 'toasting' done by *Lucky Strike* became an attribute that was now part of the cigarette buyer's bias and the individual would choose their cigarette over another competitor's owing to the heuristics involved.

Once this position was firmly established in the cigarette buyer's mind. Could *Lucky Strike* not have charged a premium for their products? No other brand could elicit a feeling of freedom like *Lucky Strike* could.

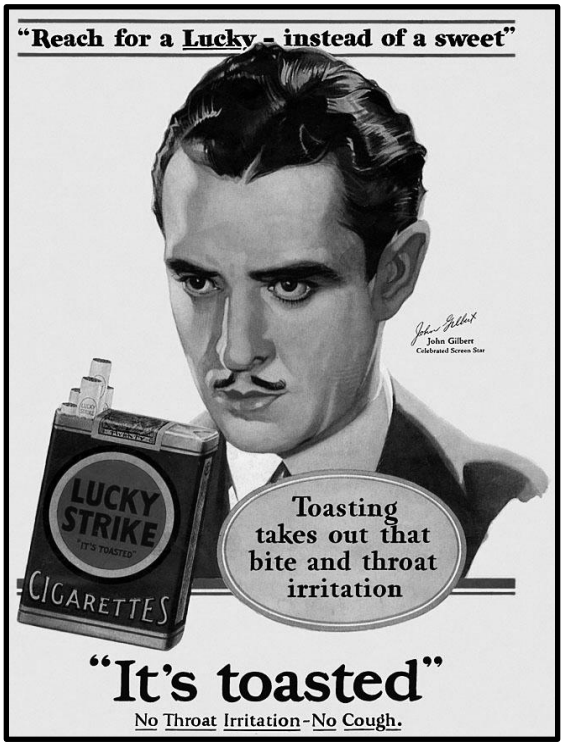


Fig 2: Lucky Strike's Advertisement2

What I'm trying to point out is that pricing is intimately connected to positioning. Pricing cannot be set without the positioning being clearly thought through.

Now let's take an example that's closer to home.

Let's assume for a moment that you are responsible for positioning a new AI-based Sales Productivity software targeting a VP of Sales as your buyer persona.

How do we get inside the head of this VP of Sales? How do we 'position' ourselves?

[2] Source: https://bit.ly/3dEpKvz

We leverage heuristic thinking.

In his seminal work, *Thinking Fast and Slow,*[3] Nobel Laureate Daniel Kahneman highlights two systems - System 1 which is heuristic, and System 2 which is analytical. A heuristic mindset is like muscle memory for the brain. It enables us to develop micro-second preferences and biases. It's what tells us that an Apple iPhone is a premium product, while an Android phone isn't. It's what makes us hold a BMW in higher esteem in comparison to a Honda, which isn't viewed as a premium product. As the buyer in these cases, we are pegging these products and brands a certain way before taking into consideration the horsepower in a car or the storage capacity of an iPhone.

Coming back to our example, if you approached the VP with a pitch for your product, she is going to run a few heuristics to get a handle on how to think about your product.

There could be three possible heuristics:

1. Vendors she can relate to
2. What do people like her at companies similar to her think?
3. Thought leaders she follows

While Sales and Marketing Tech will indicate that there are thousands of companies in this space, these three companies are seen as the most prominent ones for AI. The comparison for your offering will be against these popular companies and their offerings. The VP is going to compare your company to ***Gong, People.ai,*** and ***Chorus*** (see Figure 3).

Apart from the prominent competitors, the VP would also consider what the counterparts in her space, and the people in her network with similar needs, are looking at.

[3] *Thinking Fast and Slow,* Daniel Kahneman, 2011



Fig. 3: Understanding the mind space of the prospective customer

She would also look to the opinions of thought leaders in this space, and insights from popular podcast platforms such as ***Sales Hacker*** or ***Inside Sales*** to help guide her decision.

Once we understand the buyer and their mind space, we can then think about how to find our own niche in that mind space.

There are many questions that arise.

Is your product a 'tool/widget' or is it a 'platform'?

Is it a vitamin or a pain-killer?

How is it uniquely different compared to available alternatives?

What you want is for your buyer to recognize you as a product that solves a particular problem in a differentiated way.

Maybe you already understand positioning. Why am I bringing it up?

The thing is, most pricing problems aren't pricing problems. In fact, they are rarely pricing problems.

They are just the causal impact of poorly understood and/or communicated positioning of a product leading to a whole host of down-stream issues.

The three essential questions one must always answer, to be clear about positioning are:

1. Do we know who our target customer is?
2. What benefit(s) do we bring to her/him?
3. How do we solve her/his problems uniquely better than other alternatives?

A point of clarification: confirming positioning vs operationalizing positioning

One of the important things to keep in mind is that we are discussing Positioning in the context of a Pricing exercise. If this were a pure Positioning exercise you would have to do a lot more in order to operationalize the positioning and that can include things like influencing analysts, writing research reports, or organizing key domain-relevant events.

When it comes to a Pricing exercise, the goal is to understand and confirm the existing positioning of the company and/or a specific product in question (*assuming of course that the company has had a working GTM and this isn't the first time it will be selling an offering*).

The confirmation of the positioning could be as simple as making sure that your understanding of the key buyer personas and the positioning statement roughly matches that of your executive team, sales leadership as well as marketing leadership across every main market-segment that you are targeting.

Real-world example & implications

The criticality of positioning lies in the fact that without clear positioning, no pricing model can work. The year is 2018, and I was working for a startup that offered a product for chat based customer service. At the time, there was a debate on what exactly should be the positioning of our customer support software that primarily worked through a chat widget and via advanced AI-based chatbots.

After examining the market landscape, my boss and I wanted to call our offering a Conversational-AI based Customer Service Platform to highlight the unique differentiator of the product within a large segment of Customer Service software. Our hypothesis was that 'Conversational-AI' would limit our field of competition to one we would do well against.

However, when we brought up this topic with our CEO, who was earlier at a much bigger established company, she disagreed with our approach. Her direction was that we were supposed to be competing with Salesforce and that our eventual destiny was to become a CRM solution. For us (my boss and I), this was totally discordant with the fact that the product was just not a CRM at that point and this direction did not address our target buyer or our unique differentiation for that buyer.

This dilemma persisted with the company for quite a while and not only impacted the pricing effort but also slowed down the entire sales engine as the sales team was hearing completely mixed messages (changing every quarter) on who they were to be pitching and what the positioning was in the market.

The point of the story: Before you embark on a pricing exercise, make sure that there is alignment on the positioning within your own company, and if any disagreement exists (especially at the executive level) that it be resolved before you actually work to finalize the pricing.

Packaging

Once you've determined positioning, the next step is to create 'offers' that will work for your targeted market segments. These offers are the right combination of feature-sets, services and price for a market segment that will ensure that you can derive the maximum possible value from within that segment.

The set of capabilities in an offer, except the price itself, constitutes a package. In most cases, you will want to create a set of packages that map 1-1 to the number of clearly defined market segments.

Let's use the following chart to understand how packages help.

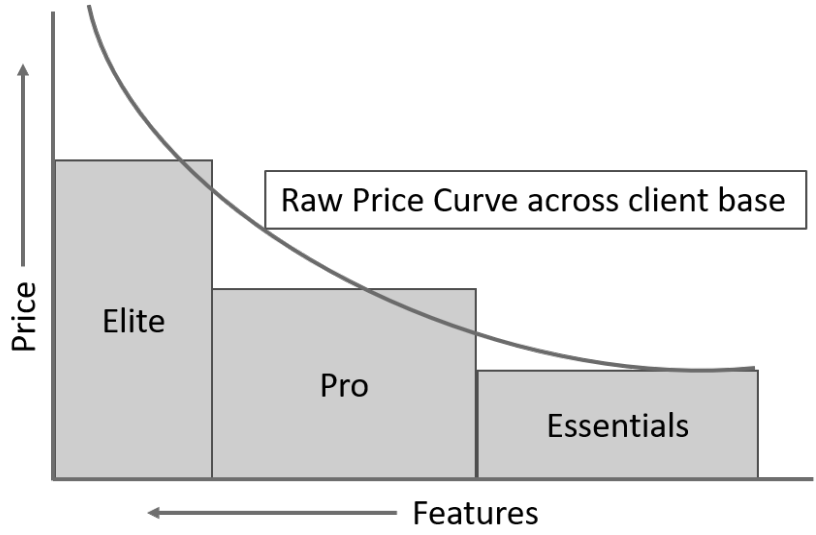


Fig. 4: Graphical representation of Customers' Propensity to Buy and Feature-based Deals/Packages

If we were to draw out a curve that represented how prospects valued a solution when varying the feature-set, we would obtain a curve that looked similar to the one in Figure 4. Intuitively, prospects who need more features (or more advanced features), tend to pay more than

prospects who need fewer features. If no pricing model exists, then a time-averaged curve of product ACV (Annual Contract Value) across different customers who had a varied usage in features would also look similar.

The goal of establishing a pricing model is to standardize 'packages/offerings' that allow your firm to run a sales engine that helps you achieve a curve like the one above. The curve is maximized for its return from prospects and one that helps you achieve efficiency with your sales engine (via a well defined pricing model). Unless you sell to a very homogenous set of prospects (e.g. Fortune 100 - Pharma companies), you will want to come up with a packaging structure that lets you capture a progressive amount of value across your customer segments.

What does packaging look like in everyday life?

Let's lead with a very simple example of Popcorn (Figure 5). The most basic feature that is being charged for is the popcorn itself, and pricing varies based on the quantity offered. This in essence is packaging.

The differentiating feature in the packaging is the quantity - Small, Medium, and Large. Customers will pay for the feature they want.

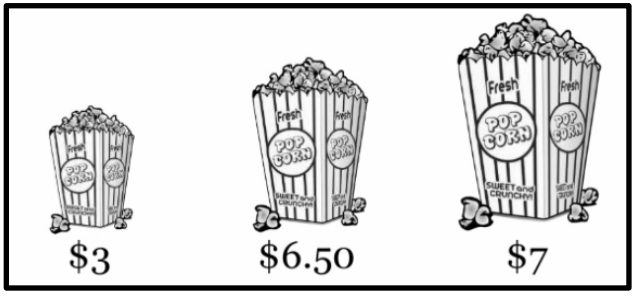


Fig. 5: Popcorn - Packaging

Let us look at another example (Figure 6), that of the Ford Mustang.

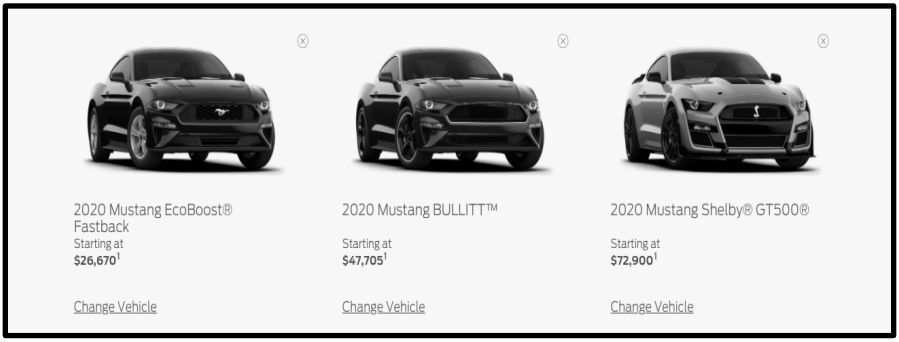


Fig. 6: Model Comparison - Ford Mustangs

A customer may be looking to buy a *Ford Mustang*. All *Mustangs* are built on a common base but each model is priced based on the variations in features offered - horsepower, engine specs, shell, interiors, etc.

The sports car aficionado, who is heuristically inclined to associate a *Mustang* as a status symbol, will be willing to spend more and opt for the *Mustang Shelby GT500*. The base model of the *Mustang EcoBoost Fastback* would not have the level of specs that the *GT500* would offer. There would also be discerning customers who want more features than the base model offers, but aren't willing to splurge on the most high-end model. The manufacturer assesses this segment as well and offers the *Mustang BULLITT* for them - priced between the base and high-end models. This is a good example of how the manufacturer is looking to maximize the area beneath the curve by offering multiple features of a relatively horizontal product through packaging variations.

This logic applies similarly to software packaging.

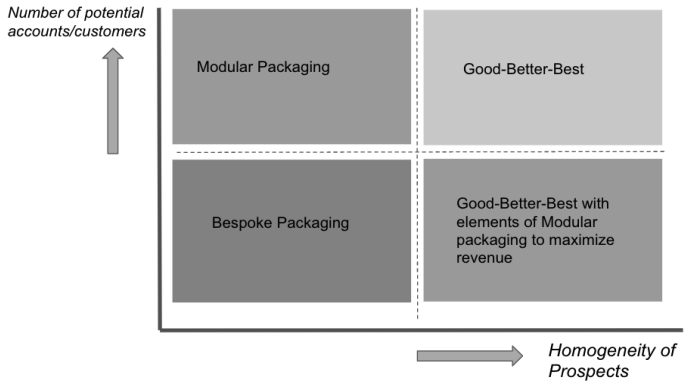
So how do you create packages for software?

In my experience there are roughly two ways to go about this exercise:

1. **Good-Better-Best:** It is becoming common in SaaS to create 2-3 step graded packages, nicknamed good-better-best packaging, for different customer segments and to map these packages to different price points that those segments will be able to bear. Different sets of features are grouped into a package and targeted at different market segments so as to provide a set of capabilities that do the best job of solving the segment's main use cases. This approach works well in capturing revenue from a market that has a large set of prospects with less variance in their willingness to pay or avg deal size, often these are SMB and Mid-Market segments. Here deal velocity takes precedence over finely tuned price points.
2. **Modular:** This approach involves attributing value to distinct groupings of features that unlock specific use cases for your prospects. The modularity enables your packaging to vary considerably between any two given customers. This works better in a market where there is a high variance in willingness to pay (WTP) and the average sale price (ASP) and a smaller universe of prospects. In these situations, a high revenue capture rate is more important than velocity. For such cases, flexibility is usually king, and a well designed, bespoke-fit type of package can help maximize revenue capture in this segment.

The following figure illustrates roughly how I visualize the decision of selecting a specific approach. A Good-Better-Best model is better suited for when there is a large 'n', i.e. number of customers/ accounts available in the market to be sold that are somewhat homogenous in their needs. For example, direct to consumer, digital-first companies in the ecommerce vertical. On the other hand the modular approach would be better if the market was more heterogeneous. For example when the same product is sold to insurance, telco, retail and/or hospitality where all these industries have varying needs. The total market 'n' is small and the market is also heterogeneous, in that case depending on the circumstance one

can make an argument of doing away with packaging as such. For example, a selection of 20 top financial issuers with varying use cases for a data science platform. At the end of the day there are no rules to this, but hopefully this helps make your decision process clearer. Once you understand these techniques, you can always mix and match them for best effect.



Good-Better-Best Packaging

In order to understand good-better-best packaging let's start with the example of Salesforce's Service Cloud pricing[4] (Figure 7):

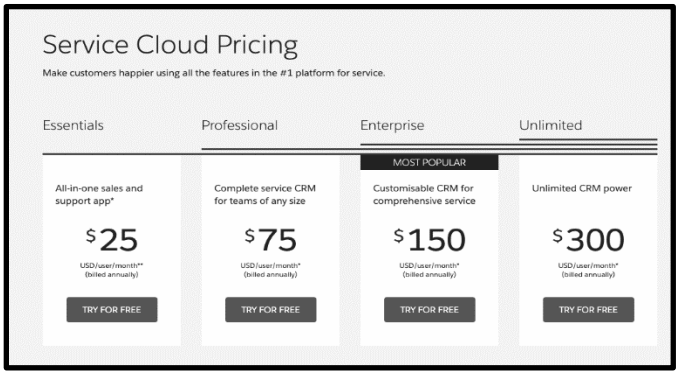


*Fig. 7: **Salesforce** Service Cloud Packages*

[4] https://www.salesforce.com/products/service-cloud/pricing/

Looking at *Salesforce*'s Service Cloud packages, you can see that each package variant provides a range of sub-features that are common and the higher priced packages offer more features. In 'Essentials' they are only going to offer case management, in 'Professional' they will further offer CRM and case management. CRM is where you can store all your account information and with just the 'Essentials' package, you may not be able to.

In the 'Unlimited' edition, they offer 24x7 customer support and may offer AI features or some more enterprise features and charge you higher for those impressive or lucrative features that are on offer. This is rudimentary software packaging and pricing.

The packages are graded based on features that map to companies of different sizes and needs (segments). One point of Salesforce's packaging grid is telling. They've clearly outlined on their website what the prices for the different packages are. We can infer from this that Salesforce is trying to achieve a high degree of price standardization and transparency, which tends to be useful when an organization has a large sales engine and a target market that it seeks to attract.

The drawback of such an approach is that prospects can easily comparison-shop to choose the right capability no-matter which industry vertical they are in, making the sales more transactional and missing out on pricing elasticity variances between industries that generally tend to be able to pay more, e.g. Finance vs industries that tend to be very price conscious, say, Retail.

Another example is that of a company called Amplitude, which offers product analytics software. Here we can see that Amplitude has three plans[5], one of which is a completely free plan and the other two seem to be catered to mid-sized growing companies and larger established enterprises respectively (Figure 8).

[5] https://amplitude.com/pricing

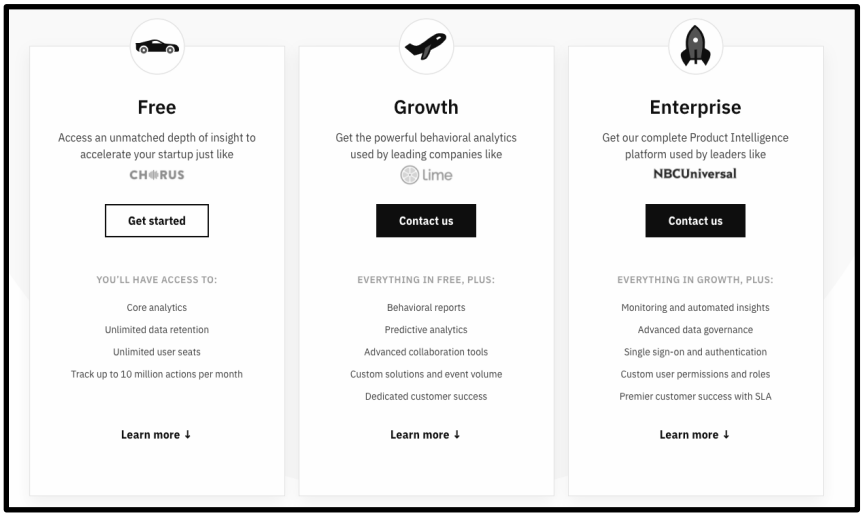


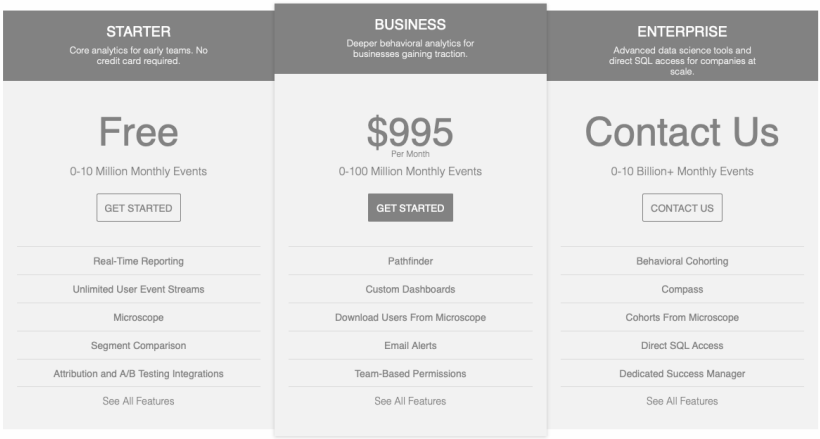
Fig. 8: Amplitude Pricing Plans

It's interesting to note that they do not expose the pricing for the 'Growth' and 'Enterprise' plans. This indicates that they are going after a broad market across verticals where comparably sized clients might have differing price elasticity. Not publishing a price allows them to capture greater value from clients that are able to pay more. In the subsequent chapter, we will see how this is accomplished by creative discounting buffers and approval rules for your sales team.

The 'Free' tier offered by Amplitude is another indicator that they intend to reach a wide market, the reason being that 'free' plans have a poor conversion rate in general to paid plans and the offer would only make sense if a) They were going after a large TAM and/or b) They want to undercut a competitor.

Now, this is not how the pricing page always looked for this company. I always find it interesting to do some research using the Wayback Machine and seeing how a company's positioning and pricing have evolved. Here are two historical snapshots of their pricing in 2016 (Figure 9).

April 2016-



Sept 2016-

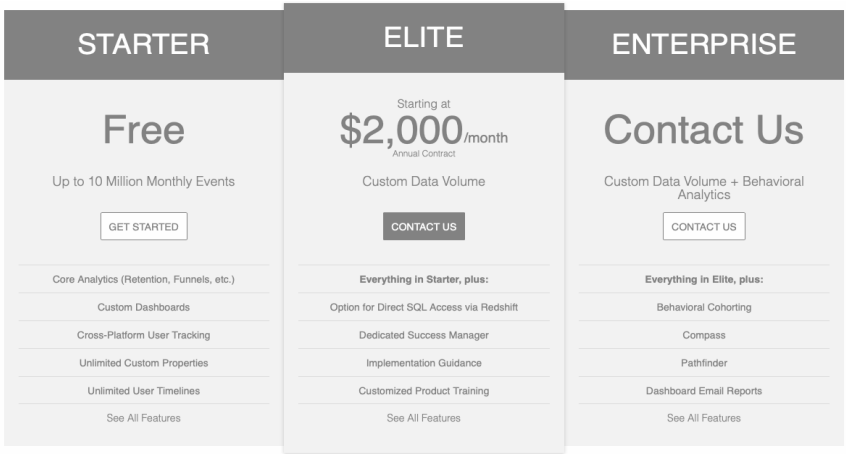


Fig. 9: Amplitude Pricing Plan Evolution

Can we infer anything from the evolution of their pricing page?

I would suggest that what likely happened is as the company found new customers, they realized many of them could pay much more than the company initially charged. Now, this is all well and good, since the company in 2016 probably was a new entrant to the market with fewer feature differentiators and less of a brand cache. In 2020,

as they innovated with their product and became a more trusted brand, they probably charged more and hence removed the specific pricing from their product page as they didn't want to peg their prices low.

OK, so now that we understand how this type of packaging looks like in real life, how do we create this for our own product?

Well for one we know the output of our effort needs to fall into roughly three (or four) packages or tiers. The goal is to bucket features together such that there is:

1. **Gradation:** There is a gradual upward gradation of capability.
2. **Package <> Segment Fit:** Each package's capabilities map to a significant representative market segment that is likely to auto-select a specific package for its needs (i.e. a certain segment always chooses the middle tier, another segment always chooses the bottom-most tier).
3. **No Shelf-ware:** If at the end we find that a certain package is rarely picked by its intended target segment, then that package needs to be removed. Similarly, if we find a package is often selected but a key underlying feature is unused, then that feature shouldn't be part of the package. *(Read the Gainsight example in the case study section of the book to see how poorly fit packages impact a company's sales motion)*

Start by thinking of broad segments of your customers based on your sales motion. One way to do this is by company size and simply use a standard grouping like SMB, Mid-Market, Enterprise. Now create a set of feature groupings such that there is a 1-1 mapping between the feature groupings and the prior defined customer segments.

Here is a fictional example of this exercise for a marketing automation product (Figure 10). We have grouped features to map to our assumed needs for each market segment. The groupings are graded and more complex at the top end.

SMB	Mid-Market	Enterprise
Contact Management	Contact Management	Contact Management
1-5 Users	5-25 Users	25+ Users
Email Editor	Email Editor	Email Editor
Email Support	Advanced Validation Rules	Advanced Validation Rules
	Analytics	Analytics
	Email Support	Data Enrichment
		Dedicated Success Manager

Fig. 10: Packaging our Automation Product

At this point, we have our initial hypothesis of packaging, but this needs to be tested against our selected customer segments to see whether there truly is package <> segment fit. In the next chapter, we will cover research methods to answer this very question.

But before that let's now take a look at modular packaging.

This discussion brings up an important point on pricing transparency. According to a recent report by Chartmogul[6] roughly 75% of SaaS companies publish pricing on their websites and 25% do not. In my opinion, this is interesting data but by no means a reason to follow the herd per se.

I'd like to propose a simple 2x2 matrix (Figure 11) to decide when it would make sense to publish the prices along with the packages on your website.

[6] https://blog.chartmogul.com/saas-pricing-report/#pricingMatters

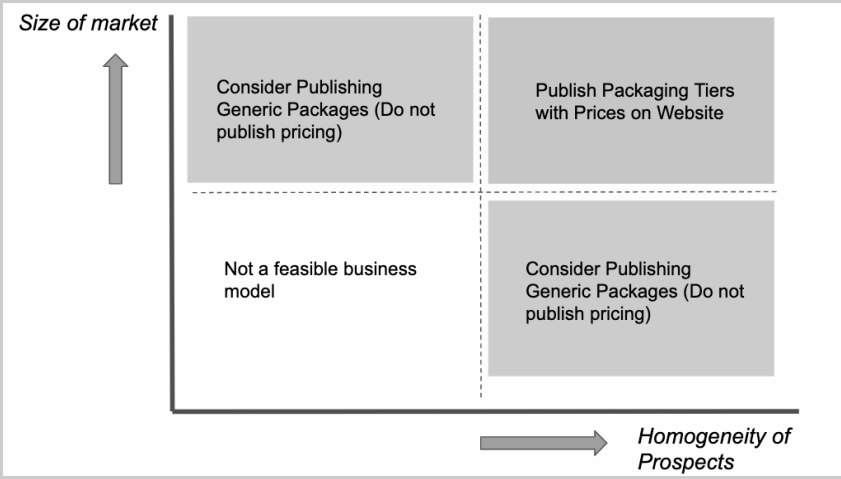


Fig. 11: Deciding on Price Transparency

When you have a large market with a high degree of homogeneity, then it is feasible to emulate other SaaS companies and publish the complete pricing structure online (replete with packages and prices) as it can help you scale your sales engine and maximum value from the market. On the other hand, if your market size is limited (say Fortune 100 Retailers), or heterogeneous (say, across Retail, Pharma, Airlines, etc.) then the call is more subjective. I've worked in enterprise SaaS companies that have opted to not publish any pricing publicly so as to give their Sales teams more ability to sell a targeted offer to their prospects. In those cases, the packages were defined internally but there was lower price transparency which dissuaded package comparisons and enabled them to extract requisite value from prospects that had varying amounts of willingness to pay or price elasticity. In this specific context, sales reps appreciated their ability to offer their prospects the right package without necessarily getting into the 'shop-a-package' discussion.

Modular Packaging

Now let's take a look at a more flexible approach to packaging that can enable us to tailor a bespoke offering to prospects.

This type of packaging can help us capture greater revenue than standardized packages that either offer more capabilities for some prospects than they need (leading to shelfware) or don't offer all capabilities needed for some prospects (leading to essentially not delivering all the value that is possible and thereby leaving money on the table).

In this case, we are not forced to come up with a universe of just three packages. In principle, this approach can lead to a high degree of permutations and combinations of features and capabilities.

Here is how to approach it:

- List down all notable features of your product and then map them to 'use cases' they enable for customers. This obviously requires a clear understanding of all the reasons for which your product is used, and thereby the product's help to solve the 'use cases' is how its value will ultimately be attributed.
- Take care to ensure the features don't overlap between use cases and that these are MECE (Mutually Exclusive Completely Exhaustive). This is important because these feature groupings that solve specific 'use cases' will become the modules at the end of the exercise, and you can't have a specific feature in two different modules.
- Once you have identified use cases and grouped features together that solve for them, the next step is to estimate the value/importance placed on these use cases across different customer segments. For e.g. enterprise customers may place a high value on a security or encryption related feature but an SMB may not. This step then provides insights on which modules should be bundled together in a base package and which features may be added-on as ala-carte modules.

To illustrate the concept let's look at Figure 12. In this example, we've taken a fictional CRM product that has features A through T along with a core platform infrastructure base. These features are then mapped to use cases such as 'Lead and Opportunity Management', 'Team Collaboration', 'Marketing database', and so on. Finally, we've estimated the value derived to different customer segments using a t-shirt sizing (M, L, XL) approach. What does this reveal to us? Both the SMB and Enterprise segment will be well suited to have a base package bundle that includes 'Team Collaboration' and 'Lead and Opportunity Management' related features. Further, it seems like 'Sales Forecasting', 'Sales Rep Performance Management' and 'Account Health Reporting' related features can be specific add-ons for Enterprise customers, and need not be offered as options to the SMB segment. This leaves the 'Marketing Database' feature set which can be an add-on offered to SMB customers. Now, technically we don't need to include this for Enterprise customers. But the concept of gradation still applies and we will include it in the base package for Enterprise customers.

CRM Features	Use Case	Value for SMB	Value for Enteprise / Fortune 500
A B C	Sales forecasting	M	XL
D E F	Sales rep performance management	M	L
G H I	Account health reporting	S	XL
K L	Marketing database	L	M
M N O	Team collaboration and storing signer paperwork	L	L
P Q R S T Core Platform	Core, e.g. Lead and Opportunity Management	XL	XL

Fig. 12: Deciding on Modular Packaging Example for a SaaS CRM

The final output will look something like in Figure 13. Do note that the use case names need not be final module names. Now that we have our packaging hypothesis, we can now test this against our customer segments and see whether there is package <> segment fit and how to actually arrive at the pricing for the packages and the add-ons. That is what we cover in our next chapter.

Pro	Elite
	Add-on: Sales forecasting (A,B,C)
	Add-on: Sales rep performance management (D, E, F)
	Add-on: Account health reporting (G, H, I)
Add-on: Marketing Database (K,L)	Base Package: - Lead and Opportunity Management - Team Collaboration - Marketing Database K L M N O P Q R S T Core Platform
Base Package: - Lead and Opportunity Management - Team Collaboration M N O P Q R S T Core Platform	

Fig. 13: Finalized Modular Packaging Example for a SaaS CRM

Modularity Case in Point: Hidden Differentiators at Medallia

Price justification by packaging hidden differentiators in a monolithic enterprise software product

I've included this case study to illustrate a facet of packaging that can be useful for companies selling an enterprise product either facing a competitive challenge or a need to justify higher product ASPs. In many cases, products such as these have hidden capabilities that can creatively be brought to the fore to create a more favorable customer perception.

This story dates back to 2013 and 2014. Medallia had recently gone through a series of funding rounds and had been gaining considerable traction in the market. Medallia had always been the leader in the Customer Experience Management SaaS category and had been charging a premium price at the same time we had onboarded a brand new sales team that was chartered with rapidly scaling Medallia's growth, which included goals around achieving higher product ASPs (Average Selling Prices). At the same time, our value proposition and benefit statements started to look surprisingly similar to that of the competition, largely because the competition had started to adapt a lot of their value proposition to match ours. This left us with a conundrum. Prospects would ask us why we were priced so high when other vendors were making similar promises to them. While we could definitely show them our superior client roster and success stories, we were missing a crucial 'why' behind our superior product. The reason largely lay not just in the visible features of our product, but a superior product architecture that allowed us (and uniquely us) to serve the needs of giant Fortune 500 organizations in a way competitors could not.

At this point, we commenced an exercise to create a marketecture (a marketing-architecture). This exercise results in a hierarchical, market-oriented representation of the software which breaks a

monolithic product into specific modules. These modules can be given names that allude to their differentiation and value, something that wasn't apparent beforehand. Once every module within a marketecture is defined, a new sales deck is created around this functionality capturing why it is important, what it does, how it works, and associated customer success stories.

At Medallia one of the modules that we packaged and named distinctly was 'OrgSync'.

OrgSync was named to denote Medallia's capability in mapping highly-complex and fluid organizational hierarchies into its software which could then aid user management and analytics. At some organizations, we could support as many as 70,000 users. Something that the competition could not. The act of crisply defining this module, along with differentiators and customer success stories, provided a shot in the arm of our sales team. They were better able to handle price related objections and even put the competition on the defensive.

This example illustrates that packaging is not just an exercise of outlining which features to charge money for, but about clearly communicating the value of the product such that its value proposition becomes clear and the price is perceived to be fairly justified.

Add-Ons

When deciding whether to introduce a new feature as an add-on or incorporate it into the main package, several factors should be considered. From a revenue maximization standpoint, features with broad appeal that are likely to attract a wide range of prospects should be integrated into the main lineup, as this can drive overall package value and increase conversion rates. On the other hand, specialized features that cater to specific needs or niche segments

are better suited as add-ons, as they allow for targeted monetization without diluting the core product offering. Adding them to the packages in the line-up may deter buyers, as the package may appear too specialized, therefore not the right fit.

In terms of ease of launch and time-to-market, adding a feature as an add-on is typically faster and less disruptive, as it avoids the need for redesigning the existing lineup or migrating the customer base to new SKUs. However, it's important to balance this approach, as too many add-ons can lead to customer confusion, lower conversion rates, and the perception of "nickel and diming." Broadly incorporating a new feature into all packages can drive widespread adoption and benefit long-term strategy, but it may not always maximize short-term revenue. Ultimately, the decision should weigh the feature's popularity, and the complexity it introduces to the customer experience.

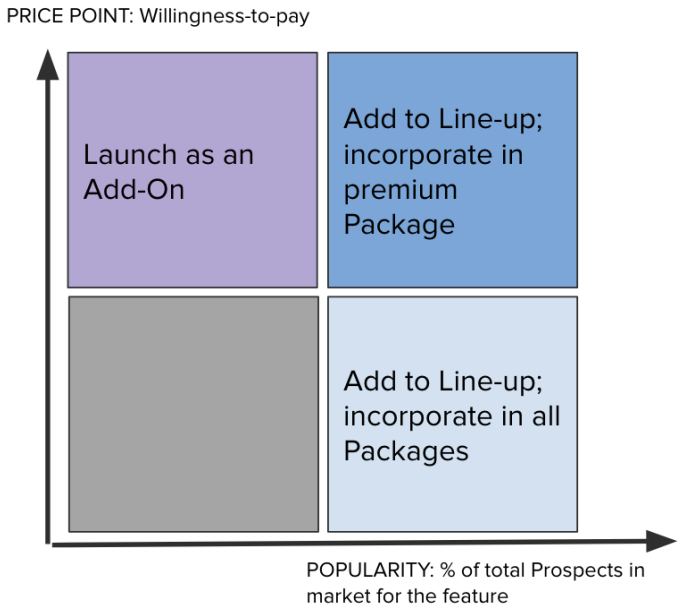


Fig. 14 : Price Point

STEP 3
Pricing Metric

Selecting your key pricing variable is perhaps the most consequential decision you will make in your entire pricing and packaging exercise. If you get it right, almost every other piece of your pricing model and operations can be fine tuned. If you get it wrong, you may not only waste the time taken in conducting this project but can significantly slow down sales velocity and introduce completely unneeded friction in the sales engine.

At the end of the day the goal for pricing is to find a way to charge your customer based on a heuristic that allows a) You to obtain revenue for your product that maximizes the return from the market (i.e. larger companies are able to pay more) b) Your client to pay a price that is proportional to the value perceived to be derived by them.

There are many ways to think about this variable, including pricing on usage, license, seat, cost, and so on. As mentioned by Zuora's CEO Tien Tzuo in his book ***Subscribed***[7], I've found it very clarifying to look at two main approaches at the highest level as Capability and Consumption based pricing (see Figure 14). *(The simplifying caveat here is we assume subscription based pricing models.)*

[7] https://www.amazon.com/Subscribed-Subscription-Model-Companys-Future/dp/0525536469

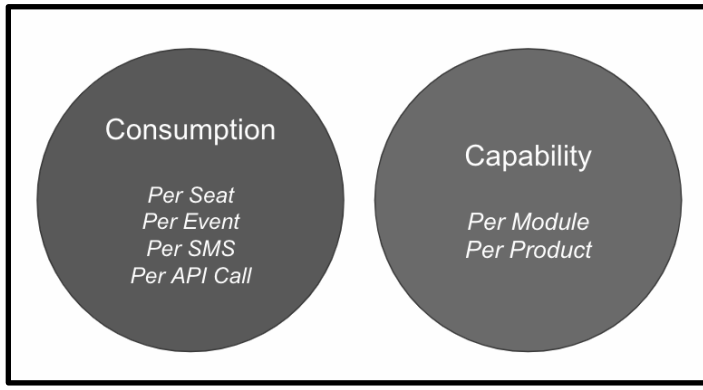


Fig. 14: Consumption and Capability based Pricing

1. **Consumption Pricing** includes both traditional per seat based pricing models, as well as usage-based pricing models that are prevalent in newer SaaS products in the market today.

    - **The seat-based model is essentially a way to 'size' the client account.** The 'per seat' allows the brand to charge more from larger clients, with a sort of implicit assumption that value-derived also scales proportionately. This approach works well when the product is a more foundational 'system of record' to an organization's technology stack, such as a CRM, HR, or Customer Support system that is going to be routinely used by various departments as a way to run the business. There is unlikely to be one key unit of activity that can easily be distilled into a usage parameter.
    - **The usage-based model scales with the actual units of usage of a product.** For e.g. Amplitude charges per analytics event processed, Google Drive charges on storage consumed. Twilio charges per SMS sent. Some fraud detection companies charge based on the number of transactions processed. Usage-based

pricing is used for a number of reasons. Depending on the chosen metric, it can be more directly tied to the value a prospect receives from the product and thereby lead to easier client adoption. It can also be useful when there are hard costs that scale with usage, think S3 storage or compute power (more often in the infrastructure layer vs. the application layer). Finally, this approach is easier to adopt when the usage of the product is actually measurable across customers.

2. **Capability Pricing** refers to pricing a product as a lump-sum amount for the capability offered. This could be a fixed price or a price that scales based on the size of the customer. Since it is a lump-sum model, this approach doesn't really allow for usage growth over time and is more akin to paying for a fixed piece of hardware or set capability. While it would definitely play well in a hardware setting, it also tends to work well for add-on modules that sit on top of a base platform that utilizes a consumption-based pricing model.

Given this information, how do you decide on your main pricing metric/variable?

Here is a proposed checklist:

1. Decide the larger model - Consumption or Capability.
2. If Capability, then the unit of pricing is per product or module and you can move on selecting the right price point. The next section explains how to do just that.
3. If Consumption, then you need a way to decide what your key metric will actually be. Will it be a traditional per-seat model? Or will it be based on usage? If it is usage, then what is the metric of usage? I propose that you come up with a few candidates and then rank/assess them with the following list:

    a) **Tie to client value:** Is the metric proportional to client value? And to what extent?

b) **Fits for clients:** Will clients perceive it to fit with the value they derive?
c) **Measurable:** Can you instrument your product so that the metric is easily measurable?
d) **Predictable:** Can clients estimate how much they will spend with this metric? If the metric isn't predictable then clients could be hit by unexpected bills that could take them by surprise.
e) **Diminishing or Scaled Costs:** As your metric increases, do your costs level out, or do they scale with usage? Sometimes there may not be much choice in the matter but this is important to note as the subsequent decisions on pricing structure, price point, and discounting will be critical in case costs increase steadily with consumption.
f) **Deal Economics:** Does this model help you create a workable sales engine? There can always be two different metrics that check all the above boxes but differ considerably in the resulting revenue and margin you accrue for each deal. Everything else being equal, you'd want to maximize revenue capture.

Now let me illustrate how this decision can have a meaningful impact with a few real-life examples:

Company	Pricing Metric Decision	Impact
Early Stage Pricing Helpshift	Helpshift is a customer service software platform that originally grew due to its focus on solving mobile customer support use cases. Earlier on, the company had to make a decision on how to price its platform. Had the company used the industry-standard approach of implementing per-seat pricing,	Selling to a company with a support team of 20 agents at $100 per month would only work out to a $24,000 annual deal price. But the same company could have 20 Million MAU and be willing to pay $100 per 100,000 MAU. Leading to a monthly price of $20,000 and an annual ASP of $240,000.

	it would have significantly hampered its growth since there are not a lot of support agents in many companies offering mobile applications, while at the same time these apps support tens of millions of users. The company chose to price based on the number of MAU (monthly active users) and was able to convince the key 'Product Manager' persona that this price was justifiable and tied to value since MAU was how these products were already being managed.	This was a 10x increase in revenue capture with the second pricing metric!!
Early Stage Pricing Kustomer	Kustomer is another provider in the customer service space. Unlike Helpshift, it made a decision to retain a seat-based pricing model as followed by incumbents such as Zendesk. Do note that Kustomer in some cases directly competed with Zendesk in the web-based support space. Kustomer's CEO, Brad Birnbaum, shared his thoughts on pricing on a Saastr podcast[8]:. *"So pricing's a really difficult thing, right? It's something that we wrestled with in the earliest days of Kustomer. We wanted to be innovative. We quickly learned as we started talking to customers that they didn't want innovative pricing. They wanted repeatable, consistent pricing that mapped to the budget they already had in place.*	In 2020 Facebook acquired Kustomer for $1 Billion. And while we don't have specific information on the impact on the pricing model. We do know that Kustomer was able to get a sizable chunk of mid-market customers by providing a superior product that was significantly differentiated from incumbents but within a familiar, predictable pricing model.

[8] https://tomtunguz.com/should-your-startup-differentiate-on-pricing/

	Now as we are going mid-market and above, we're mostly replacing existing solutions, whether it be Zendesk or Salesforce. So they (customers) already had a budget in place, so they just said, "Hey, we have X amount allocated for a solution. Our solution is better, it's robust, it does more, but this is the budget that we have." *So they wanted a pricing model that, frankly, mapped to the way they're accustomed to doing business It was highly predictable. So while we wanted to think about doing a consumption model here at Kustomer, because we thought that was innovative, we realized our customers didn't want a consumption model."*	
Established Stage Pricing Evolution Mixpanel *(longer case study later on in the book)*	In 2019, Mixpanel changed its key pricing metric to Monthly Tracked Users (MTUs) whereas earlier they had used the concept of Events for a long period of their existence as an analytics software provider. They made the decision to change their pricing metric because the older metric of 'Events' while being very measurable was no longer fitting with client perception of value as the company grew across use cases and industries. Some customers' usage-based bills increased substantially but they didn't feel they received proportionate value. On the other hand, their sales team found it was hard to size up	While we don't have hard publicly available metrics on impact, this change had a bunch of cascading benefits for the company: 1. **Reduced customer churn:** As now customers wouldn't be saddled with paying disproportionately more compared to value derived. 2. **Faster sales motion:** Deals close faster as Sales don't have to play the role of translator and can keep the discussion focussed on value.

	new prospects and had to do more work to translate from a prospect's actual value to the company's 'event' based pricing. They landed upon Monthly Tracked Users (MTUs) (very similar to MAUs in the last example) that checked many of the criteria I alluded to earlier: tied to value, measurable, predictable, and so on.	
Established Stage Pricing Evolution Hubspot	Hubspot is a company that has come to change the field of marketing and has essentially birthed the term 'inbound marketing' around its set of marketing automation capabilities. While it initially began with a single product that priced based on the number of contacts in their Hubspot instance, the company eventually made other products that weren't in congruence with being priced based on the number of contacts. In 2020, Hubspot made the change to its pricing metric to 'Marketing Contacts' from the original 'Contacts' metric, removing the friction that affected the company's ability to go to market with a multi-product platform. This medium post[9] by its CTO Dharmesh Shah explains the evolution of its pricing model: "In 2006, we were a single-product company selling what	Hubspot's pricing change is too recent to know what the impact is, but it's CFO's comment in its recent quarterly earnings report indicates that the company expects a change in its customer mix due to the pricing change. Kate Bueker A Chief Financial Officer, HubSpot, Inc[10]. *"And then over the course of Q3 and Q4, what we saw is a much more balanced set of customer additions, which is what sort of leads me to the comments that from one quarter to the next, there's going to be some difference in the kinds of customers we add, as we introduce different functionality and make pricing and packaging changes."*

[9] https://medium.com/swlh/marketing-contacts-pricing-lessons-38eef8301e95

[10] https://ir.hubspot.com/hubfs/Q4%202020%20Earnings%20Call_Corrected%20Transcript_2021-02-11-20-36-05.pdf

	we now call Marketing Hub... Since then, we have added HubSpot CRM, Sales Hub, Service Hub, and CMS Hub to our portfolio. ...Marketing Hub was billed on a base price with included contacts, and database size — i.e. how many contacts were in the database, which we felt reflected the value they got from our software. When we transitioned into a multi-product world, the interaction between our products started creating pricing issues. HubSpot CRM is free and Sales Hub is priced on a per-seat basis. Not only did our pricing philosophy differ across Hubs, sales activity would often generate additional contacts that would then raise the subscription price of Marketing Hub, whether or not those contacts were valuable from a marketing perspective. This created friction and confusion for customers. Our approach had not been designed for a multi-product world. As we entered a new phase of growth, it became apparent that we needed a new strategy. When we went back to the drawing board on contact pricing... A customer's measure of success isn't just how much they can grow their database, but how many leads in that database are worthy of nurturing. Thus, the idea of	

	splitting marketing contacts out from non-marketing contacts — and only charging customers for the contacts they needed to interact with — was born. Our marketing contacts pricing model allows customers to only pay for the contacts they want to market to via email or ads."	

Outside of these, you will find a lot more examples in the case study section of the book. In my personal experience, it is the case studies that truly help illustrate the tradeoffs involved and the sizable impact of this decision. In particular, I recommend you read about how:

1. Nosto's pricing evolved from being purely usage-based initially to include elements of capability and platform pricing.
2. Oracle solved the problem of pricing for its marketing automation product when a part of their product saw significant hard costs related to sending SMS.

Once you have a hypothesis of your main pricing variable, you can move on to setting the core pricing structure.

I will first discuss pricing structures for consumption based models (which are far more complex) and then touch upon capability based models.

Pricing Structure for Consumption-based Models

Roughly, you have three options[11] to set the pricing structure:

1. **Linear Model.** You charge a set unit price based on your main pricing variable, per seat, per event, etc.
2. **2-Part Tariff.** You charge a base 'platform fee' as a setup price and add the unit price. E.g. $10,000 + $0.40 per unit.
3. **3-Part Tariff.** Also known as the cell phone plan model. Where you offer a set number of units for a base fee and then an overage fee on top of that. E.g. 5GB of data for $40/month, $0.10 for every MB afterward (consumption model) or 100 seats for $10,000 per month and $150 per seat for every additional seat.

Here are some pros/cons that will help you select between these options:

	Pros	Cons
Linear Model	1. Very simple to understand and easy to tie into client value with high predictability of usage. 2. Helps increase market penetration as it reduces risk for clients, they only pay for what they use. *(see Nosto case study)*	1. What you gain in ability for higher market share, you lose in margin. This model brings in unpredictable revenue and can leave money on the table. 2. Such a model requires accurate instrumentation to be able to measure what a client's usage is at any time and bill them for it, thereby increasing overhead.

[11] *https://tomtunguz.com/three-part-tariffs/*

2-Part Tariff	1. This structure will improve on the revenue unpredictability of the linear model, while still enabling the upside of greater usage. 2. Increasingly the most common structure. Customers are accustomed to buying software in this model and will not push back for the most part.	1. When this structure is implemented to drive pricing models it can lead to 'sawtooth edges' which product pricing inconsistency. We will discuss further this in this section. 2. It neither optimizes for highest revenue capture or highest market penetration. Depending on your intent, the other two plans might be a better fit.
3-Part Tariff	1. According to academic research[12], this structure maximizes revenue capture and even incents increased product usage, as long as it is implemented by a dominant or differentiated market player. 2. Revenue will tend to be even more predictable since the customer has committed to the highest likely usage.	1. This approach may not work for competitively weaker firms where buyers may be wary of over committing spend. 2. It requires a good fit with prospect needs. There is a chance of buyer's remorse if their needs change or didn't increase as expected. Thus opening up downgrade or even churn conversations.

Taking this concept further, how do we think about our pricing structure for a particular plan, "Pro"?

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https://res.cloudinary.com/dzawgnnlr/image/upload/q_auto/f_auto/w_auto/SSRN-id1587149.pdf

Let's do this step-by-step. First, we will create basic strawmen of the three pricing structures.

- In the linear model, we'd basically have a fixed $ per unit price.
- Subsequently, in the 2-Part model, we'd want to add a component of an upfront platform fee with a lower $-per-unit price. *(The $-per-unit price will naturally be lower than the linear model if we assume customers will only bear roughly the same total price for their usage)*
- Then finally, in the 3-Part model we want to further incentivize an upfront purchase of a bunch of units such that the $-per-unit price is discounted because of the upfront purchase and the overage fee is greater to ensure the selection of the package.

The following table is a hypothetical example.

	Linear Model	2-Part Tariff	3-Part Tariff
Pro Plan	$0.40 per unit	$20,000 Platform fee + $0.30 per unit	$30,000 Platform fee with 110,000 units included + $0.30 per additional unit

Now let's visualize side-by-side the resulting revenue chart (Figure 15) obtained by deploying these three models.

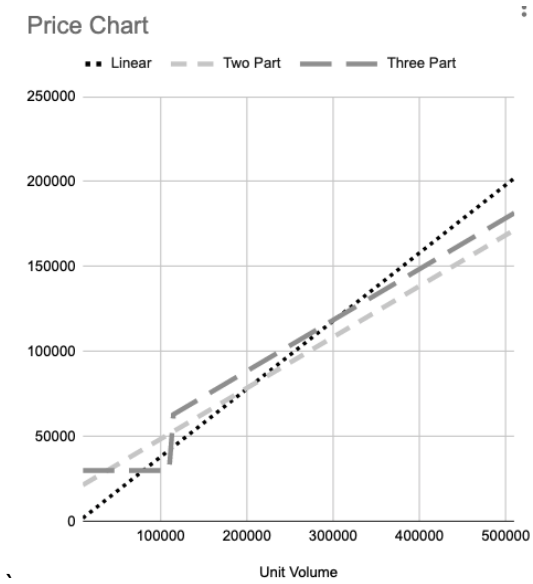


Fig. 15: Comparison of Linear, 2-Part, and 3-Part Tariff Models

The linear model certainly looks fair on a plot. In reality, the revenue is subject to consumption in any given time period and if a customer reduces their consumption for any reason, so will your overall revenue. While this can still work for a new entrant to a market by providing no upfront fee and "pay only for what you use", bigger companies will want more predictable revenue. *(See Nosto case study later in the book).*

Now let's analyze the 2-Part and 3-Part models in relation to the linear model.

1. The 2-Part tariff model introduces a platform fee to solve the drawback of the linear model's uncertain revenue but might anchor down larger customers as the unit price increases above 200,000. Furthermore, if a customer is going to pay something like $150,000, then a guaranteed revenue of $20,000 does not provide revenue predictability.

2. The 3-Part tariff model can further provide a greater fixed revenue but in its current avatar, it leads to a steep jump in price as soon as a customer enters into overages. Consequently, it works only for a sub-set of customers with lower unit volume. We really need this model to work across a wide swath of unit volume consumption.
3. Finally, in all models, we have straight lines that do not inherently offer a way to provide "volume discounts", which are expected in almost every type of consumption pricing model.

Therefore, for all three models, what we need are sub-levels (*known in industry parlance as "blocks/block pricing"*) within our models. Here is what they could look like:

Linear Model			
To	**From**	**$/Unit Fee**	
0	100,000	$0.40	
100,001	250,000	$0.35	
250,001	500,000	$0.30	
Here we introduce different pricing for different unit volume ranges, and the prices are lower at higher volume ranges as one would expect (allowing for volume based discounts). Note that this pricing is still "pay as you go" with no platform fee included.			
2-Part Model			
To	**From**	**$/Unit Fee**	**Platform Fee**
0	100,000	$0.30	20,000
100,001	250,000	$0.25	30,000
250,001	500,000	$0.20	40,000
We introduce similar sub-levels in the 2-Part structure, and here provide lower $/unit consumption fees but introduce graded platform fees to provide revenue predictability. This is one of the most common pricing structures being used in SaaS today.			

3-Part Model			
Included Units	**Tier Fee**	**Overage $/unit**	***(Inferred $/unit)***
100,000	35,000	$0.45	$0.35
250,000	75,000	$0.40	$0.30
500,000	125,000	$0.35	$0.25
In the 3-Part structure, we again create further levels with higher tier/platform fees with a sizable chunk of units included in the price. Further, we keep an overage fee that is higher than the $/unit inferred fee at the top end of the units included. For example at 100,000 units for $35,000 the inferred price is 35 cents per unit but the overage price is 45 cents. This is done to incentivize movement into a fixed bundle as otherwise clients may choose to just pay as they go.			

When we plot out the price chart for the models above we see the chart in Figure 16. With our fix we now have better looking price-volume curves that can capture increasing value for the two and three part models as the price increases.

Note the jagged saw-tooth edges at the unit range breakpoints for both the linear and 2-part models, that is expected and is a feature of these models. When implemented in the real world we usually try to optimize the numbers to reduce these edges but some of the price jumps or increases at these breakpoints will remain.

Note that we are able to model our Two-part price curve to be very similar to the Linear model while retaining the advantages of guaranteed revenue through the platform fee. The price at every new unit volume range in the two-part model is actually the minimum price at that range, providing us more predictability overall.

Finally, the Three-part model does not suffer from the sawtooth problem at all. The price curve in this model is the lowest price possible while including overage payments such that there will be a point at which it will make more economic sense for a prospect to

select a higher tier/bundle. This is what we want. It gives us even higher predictability and more revenue as per academic research.

The counter consideration to predictable revenue is client adoption. If your product is newer then clients are less likely to opt for a 3-part model and much more likely to adopt a linear model.

At the end of the day, it is your decision on which structure to implement. But my hope is that this gives you a sense of the pros and cons involved in this decision.

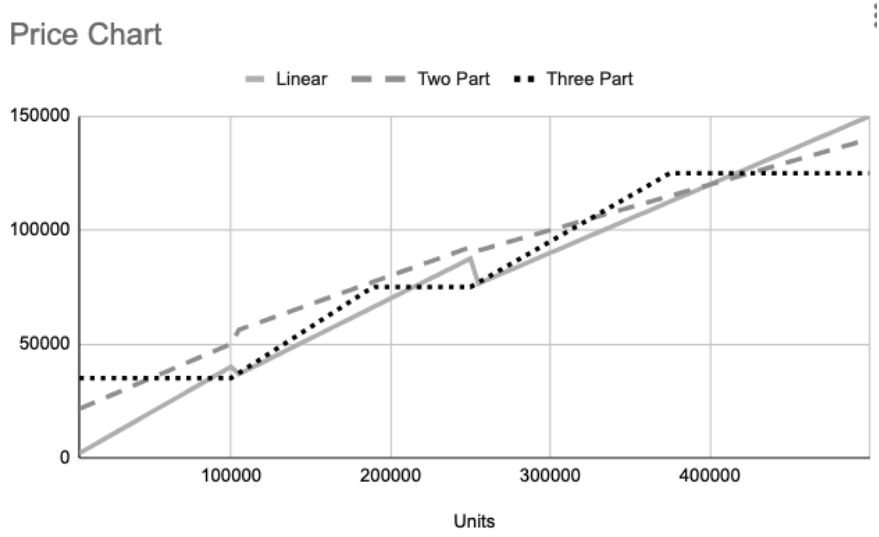


Fig. 16: Price Chart with Sub-Levels

So where are we now?

We have understood the selection of the key pricing variable and a supporting pricing structure for a consumption based pricing model, the predominant approach for base pricing in SaaS.

Before we move on, let's take a look at capability pricing models.

Capability price is as defined, charging a set amount for a piece of software capability. A great example is Basecamp's pricing[13] at a flat $99/month independent of usage. Now I would argue that in general, this pricing approach isn't the best for the base software, since you are more likely not only to leave money on the table but actively dissuade enterprise adoption. *(The reason for the latter is best described on Tom Tonguz's blog[14])*

Where it does make a lot of sense, and where capability pricing shows up a lot is for add-on pricing. Let's say you want to add a specific piece of higher-end capability to your existing packages. Now for pricing these add-on features, you really don't want to create a whole other pricing variable for consumption pricing. In my experience, it would make your sales and sales operations teams go crazy with the complexity. This is where a capability pricing approach really helps (see Figure 17).

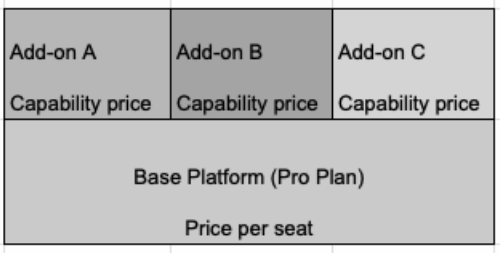


Fig 17: Add-On Capability Pricing

Now even though it is a lump-sum amount it still need not be a fixed price. Some add-ons can be priced as a percentage of the base fee (this enables the add-on price to scale with the size of the customer) and others can be a fixed fee (see Figure 18).

[13] https://basecamp.com/pricing
[14] https://tomtunguz.com/obscure-economic-concept-behind-saas-pricing-challenges/

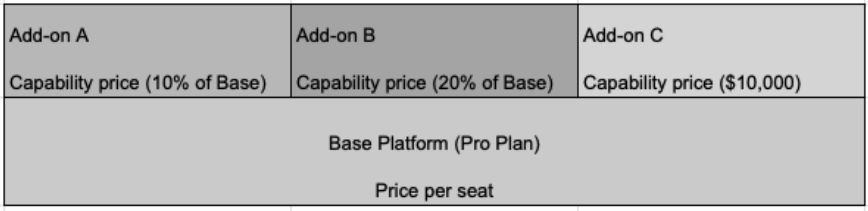


Fig. 18: Add-On Capability Pricing as Percentage of Base Price

Taking this forward, capability pricing for add-ons can basically be done in three ways:

1. **Create a fixed price structure for your add-ons.** For example, just say that this add-on is $5000 and call it a day. This isn't very methodical, and if this is a strategic add-on, then it limits your revenue potential for large customers, and it may even seem too expensive for small customers.
2. **Create a % of base fee structure for your add-ons.** In this case, you can say the add-on is 10% of base ACV. For our example, it would work out to $4000. This is actually better and the price is proportional to the size of your customer. Even still if this feature has a high cost to deliver, it may yet become cheap for smaller customers. Alternatively, for your largest customers, it could seem too expensive.
3. **Create a % of base fee structure with a min and max.** In this approach, you essentially have the benefits of option #2, with a minimum and maximum price to bound the price range so as not to make it too cheap or too expensive.

At this point you should have enough information to decide on your hypothesis of a) your key pricing variable(s) and b) a pricing structure for each of your product tiers.

STEP 4
Rate Setting

So far all we've done is built the foundations for the operations of pricing. We haven't yet determined how much to charge.

Recall our work in the previous chapter around packaging. Each of our packages caters to a specific customer segment. We will now cover how to find the right price for a given segment<>package and the process can then be repeated across different segments.

What you end up charging for your product will be a function of the following:

1. Prospect Willingness To Pay (WTP)
2. Competitive & Category Price Points
3. Your Cost of Delivery
4. Discounting For Procurement
5. Your Pricing Strategy

Let's cover each of these starting with the WTP of our customers/ prospects.

Prospect Willingness To Pay (WTP)

Let us first start with trying to understand how to figure what our prospects will be willing to pay for our product.

Note that to understand which tactic to deploy in order to find the WTP, it is helpful to understand which one of the following two camps you fall into:

1. **You lack market feedback:** You are pricing a brand new product OR you are selling an existing product to a brand new customer segment.
2. **You have some market feedback:** You are moving from ad-hoc pricing to more scalable, predictable pricing.

When You Lack Market Feedback

If you lack market feedback, then essentially you have two tools at your disposal to elicit your prospect's WTP.

1. You can conduct a survey in which solicit a price range feedback based on the package you've designed for the target segment.
2. You can run a conjoint analysis that will help you refine the features included in your package and the associated price point of the package.
3. You can do in-person prospect interviews. If you are selling a complex, enterprise B2B SaaS product then you may be better served to do live customer pitch+feedback sessions.

Surveys

You can use surveys to illicit a given customer's range of acceptable prices.

Let's see the example of a basic pricing survey and then the more well known upgrade to the basic survey called the Van Westendorp Analysis. While the latter is more popular, I personally find the basic survey to be far easier to understand with clearer tradeoffs. I will explain in the following two sections.

Basic Pricing Survey

For a basic pricing survey, the two questions used to anchor responses are along the following lines:

1. At what point will the product be so expensive that you would not consider buying it?

2. At what point would you think the product is priced so low that you would doubt its quality?

Note that it usually doesn't work to ask a customer how much they'd pay for a given product because the answers may get actively biased too low if the customer feels they can influence the price of the product. It is also the case that without reference points, a singular price point answer may not be very revelatory as the customer essentially is just guessing at that point.

The survey questionnaire itself should ideally be structured so that first you can explain the context or product category you will query the customer about and then provide context on the specific product itself. By anchoring the customer in the type of solution (say CRM software) you are setting the right context of the decision. It would be fair to take through an explanation of the product with your product's purported value proposition so that the survey takers can appropriately think about the value of the product to them.

If you were to run a survey just with the two questions above to a representative population, you can then collate the results in a set of tables which follow:

Note: For conducting the survey I would simplify the pricing structure discussed earlier into a linear $ per unit. The 2-part or 3-part tariff would simply get too complex to describe in a survey and can be eventually backed into.

Table 1

Min Price $ per Unit (e.g. Price per seat)	Percentage frequency of selection	Cumulative Percentage
20	15%	15%
30	30%	45%
40	30%	75%
50	20%	95%
60	5%	100%
70	0	100%
80	0	100%
90	0	100%
100	0	100%

Table 2

Max Price $ per Unit (e.g. Price per seat)	Percentage frequencyof selection	Cumulative Percentage
20	0	0
30	0	0
40	0	0
50	10%	10%
60	20%	30%
70	20%	50%
80	25%	75%
90	10%	85%
100	15%	100%

Table 3

Price Point $ per Unit (e.g. Price per seat)	% of respondents for which price is not too low	% of respondent for which price is too high	% willing to spend the price point
20	15%	0	15%
30	45%	0	45%
40	75%	0	75%
50	95%	10%	85%
60	100%	30%	70%
70	100%	50%	50%
80	100%	75%	25%
90	100%	85%	15%
100	100%	100%	0%

Table 1 contains the frequency distribution by which respondents selected different price points being too low for the product to be of high quality. The cumulative percentage column is then helpful to find out, for how many people is a specific price not too low? In this example. 75% of people think $40 per unit is not too low of a price for this product. Table 2 does essentially the reverse of this. In the example, 50% of people think $70 per unit price is too high.

These two tables can then be combined into Table 3 to find out the % of people for which a given price is neither too low nor too high. We observe a maxima at $50 at which point 85% of people think the

price is neither too low nor too high, i.e. that they would be willing to pay this price for the product. This is also called the Optimal Price Point (OPP). *(Note that the OPP is a singular price point and that this analysis doesn't necessarily help us create a reasonable price point range, this is what the Van Westendorp approach will cover. Finally, whether or not you price at the OPP will be your personal decision taking into account costs, as well as strategic intent, i.e. optimize more market share vs optimize for margin).*

Van Westendorp Analysis

An alternative version of the basic pricing survey is the Van Westendorp Price Sensitivity Analysis. The aim is to establish price perceptions for a product in a market. Respondents are asked four questions to determine what prices are too cheap, where a price is a bargain, when a price is high and where a price is too expensive. By plotting the cumulative curves for each of the four prices, the crossing points are deemed to be optimum points according to different criteria. The resultant price "space/range" helps to determine the range of acceptable prices - and so pricing tactics - available.

This can easily be done in a spreadsheet, by first converting survey data in cumulative percentages, then inverting two of the question datasets and then using the histogram function to plot the curve. This is a good article that describes this process in general: https://www.dummies.com/software/microsoft-office/excel/excel-dashboards-add-a-cumulative-percent-series-to-your-histogram/

When done you will get a chart that looks like the one in Figure 19. It essentially shows a range of acceptable prices. The point of intersection where the same number of people think the product is Too Cheap and Not A Bargain, indicates a price of marginal cheapness (PMC) - i.e. any lesser in price and a greater proportion of people will find the product to be too cheap. The point of intersection where the same number of people think the product is Too Expensive and Not Expensive, indicates a price of marginal expensiveness (PME) - i.e. any higher in price and a greater

proportion of people will find the product to be too expensive. Essentially giving us some reasonable bounds to play inside.

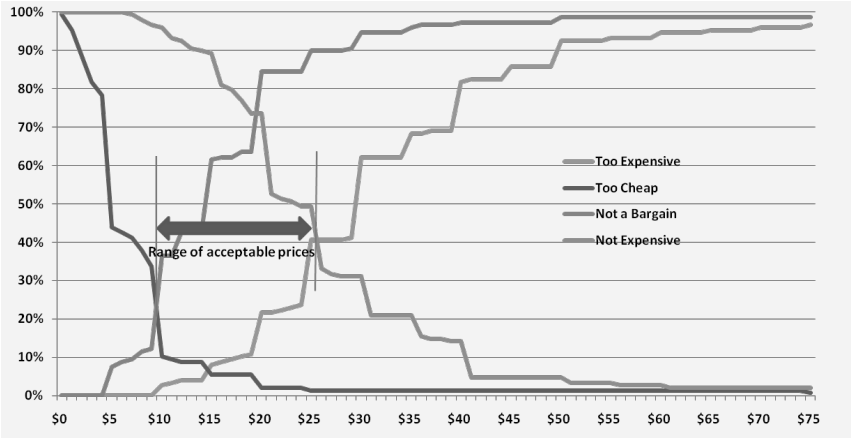


Fig. 19: Van Westendorp Analysis[15]

But this approach still has some issues. The analysis looks rigorous but is more suited for easily explainable (e.g. cpg) products where price and quality are strongly linked. This isn't always the case for software, and while the VW method gives us price ranges they have nothing to do with competitive prices or even one's own margin. Finally, the dataset is a function of the respondents, and designing a survey at the outset to be representative of your eventual market may be difficult, in which case it is possible the bounds you see here could have more give on the higher side, allowing you to increase the price. All this means is that this should definitely be a tool in your toolkit but that it provides us with a directional guidance that should be combined with your initial hypothesis, qualitative interviews as well as strategic intent to arrive at the right price point for your company/product.

[15] Source: https://www.5circles.com/van-westendorp-pricing-the-price-sensitivity-meter/

While the Van Westendorp analysis gives us more clarity than a simpler pricing survey, neither approach let's us estimate the relative value of different features or capabilities. To answer this, the conjoint approach offers us some more options.

Conjoint Analysis

Conjoint analysis is a powerful survey-based research technique that helps determine how people value different attributes (feature, function, benefits) that make up an individual product or service.

The objective of conjoint analysis is to determine what combination of a limited number of attributes (for example, a tier or bundle) has the most influence on respondent choice or decision making.

A controlled set of potential products or services is shown to survey respondents and by analyzing how they make choices among these products, the implicit valuation of the individual elements making up the product or service can be determined. These implicit valuations (*"utilities"*) can be used to create models that can help us understand how survey takers value different features or capabilities.

In the early years, conjoint analysis was applied to automobile design using a deck of conjoint cards and the respondents sorted the supplied cards from best to worst. Based on the responses, it was possible to make deductions about the importance of "attributes" and the preference for "levels". Conjoint analysis saw good adoption in the 80s with Green and Wind publishing a case study[16] in 1989 on the use of conjoint analysis in the design of Marriott Courtyard hotels (*which I do prefer over other brands, but I digress*).

Let us look at Figure 20 to understand the basic elements of conjoint analysis.

[16] https://pubsonline.informs.org/doi/abs/10.1287/inte.19.1.25

Attributes	Levels of each Attribute
Price	$70 per month
	$50 per month
	$30 per month
Data included	500 MB
	1 GB
	10 GB
	Unlimited
International minutes included	0 minutes
	90 minutes
	300 minutes
SMS included	300 messages
	Unlimited text

Fig. 20: Attributes and their Levels for Conjoint Analysis

Attributes are 'dimensions' of the product (brand, size, performance, price, etc.) or pricing plans (we use pricing plans in our example adapted from Conjoint.ly[17]). It is important to use attributes that you think drive your customers' decision making. To arrive at this list of attributes, you may do a first survey with a focus group and a few experts. You would also include attributes whose importance to the buying decision you really want to investigate. While the technique itself is elegant, be mindful of the customers' limitations in being able to engage with your analytical approach at a very detailed level of granularity. In general, anything more than 6-7 attributes is not advisable.

Levels are the specific values that the attribute under consideration may be assigned. These values could be real if we are comparing existing products or plans or they may be proposed values if we are designing a new product or plan or want to try out newer combinations. It is important that the name and value chosen for a

[17] https://conjointly.com/guides/what-is-conjoint-analysis/

Level is understood by the respondents. Any attribute should have at least two levels if we want to consider its impact in some combination.

Once we have done the basic design of attributes and levels, we need to choose the actual combinations that we want to test out. These combinations are referred to as a Profile. Figure 21 depicts four profiles from our chosen attributes and levels. If you look back at Figure 20, you may quickly realise that all the levels and attributes can be used to generate a very large number of unique Profiles. Since such an approach is not practical, we use some heuristics and knowledge of the industry to reduce the number of Profiles we offer to the respondents. Of course, for a complex product or plan analysis, there are more robust analytical methods available but we do not usually get involved in that level complexe analysis. If you are of an analytical bent, I can refer you to a somewhat dated study[18] by Kuzmanovic et al where they explain in great detail the design of a conjoint analysis to study the preference of students for postpaid mobile services. There need to be at least two profiles shown to the respondent at any stage.

Attributes	Starter Plan	Voice Plan	Text Plan	Premium Plan
Price	$30 per month	$50 per month	$50 per month	$70 per month
Data included	500 MB	1 GB	10 GB	Unlimited
International minutes included	0 minutes	90 minutes	0 minutes	300 minutes
SMS included	300 messages	300 messages	Unlimited text	Unlimited text
	Choose	Choose	Choose	Choose

Fig. 21: Example of a Conjoint Task for Mobile Plan Choice

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https://www.researchgate.net/publication/260515194_Understanding_Student_Preferences_for_Postpaid_Mobile_Services_using_Conjoint_Analysis

Figure 21 shows one "Task" given to the respondent, where they make a choice between four profiles. It is possible, and often needed, to present more than one task to the respondents if we need that amount of analysis. For example, we may have follow up choice tasks for Add-Ons or Top-Ups for each of the example plans in Figure 21.

Once we have the survey results, we can obtain a quantitative measure, called a "preference score" or "partworth utility", for each attribute. Figure 22 shows an example of preference scores for attributes and levels of the mobile phone plans under consideration.

Attribute	Level	All responses
Price	$70 per month	-18
	$50 per month	0
	$30 per month	18
Data included	500MB	-25
	1GB	-10
	10GB	11
	Unlimited	23
International minutes included	0 min	-1
	90 min	-1
	300 min	2
SMS included	300 messages	-6
	Unlimited text	6

Fig. 22: Utility Scores for a Mobile Phone Plan[19]

Using the preference scores derived from the survey responses, we can simulate how the customers will express their choices for new products and concepts that do not yet exist and forecast market shares for multiple offerings in the market. We can also find out which features and pricing provide a balance between value perceived by the customer and what it would cost to bring those to market. Figure 23 shows how different data amounts in the example mobile plan will affect a company's market share. For a more comprehensive discussion of the conjoint simulator, I will refer you

[19] Source: https://conjointly.com/guides/what-is-conjoint-analysis/

to this content[20] from Sawtooth Software. You can also try out a simulation using a workbook[21] from Conjoint.ly.

While the standard conjoint analysis was based on respondents providing ratings for features or choices, the availability of automated platforms and more capable respondent devices has led to many types[22] of conjoint analysis becoming prevalent, each with its pros and cons. In practice, you can readily do enough conjoint analysis to meet your needs with workbooks you create on your own. With online surveys now par for the course, variations like Choice Based (or Discrete Choice) Conjoint (CBC), Adaptive Choice Conjoint, and Adaptive CBC (ACBC) are what you could use for bigger groups or complex analyses.

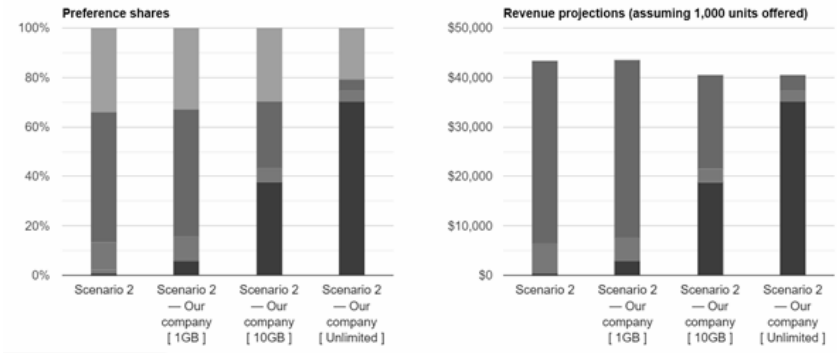


Fig. 23: Impact of Data Amount in a Mobile Plan on Market Share[23]

Later in this book you will read my interview with Jan Pasternak who routinely uses this approach to weigh trade-offs between competing packages for SaaS products. In a webinar on the topic of pricing research methods, he shared some simplifying insights for the type of inputs and outputs we can expect from conjoint analysis, as well

[20] https://sawtoothsoftware.com/resources/technical-papers/introduction-to-market-simulators-for-conjoint-analysis
[21] https://conjointly.com/guides/conjoint-preference-share-simulator/
[22] https://www.dobney.com/Conjoint/conjoint_flavours.htm
[23] https://conjointly.com/guides/what-is-conjoint-analysis/

as pros and cons of the approach. I am summarizing these insights below.

SaaS Software Example

Figure 24 shows different package options for a fictional SaaS product and how conjoint analysis helps to understand the customer preferences/"take rate" as well as resulting revenue impact (normalized) across the packages.

Here we can see that 'Better' and 'Best' packages have more takers compared to 'Good' and 'Best+', with 'Best' garnering the highest revenue.

Input: Package Options					
	Good	Better	Best	Best+	
Storage	5	10	Unlimited	Unlimited	
# of Active Projects	10	Unlimited	Unlimited	Unlimited	
Email Input	Not Included	Included	Included	Included	
Base Pack	Not Included	Not Included	Group	Group	None Option
Data Visualization	Not Included	Not Included	Included	Included	
Usage Reports	Not Included	Basic	Basic	Comprehensive	
Support	Business Hours	Business Hours	Business Hours	24/7	
Package Price	Free	$9	$14	$24	
Output: Take Rate & Revenue					
% Take Rate	5%	20%	25%	3%	47%
Revenue	$0	$1,800	$3,500	$720	$0

Fig. 24: Understanding Customer Preferences for a SaaS Product (credit: Jan Pasternak)

Now we cover both the pros and cons of this approach so that we have an understanding of when and when not to deploy this technique.

Pros	Cons
Relatively Inexpensive: The conjoint approach is suited for scale and is relatively inexpensive compared to in-person interviews. *(Those are covered in the next section)* **Flexible:** One of the beauties of the conjoint approach is that a dataset can answer many different business questions and what-if scenarios. Even if your product team is unable to deliver on a key differentiator, you can simply re-run the model with the feature removed. This saves a lot of heartache of re-doing surveys. **Accurate:** Since the output of conjoint analysis is often very precise, it can help in making recommendations to your CFO.	**Large Sample Sizes Needed:** This approach requires a high volume of responses, and this can be a challenge because a typical conjoint survey will take 2-3x more time than the Van Westendorp approach to take the survey and requires some amount of explaining of the product features. *(Approaches to get enough samples can involve using survey firms like Qualtrics for ~$100/survey or using in-house demand generation with direct offers of low priced Amazon gift cards and finally expert networks like GLG can be for specialized personas such as CXOs.)* **Mainly suited for simple products and online/web sales motion**: Generally if the packaging structure is too complex and not published on the web, then it may not be suited to be put in a conjoint survey. If you think the product needs to be explained in-person then conjoint will not work. Customers should be able to understand the full value in a few minutes.

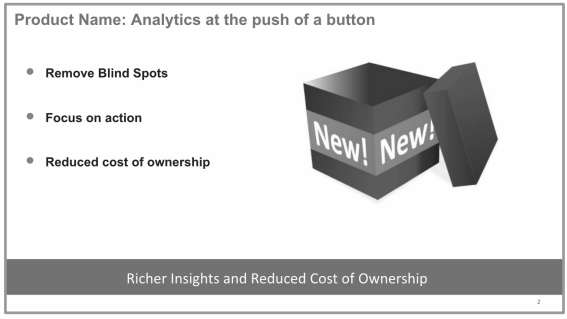
Qualitative Customer Research Approach

In many cases, the above mentioned approaches of surveying methodologies may not work well for complex and/or enterprise products, as a prospect would require having a robust understanding of the product, its features and benefits.

In such situations, we can revert to qualitative research approaches involving directly interviewing customers in one-on-one settings.

In general we aim to interview a representative sample of our customer/market base, which can be as few as 5-10 interviews to upto 40-50 interviews depending on the size of the pricing change as well as size of the overall business and customer base.

For each interview, we will aim to probe both open-ended feedback on product, packaging and pricing, as well as get the customer to force rank features, benefits and pricing options. Below I provide a suggested template[24] that you can design your own customer interview slide deck on.

Purpose	Slide
This is the first slide of the deck, meant to be a context setter for the discussion. Here it is a brief snapshot of the product in question with high level benefits and features.	

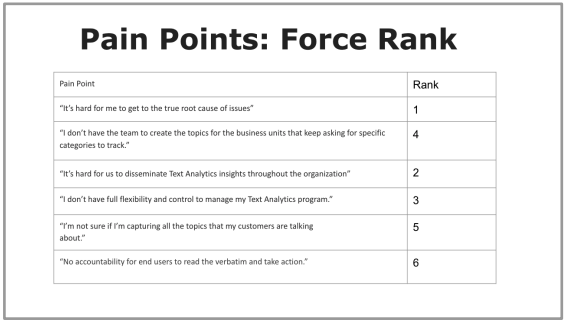
[24] You can download my template from here: http://bit.ly/qualitativetemplate

This second slide will then go into the goals of what we are looking for in the discussion and provide a brief agenda.



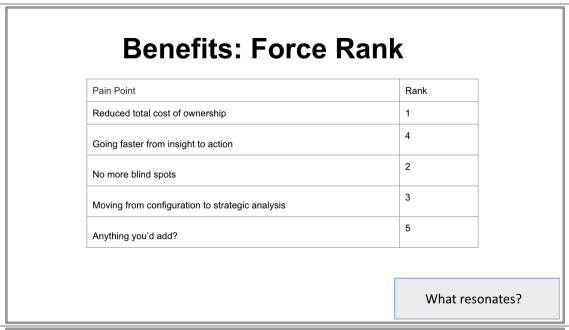
Depending on how you want to sequence the interview and the areas you'd like to probe you can now start to ask questions around specific areas of interest.

Here we are forcing the client to force-rank pre-created pain point statements, such that we can aggregate responses across a set of customers to validate our hypotheses. We aren't yet talking about features as the client doesn't understand the product yet.

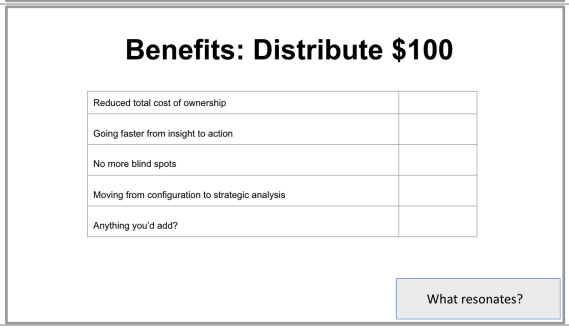


The same question from the last slide can also be asked by making customers distribute $100 amongst the areas of pain. This may provide a further level of granularity if two or three choices are perceived to be of similar weights.	**Pain Points: Distribute $100** "It's hard for me to get to the true root cause of issues" 40 "I don't have the team to create the topics for the business units that keep asking for specific categories to track." 10 "It's hard for us to disseminate Text Analytics insights throughout the organization" 35 "I don't have full flexibility and control to manage my Text Analytics program." 15 "I'm not sure if I'm capturing all the topics that my customers are talking about." 0 "No accountability for end users to read the verbatim and take action." 0
At this point, we can proceed to do a 15-20 minute demo of the product and the main features we want the customer to understand. Make sure the demo clarifies to the customer, exactly what the product and features do.	**Demo** 6
This slide right after the demo is to capture open-ended feedback right after the demo. Often it can bring out areas of opportunity or peculiar objection that you may not have anticipated.	**Thoughts & Reactions** Open Ended Feedback 7

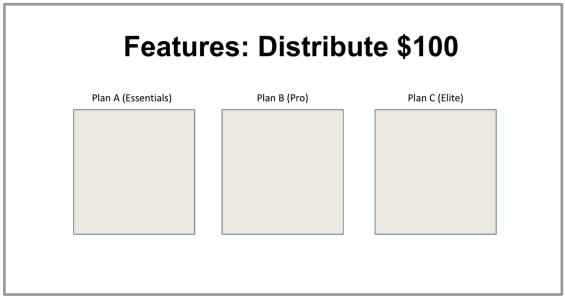
Now that the customer understands the product you can do a similar structured analysis on product benefits.

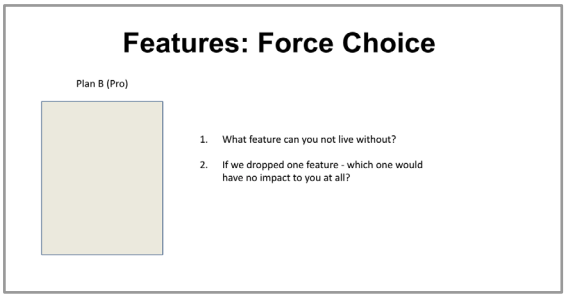
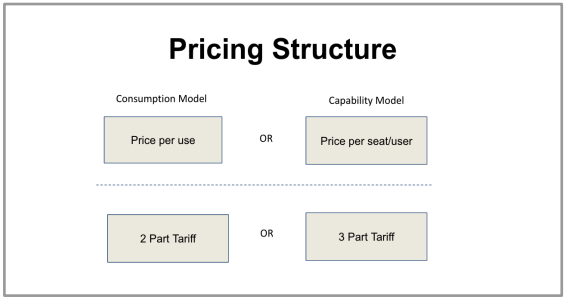
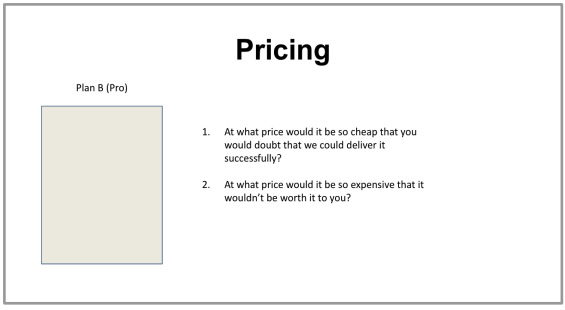


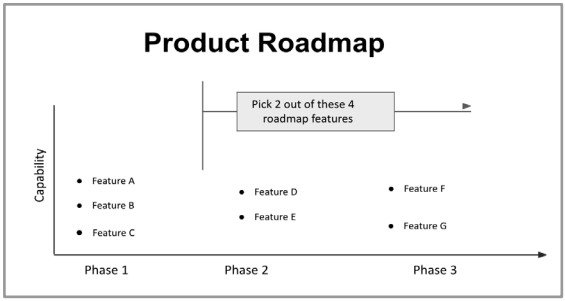
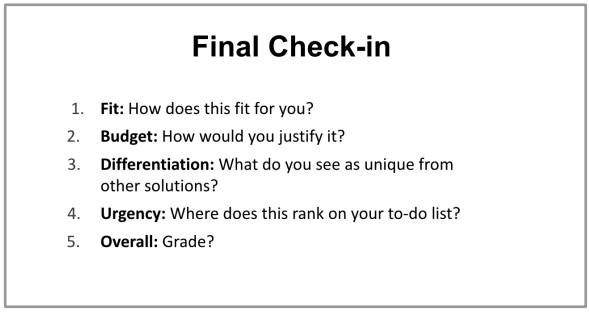
A higher granularity benefits analysis.



The same approach to analysis is now extended to different options of packaging. In this slide the customer is asked to distribute $100 amongst the Essential, Pro and Elite package to identify what seems to be the best fit.



Continuing this analysis, for the package which the customer assigns the highest value, you can isolate the most important and least important feature for the customer to understand which features are the most value driving.	
Now you can move into getting customer opinions on the best pricing metrics. Is a per seat model more favorable or is a usage based model better? This is very helpful as we've discussed earlier, as the proper selection of the pricing metric can be significantly impactful.	
Having asked questions about structure, you can then go into asking pricing survey-type questions to converge on a reasonable price band based on the preferred price	

metric.	
Having gone through the questions around positioning, packaging and pricing, the other area you can probe is about product direction. Here we give the customers a list of features that we are considering building and force them to choose the two most important out of four provided.	
We are done with our detailed questions and now is the time to check-in and see if the customer would buy. Here we probe a bit more on whether this seems like a fit, urgency of purchase, perceived differentiation and budgetary decisions. Often we can get the favorable answers on positioning and pricing but when probed to think about actually purchasing the product, a	

customer might have 2-3 other higher priority items. This slide will help us understand our offering is compelling for the customer.	

The Post-Interview Debrief

After each customer interview the interviewer or interviewing team then does a self assessment to rate (on a 0-to-10 scale) the customer's fit with the product and/or package as well as rate the customer on their willingness to buy (0-to-10). In addition to the data collected during the interview process, these ratings will help us judge how close we are to this being a viable, revenue generating product offering.

Tabulating the feedback

After having gone through this process across our sample set of customers. We will compile the data in a spreadsheet that can then be used for further analysis. It will also be helpful to add other firmographic data such as revenue or employee size to the sheet that will help put the data in context.
The screenshot below shows one way to organize this data.

	Company A	Company B	Company C	Company D	Company E
Top Pain Point	Option a	Option a	Option b	Option b	Option a
Top Ranked Feature	a	a	b	c	a
Top Package	Essentials	Pro	Pro	Elite	Elite
Preferred Pricing Metric	Pay per event	Pay per event	Pay per event	Pay per event	Pay per event
Price below which too cheap ($/event)	0.25	0.33	0.45	0.5	0.45
Price above which too expensive ($/event)	1	2	2.5	2.5	3
Product Fit	5	7	8	8	9
Willingness to Buy	4	8	7	10	10
Revenue	$5M	$20M	$30M	$200M	$350M

Analysis

Now that we have our data prepped we can analyze the data to answer some key questions: What are the most pertinent pain points? Which customer segments do we have the best fit with? Does our packaging align to our customer segments? What is the most preferred pricing metric?

While a lot of the analysis will be simple, I would like to stress on the chart in Figure 25 that provides a strategic assessment of our product-market fit (based on our self-assessment). When combined with firmographic data, in this case we can observe that larger revenue companies in this example tend to have a better fit with our product. Based on this we can decide to revise our ICP (Ideal customer profile) and even avoid going after smaller companies where the fit may not be so good, thereby helping create a stronger sales motion.

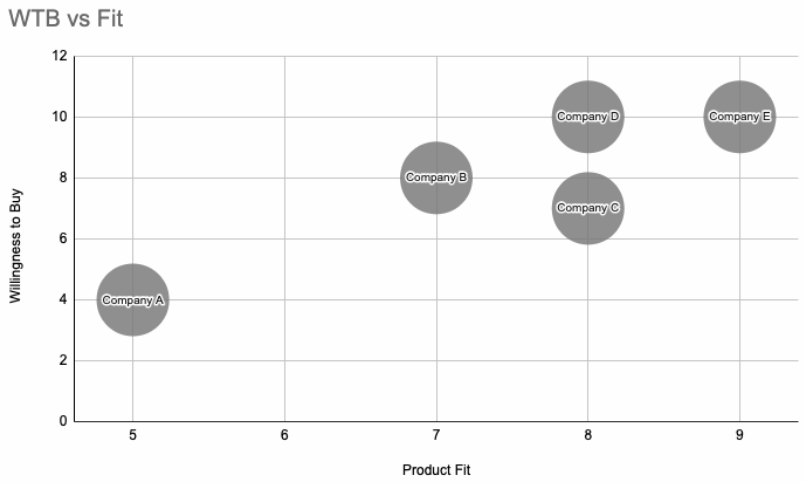


Fig. 25: Discovered Product-Market Fit

When You Have Market Feedback

If you have had somewhat of a functional, running sales motion, you may already have empirical data on how much different customers are willing to pay for your product. The first thing to do would be to make a list of all existing customers, the price at which their account was sold, and the driving unit price metrics (e.g. employees or usage volume). Then rank order this list such that you can plot a chart that looks something like the one in Figure 26. *(This exercise can be done for either your entire customer base or just for a given tier/package)*

What we are trying to understand is:

- How much does the market really bear for this product?
- How much are we discounting?
- And, can we identify customer segments by looking at the data that might have more price elasticity than others?

In this hypothetical example we assume our company has sold 10 customers so far on the product we are trying to price. We can further label clients based on their consumed unit volume of our product *(assuming that was our key pricing metric)*

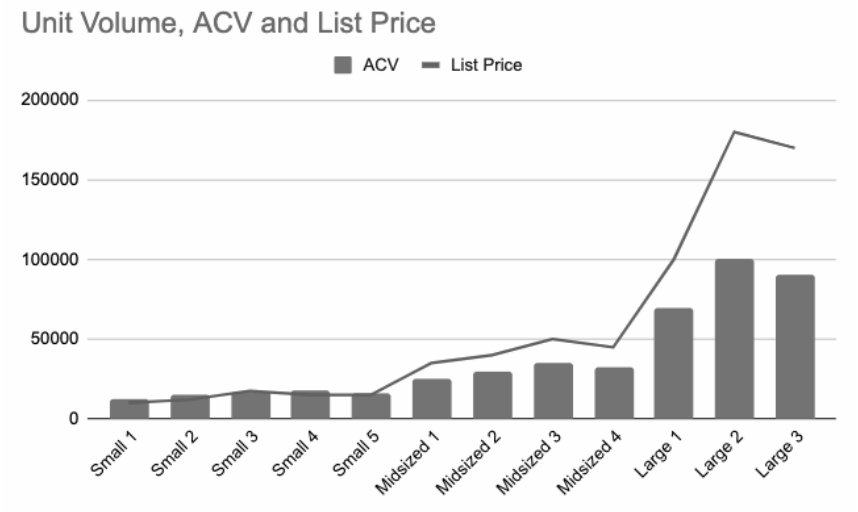


Fig. 26: Understanding Your Customer Using Existing Pricing Data

What does the data show?

We can see that Large customers tend to pay 2-10x more than Small customers. In this chart we can see that in some cases the company is selling at prices higher than the list price, i.e. negative discounting. We can also see that list prices are 30% to 50% higher than actual per account ARR for Large customers.

In general, in B2B software, one can expect commercial (i.e. smaller) deal discounting to be upto 20% and for enterprise (i.e. your larger customers) deal discounting to be upto 80%. Here we can clearly see that we likely need to increase list prices to get into a positive discounting range for smaller deals and while discounting for larger customers seem to be in line.

Another instructive chart to look at for the same data set is to look at unit pricing i.e. ACV divided by unit volume. In the chart in Figure 27, we can see a reduction in unit price as deal sizes become bigger. Larger customers pay around $0.60 per unit but smaller customers pay around $2.10 per unit. This is perfectly acceptable in SaaS pricing as customers expect to get a 'volume discount' if they are using more of the service or buying more licenses/seats, etc. What this does help us with is give us our current 'price points' across different segments. If our sales motion was largely priced ad-hoc, now we have more data around which price points our packages will need to be close to, in order to work. However, if you plan to change your key pricing variable, pricing structure or introduce new customer segments, then don't make the mistake of extrapolating this data since it is derived from a sales motion with certain defining pricing assumptions and customer segments.

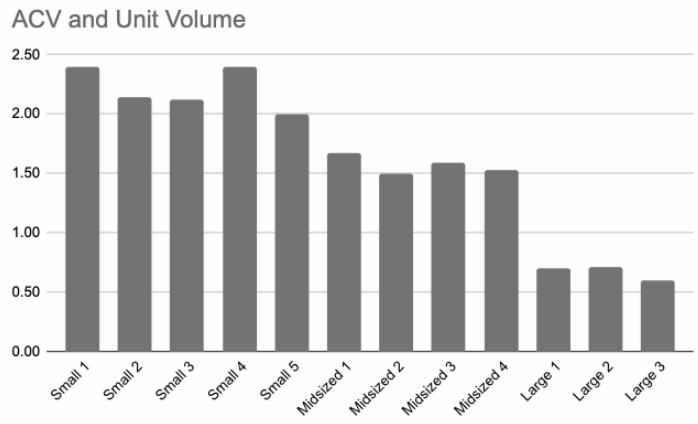


Fig. 27: Unit Prices Versus Deal Size

While the charts in Figures 26 and 27 helped more in understanding the price point across segments, we can also do analysis to help validate our packaging approach. What we can do now is to pick 5-7 critical features and see how the usage of these features align with our customers.

Can we find a pattern in the data that some customers pay a unit price premium when most of the features are used? In the example in Figure 28 we can see that while Feature 1 and 2 are used by all customers, features 4 and 5 are used more often by larger customers with higher ACVs, but not at all my smaller customers. In a packaging exercise, we now know to introduce these features only to our higher end packages.

Client	Feature 1	Feature 2	Feature 3	Feature 4	Feature 5	ACV
Small 1	x	x				12000
Small 2	x	x				15000
Small 3	x	x				17000
Small 4	x	x				18000
Small 5	x	x				16000
Midsized 1	x	x	x			25000
Midsized 2	x	x				30000
Midsized 3	x	x	x			35000
Midsized 4	x	x				32000
Large 1	x	x	x		x	70000
Large 2	x	x		x	x	100000
Large 3	x	x	x	x	x	90000

Fig. 28: Discovering the Link between Features and Unit Price Premium

Note that we are not looking to create a pricing model that fits historical data, but only use historical data to get enough signals to know whether list prices should be increased or decreased, and whether new packaging can be created on the basis of features that drive more value.

If in fact you are either changing your unit pricing variable, structure and/or changing packages then I would still recommend combining empirical data analysis with market/prospect research methods described in the prior section.

At this point we have the bulk of customer feedback based information required to finalize our packaging and pricing approach. The next sections cover some other practical areas *(such as cost of delivery, type of market and discounting)* that need to be considered before deciding that the price will be.

About ROI: Justification vs Price setting

There is an oft repeated ROI-based pricing sentence I've heard along the years which goes something like "Mr Customer, I will aim to deliver you 5x to 10x ROI and in return I only want [1% to 10%] of the benefits accrued to you". In theory this is an attractive approach, customers can get the majority of the value delivered and we get a small but proportional chunk of change for our value delivered.

This is theoretically very lucrative if the value proposition was actually as strong as many companies suggest. A common mechanism by which this is demonstrated is by doing a study with an external consultant. Forrester's Total Economic Index is one such example.

Let's take a look at ROI claims across a few of these studies. Here is a sampling of what a Google search throws up when I searched for a well known report produced by Forrester known as Total Economic Impact - TEI:

1. **Snowflake:** Forrester reveals a customer ROI of 612% and total benefits of over $21 million over three years for Snowflake's cloud data platform.
2. **New Relic:** Forrester's interview with an existing customer and subsequent financial analysis found that the interviewed organization experienced benefits of $13,277,754 over three years versus costs of $6,047,192 adding up to a net present value (NPV) of $7,230,562 and an ROI of 120%.
3. **DataRobot:** Forrester Total Economic Impact Study of DataRobot: 514% ROI and Payback within 3 Months

4. **Snaplogic:** Over a three year period, 498% ROI $3.9 Million Benefits Present Value $3.3 Million Net Present Value ~6 Months Payback
5. **Qualtrics:** Forrester Consulting estimates the 3-year benefit of Qualtrics experience management software at $38.4 million – which is an ROI of 633%.
6. **Twilio:** $12.6 million in benefits versus costs of $3.3 million, resulting in a net present value (NPV) of $9.2 million and an ROI of 277%.

When I look at these numbers, what comes to mind is an interview I had with a CEO for a Marketing role, where he kept pushing me to explain the difference between correlation and causation.

He was miffed about a phenomenon around how marketing organizations take credit for everything a company did to be successful where in reality the software was just one small piece.

What's going on with these reports is something similar. One the one hand they may not be able to isolate purely the impact of the software in question and on the other hand, organizations cherry pick their best customers to be used in these case studies.

This sentiment is echoed by Tomas Tunguz in his own blog, **The Siren Song of ROI Based Pricing**[25]

"If we reflect on the most successful software companies, the very largest, very few sell based on ROI. What is the return on investment of a Salesforce or a Workday deployment? How do you calculate it? How does an AE defend it?

Many times these ROI calculations assert unquestionable numbers. But most buyers approach these kinds of arguments with skepticism and even cynicism. Sometimes, they have been burned in the past making kind of arguments.

[25] https://tomtunguz.com/the-siren-song-of-roi-based-sales/

Other times, buyers recognize that it is almost impossible to measure true return on investment. Switching costs are rarely accounted for in his calculations. Measuring increasing productivity is very difficult. Soft costs "challenge the math."

The point being that a well paid consultant can come up with an amazing ROI number and when your customer does this analysis at the end of the year, the numbers they see will not be this rosy. So if you base your pricing to be a percent of ROI, you and your organization will then bear the onus of justifying it at year end.

This is why, while all companies talk about ROI, nearly none use it for pricing.

Don't get me wrong, ROI is a great tool, but for price justification, just not for pricing.

Competitive & Category Price Points

So far in the book we've covered some critical elements towards setting the price of our product(s) and we've mostly looked at our value delivered to customers. Our analysis wouldn't be complete if we don't look at competition and the larger product segment/ category we operate under.

In order to understand this, it's helpful to think about the nature of certain markets. We can broadly segment markets into the following subtypes:

1. **Blue ocean:** In this type of market, your product is replacing a different way of doing things and faces lesser head to head competition. Usually this market has seen action before but now could be mistaken for a boring place to be. In this type of market, you have many more degrees of freedom on how to price and how much to price. A high price elasticity customer such as a national bank might end up paying 5-10x

more than a national retailer. However, the issue in this market is more category and solution evangelization and disproportionate effort needs to be made to 'get things going' in the market, until then every sales is on its merits. Thankfully you avoid the problem of commoditization and a pressure to keep prices low.

2. **Monopolistic:** I like to call this market similar to a vacuum cleaner where one big company sucks up most of the market and sets the benchmark for product functionality and price. The customer service landscape is one such with Zendesk taking the lion's share of market spend and attention. The CRM market is another, where Salesforce sets the agenda. Smaller players exist but only at the margins or as add-ons on top of the core functionality these players bring to the table. Head on competitors tend to fail, unless they bring a truly 10x advantage over the incumbent. Pricing in this market is in reference to the big player. If Salesforce charges $150 a seat, then your pricing is evaluated in context of it - i.e. it becomes an anchor in the mind of prospects and customers. And if a company pays $150/seat for its CRM, then a limited capability that adds on the CRM would automatically have to be a reasonable percentage of this price. This eventually can end up in a race to the bottom price struggle if the incumbent fails to innovate, as new players crop up and in some cases copy existing capabilities and offer it for cheaper.
3. **Renaissance:** I didn't have the right technical term for this market, but I call this the Renaissance market where a bunch of small players are vying for dominance but there hasn't been a clear leader that exists. The difference between this market and the Blue Ocean market is that here key pricing variables are converging, i.e. most players will now start charging per seat or per usage. Value propositions are similar but capabilities have significant room for differentiation. There isn't much to anchor outside of the customer segment, and all focus needs to be in correctly serving your ICP. In a

sense pricing agility within the right pricing structure becomes more important than having the exact right price point.

Once you understand the type of market you are in, then you should have an intuitive grasp of how much you should account for competitive price points and pre-set anchors in the minds of customers.

Let's now look at a few other variables before we actually come down to our decision of setting the price point.

Your Cost of Delivery

Many pricing experts and articles give some real estate to 'cost-plus pricing'. This approach essentially adds a margin amount to the cost of production of a given product. This may make sense in commoditized markets for products which have hard costs of production, but for products like software *(at least in the application layer)* it makes very little sense to do cost-plus pricing since there are mostly hard setup costs but very little production costs, or cost to serve every additional customer after that. This is also why software is generally a high margin business. *(Some amount of cost-plus pricing may still be relevant in SaaS, and that happens the closer the software is to the infrastructure layer and tied to hard costs such as compute power, storage, etc.)*

On the whole, I am still surprised when time after time, seasoned executives push back on pricing by saying "we need to charge more for this because it's costly to deliver", or, "this x feature is really simple so why are we charging so much for it?"

For the most part in software sales, pricing for software is based on perceived value to the customer and not the cost of production. Albeit there is always an implementation price charged in addition to account for the delivery of the product to the customer, but even that cannot seem unreasonable 10-15% of software ACV is standard in the industry today.

All that being said, costs still need to be looked at, because they can a) act to sanity check your go to market strategy and b) to ensure you actually get the build once distribute-many economic cost advantage

Average Cost vs. Marginal Cost in Providing SaaS Services

In SaaS companies, a commonly used financial metric for determining price points and assessing profitability is the *Cost of Goods Sold (COGS)* per seat This metric is typically calculated by dividing the total cost of providing the software across the entire customer base by the number of users or seats. While this approach is useful for assessing overall profitability, it can be misleading when it comes to making pricing-related decisions.

The key issue lies in the difference between *average cost* and *marginal cost*. The average cost reflects the total expenditure spread across all users, giving a broad view of the cost structure. However, the *marginal cost:* the cost of providing the service to an additional user or seat, is usually significantly lower than the average COGS. This discrepancy occurs because many of the costs associated with SaaS products, such as development, infrastructure, and customer support, are largely fixed or do not scale directly with the number of users.

As a result, companies that rely solely on average COGS per seat for pricing decisions may overestimate the cost of adding new users. This overestimation can lead to a reluctance to introduce lower-cost or freemium packages, which could otherwise be highly effective in driving incremental revenue and expanding the customer base. By focusing too much on average cost, companies might miss opportunities to attract a broader audience, particularly in price-sensitive segments of the market.

Therefore, it's crucial for SaaS companies to consider both average and marginal costs when making pricing decisions. Understanding the marginal cost can reveal opportunities for more aggressive pricing strategies, including the introduction of freemium models or

lower-cost tiers, which can significantly boost user acquisition and long-term revenue growth. Balancing these two metrics allows for more informed and strategic pricing that aligns with the company's broader growth objectives.

Sanity Check Your Strategy

Let's assume it takes us $3000 to implement our software on average for a mid-sized customer (taking man hours into account). However, you find yourself selling into a competitive SMB-focussed app store environment where competitive pressure pegs down your deal sizes from $1000 to $10,000 per year. Additionally, the cost of acquisition of these customers is also SDR-driven and hence manual and could be in the $1000 to $3000 range. Now suddenly, this segment doesn't look that attractive. Not to mention the opportunity cost of focussing your reps and SDRs away from a more higher ROI customer segment.

Everything about a SaaS business depends on the economics inherent to acquiring and servicing customers.

Here you come to a decision point on strategy. Do you want to take a short term hit in this segment such that you can own more market share? This is one of the main reasons why looking at costs helps. Costs make you rethink and be sure about your strategy.

Setup vs Ongoing Costs

As mentioned, in most cases software costs have minimal expenditures to deliver once initially built, even taking into account cloud hosting, storage and processing costs, as you easily build in economies of scale as you onboard your customers and keep improving margin.

However, in some instances it doesn't quite work this way. Let's say you leverage a third party solution in a consumption

model yourself, upon which your service depends, and the associated costs being really high in relation to your product.

One such example is sending SMS (specially internationally), where the per SMS cost could be as high as 12cents per SMS. In this case, unless the volume of SMS sent is very low, you will have to account for this part of your capability different than your main pricing mechanism. Not doing so would mean you end up bleeding money for customers that have a high use for this capability.

If you price per seat, and want to offer this capability to customers. Then just for the capability to send SMS, you want to charge this on a consumption model with its own mini pricing structure. Or you may choose to pass through these costs all together to the customers, and separate out the value of your own product.

Your Pricing Strategy/'Intent'

We are finally here. We've thought through positioning, packaging, our key pricing metric, pricing structure, customer/prospect WTP, and our market.

The term "strategy" is much bandied about across almost any relevant blog if you do a simple pricing related Google search.

It is not used in such a high brow fashion here. This is simply a decision you make.

You have all the data around your hypothesis at hand, it is still a final decision to 'set' the price points themselves. How you make this decision is up to you and there aren't all that many approaches to this. You can price:

1. At the higher end of the price customers may be willing to pay. This optimizes for maximum margin.

2. To optimize revenue, which balances both the number of customers willing to buy with the price that they are willing to pay.
3. For the greatest market-share. In this case you are pricing at the lower end of the range that customers are willing to buy your product.

It is a completely unique decision to your company. You have to make the call at the end of the day.

Often companies with an enterprise focussed product may opt for maximizing margin, especially if they have a limited market size. A margin maximizing approach may even be a thought through strategy to generate viable cash flow for growing the business before pivoting the product into a mass-seller. Alternatively, a bottom-up SaaS company such as Slack or Yammer may want to shoot for maximizing market-share because their business success depends on a sort of B2B virality.

As long as you've put enough thought into your packages, pricing metric and structure, this is a relatively easy to change decision. Getting the structure right at the root will always be more important than the price point.

STEP 5A
Pricing Operations

Ok, so we're now. We've finally done all the strategic decision making and analysis to arrive at the pricing structure.

Time to celebrate? Not in the least.

Later in the book, I've documented my interview with Natalie Louie who is currently the Sr Director of Product Marketing at Zuora. One of her quotes really resonates with my own experience of implementing a new pricing model inside a company, "*I would almost argue, for me at least, pricing strategy is the easy part. Pricing operations, that is where you start pulling out your hair. And that's where all you're faced with is 'no'. 'No, we can't do that.' 'No, we can't do this'*"

Pricing Operations involves all systems, processes and people involved in ensuring the new pricing model is fully adopted in your company and such that the sales engine works like a smoothly running machine.

Not even the best pricing model can yield any result if it's not operationalized to enable a smooth sales process and 100% adoption by the sales, professional services, ops and finance teams.

This is especially true of sales-driven cultures where ad-hoc deal by deal pricing has been part of a company's history.

So let's make sure we get this right. What do we need to do?

1. **Packaging Reference Doc**: One production-ready place where your company's pricing resides such that it is always referencible by anyone inside your company and provides complete guidance on all available features as well as constraints.
2. **Website**: Decide whether to publish your pricing and packaging on your website.
3. **Team:** Understand the different roles required to man pricing operations and then staff these roles. In fact, we dedicate the next chapter solely to the Deal Desk function.
4. **Pricing Calculator:** Build an easy way for your sales team to run pricing scenario analysis at the early stages of the sales team.
5. **Quoting System/CPQ**: Build an easy way for your sales team to quote pricing to their prospects.
6. **Product Metering**: Decide if you need to build a metering system for the key value metric such that you can bill customers if they are on a consumption based model.
7. **Discounting**: Set and operationalize guardrails and rules around discounting across sales reps, sales leadership and the CEO/CFO.

That's a lot! It really is.

Compared to the creation of the pricing model, the implementation takes 3-5x the amount of effort (depending on which items you check off this list above). I say this to caution you before committing a full implementation in 4-6 weeks (*been there, done that*) and that any meaningful rollout will take at least a quarter (3 months), often more.

With that caution out of the way, let's now discuss each of these items.

Packaging Grid

One document that will help truly align your packaging with all GTM stakeholders internally (product, sales, sales engineering, finance, you name it) is a simple shared (and up to date) product packaging

grid that lists out the features included in each Tier, as well availability across geos, constraints and implementation notes.

The following table below shows a simplified version of such a grid that I've used, and one that has been very convenient to rid of any confusion during the regular sales motions. The effort taken to keep the document current (mostly once-a-quarter updates) is always well worth it in having clarity about basic questions, 'what can we sell?', 'what's in the elite plan?', 'does this work in Europe?', 'how complex is the integration?' and so on.

Once in place you can bet that it will drive projects to improve your website product pages, provide answers for RFP questions, serve as a source of truth by the company and limit one off questions on a feature or package set *(of which there will be plenty once a new pricing model is released)*.

Product	Customer Facing Feature Name	Pro	Elite	Constraints	AMER	UK / EU	Need to know about implementation
Product A	Widget A	TRUE	TRUE		Avail	Avail	
	Widget B	TRUE	TRUE		Avail	NA	
	Widget C		TRUE		Avail	Avail	
	Widget D		TRUE	Does not work in EU	Avail	Avail	
	Add-on: Feature X	TRUE	TRUE		Avail	Avail	Requires special integration, delaying implementation
	Add-on: Feature Y		TRUE		Avail	NA	
	Add-on: Feature Z		TRUE	Does not work in EU	Avail	Avail	

Website Pricing Page

The decision to publish pricing on your website is not to be taken lightly, and it should align with your overall GTM strategy.

There is today a general consensus within SaaS circles that publishing your pricing is a de-facto good thing -- on this point I disagree. This is a decision that requires thought.

Publishing pricing on the website makes more sense for high velocity sales engines with a more transactional sale and cut and dry packages, but less so when the deals are complex, low velocity with larger deal sizes. As soon as you publish your pricing on the website it forces you to have robust differentiation between tiers as all types of customers, channel partners and even competitors will start to use this as a reference.

Publishing pricing will also lead prospects to comparison-shop and question their software needs, existing customers may also start to want downgrades (this scenario is covered in the Citrix case study later in the book).

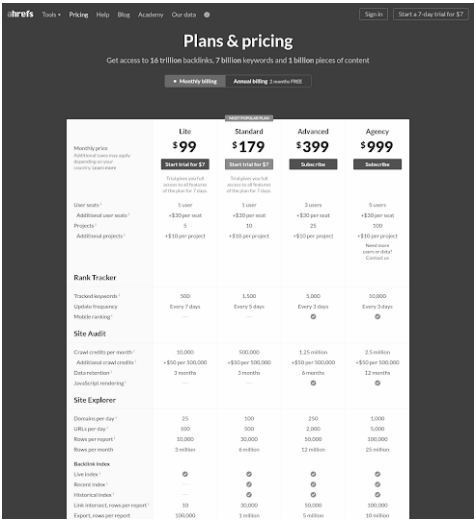
Every company's GTM is different and the decision should align with the GTM strategy.

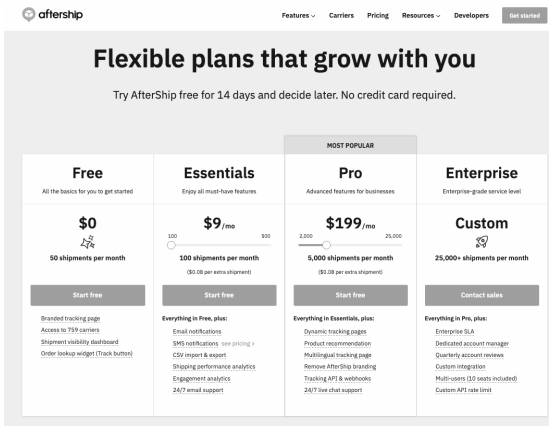
1. A company selling into only the mid-market could perhaps benefit from this approach and improve selling efficiency.
2. While a company selling mostly to Global 2000 and Fortune 500 firms is likely to have more involved deals, and customers whose price sensitivities vary more. Publishing pricing on the website in this case may not be helpful.
3. Companies who sell both into the mid-market as well as enterprise have a tougher decision, but as listed below they can choose to publish just the packages online and reserve the pricing to sales conversations.

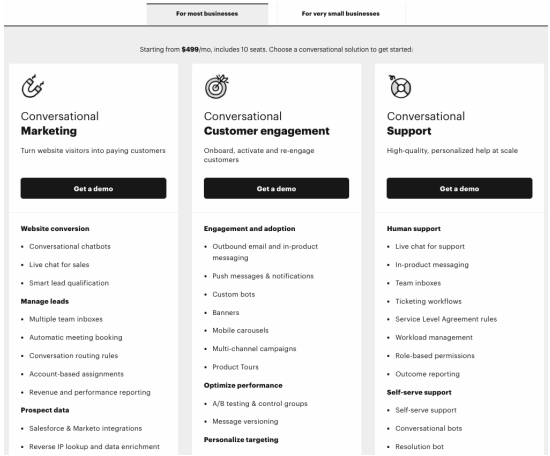
What you should know is there are many options here:

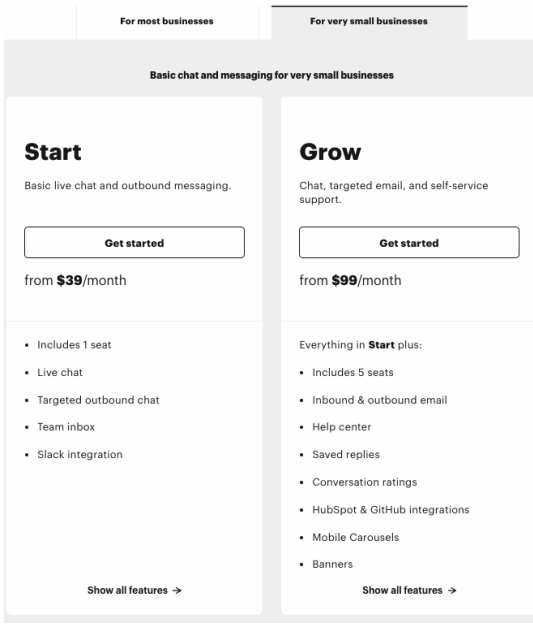
1. You can publish your pricing and packaging in full
2. You can summarize your pricing (e.g. starting from $xx,xxx with yyy units included) and packaging but leave complex questions to sales calls
3. You can publish a summary your packages and leave pricing discussions to sales
4. You can choose to make the pricing and packaging more about value delivered and use it as a lead source

There are thousands of examples of pricing pages out there. Let's consider a few pricing pages as mini case studies and try to analyze why a company in question may have selected to build their pricing page a certain way - a process that will guide your own thinking as you build your pricing page. Note that we may not find pricing pages for truly enterprise facing GTM companies, so note that this discussion of analyzing publicly available pricing pages inherently suffers from an inherent self-selection bias.

Company & Page	Commentary
https://ahrefs.com/pricing 	Ahrefs leaves nothing to conjecture. They lay out all their plans clearly and comparatively. All their features are plainly listed with the pricing. Their highest plan is ~$12,000 a year, more of a SMB/Mid-market type offering whereas the lowest plans are more for users/consumers/small teams. For their GTM segments, this is

	exactly the right kind of page that will help them scale deal velocity. What I also find interesting is that they charge $7 for their trial plans. The most likely reason for this is that they want to increase the trial conversion rate. Free trial conversion rates are historically really poor to convert (2-6%) and take a significant amount of resources to sustain. Adding a nominal charge to use the trial, likely weeds out non-serious users and lets the company likely achieve higher conversion rates.
https://www.aftership.com/pricing/ 	Aftership serves mostly up and coming D2C ecommerce brands, and thus it makes sense they keep their pricing mostly transparent. What I like about their pricing page is that they use the 3 Part Tariff structure that we discussed earlier with a very convenient slide scale to convert the 3 Part Tariff table into someone can

	easily understand visually. They display the overage fee in small text as well. The overage price ends up being more than the per unit price of the tariff structure to incent customer to move up in plans, a feature of most well designed plans.
https://www.intercom.com/pricing For Most Businesses  For Very Small Business	I find Intercom's pricing page interesting and reflective of the company's size, segments and use cases. The first sub tab, 'For Most Businesses', highlights primarily its product packaged into three different use cases. It is a great example of how a single product can be crafted to look as if it's built-to-purpose for a specific use case, a challenge shared by many companies that serve multiple use cases. Given the variance in use case and potentially different value/price points, they do not show pricing in this pane --



to not inhibit revenue potential.

The second sub tab, 'For Very Small Businesses', offers an insight into Intercom's down market offerings positioned at attractive price points vs Zendesk.

Intercom does a great job at representing its capability clearly, simply and with high relevance.

https://basecamp.com/pricing



I find Basecamp's pricing to be truly unique and somewhat of a mold breaker.

No matter how much you use their product, Basecamp charges a flat fee of $99/month for a team, whereas competitors align price to usage.

The question is why?

My hypothesis for their decision is to stay an SMB/mid-market product and go to market with a purely product led growth model.



The comparable organizations cited scale from SMB to enterprise, whereas Basecamp seems to have decided where to focus from a segment perspective.

Another hypothesis with this pricing plan is that Basecamp truly wants deep customer retention and I would not be surprised to see their retention rates being far superior to their competitors.

Finally, if you've read about their philosophy, Basecamp has always eschewed the high-growth, high-burn Silicon Valley startup model, opting instead for a close to lifestyle business approach.

Pricing Team

In general there are a few responsibilities that will need owners for a pricing model to be functional:

1. **Pricing Strategy:** This role involves everything that we've discussed so far in this book and includes all the work that goes into creating or revamping your company's pricing model.

Additionally, this role will also need to report on the performance of the pricing model quarter over quarter to see whether its being effective, as well as interface with various stakeholders within a company who have feedback to improve the model. On a day to day basis, this function will also be often on the phone with a sales rep acting as a pricing consultant and helping her/him close their deals *(super important)*. This is often headed by the Marketing team, which works in collaboration with multiple departments and with sponsorship of the CEO or COO.

2. **Pricing Ops:** This is another heavy-duty and distinct function. It involves creating the processes and system that take the on-paper pricing model and operationalize it. It involves implementing a CPQ system (if relevant), interfacing the finance department, understanding how clients will be billed as well as interfacing with legal to ensure a smooth sales motion. Outside of known problems to work on such as the CPQ system, the biggest issue this function needs to define in collaboration with the Pricing Strategy function is around processes - does new pricing change the expansion/renewal motion? How will overages be billed in a consumption model? What system will sync customer usage? What process needs to be built around pricing new features, experimental features, etc? Who gets to discount and by how much? How will internal approval processes for discounts or non-standard features work and many more such as this. This function is headed by the Sales Operations or the Revenue Operations team.
3. **Deal Desk:** This in my opinion is the "last mile" function that stands between you and a successful pricing model rollout. If run properly, this function ensures the latest price book is used by sales and there is both a fast turn around to sales' requests as well as a check on what sales can get away with. Be kind to the people in this role, they are often short staffed and need a good amount of enablement as well as sponsorship to fill the role properly. This function is also often part of the Sales Operations org but can also reside in Finance.

The Role of the Pricing and Monetization Team in a SaaS Company

In the competitive landscape of Software as a Service (SaaS) businesses, the Pricing and Monetization team is pivotal in driving revenue growth and ensuring sustainable profitability. Often misunderstood and undervalued, this team is responsible for more than just setting prices. Their responsibilities span across strategy development, data analysis, project management, and operational execution, all of which are essential to the financial health and competitive positioning of a SaaS company.

Understanding the Misconceptions

Many teams within a SaaS company hold distinct biases about pricing, often viewing it from their specific functional perspectives. The Product Team, for instance, may overvalue features based on the effort invested in their development. The Sales Team might push for lower prices to close deals quickly, especially towards the end of a quarter. Meanwhile, the FP&A Team could emphasize the cost of goods sold (COGS) and advocate for pricing to meet margin goals. These varied viewpoints highlight the need for a dedicated Pricing and Monetization team to integrate these perspectives into a coherent strategy that aligns with the company's objectives.

The Evolution from "Pricing" to "Monetization"

The term "Pricing Team" is often reductive, failing to convey the full scope of responsibilities. A more accurate designation is "Monetization Team," reflecting their broader mandate, which includes setting prices and determining the optimal ways to generate revenue from the company's offerings. This involves strategic decisions about market segmentation, competitive positioning, and product bundling, among other considerations.

Key Responsibilities of the Monetization Team

1. Data Analytics

- Role: Analyze market data, customer usage patterns, and competitive pricing to inform strategy.
- Importance: Accurate data analysis is crucial for making informed decisions that balance profitability with market competitiveness.

2. Strategy Development

- Role: Develop comprehensive monetization strategies that align with corporate goals.
- Importance: A well-crafted strategy ensures that all pricing decisions contribute to long-term objectives such as market share growth, customer acquisition, and revenue maximization.

3. Project Management

- Role: Coordinate cross-functional initiatives involving multiple teams.
- Importance: Effective project management ensures that strategic initiatives are executed smoothly and on time, with all stakeholders aligned on objectives and deliverables.

4. Pricing Operations

- Role: Implement pricing strategies at the deal and system levels, manage SKU creation, and maintain price lists.
- Importance: Operational execution is critical for ensuring that pricing strategies are consistently applied and that any adjustments are promptly reflected in the company's pricing infrastructure.

Cross-Functional Collaboration

Successful monetization strategies require seamless collaboration across various teams:

1. **FP&A:** Provide financial modeling and margin analysis to ensure pricing strategies are financially viable.
2. **Sales Operations:** Align on go-to-market strategies and ensure sales teams are equipped to execute the pricing strategy effectively.
3. **Product and Product Marketing:** Collaborate on roadmap prioritization and new feature launches to ensure that monetization opportunities are fully realized.
4. **Marketing:** Coordinate on demand generation and messaging to support the pricing strategy and drive customer acquisition and retention.
5. **Business Systems:** Ensure system readiness to support new pricing models and operational requirements【4†source】.

Governance and Performance Tracking

Ongoing governance is essential to maintain the integrity of the pricing strategy. This includes:

1. **Regular Reviews:** Conduct periodic reviews of pricing strategies and performance against key performance indicators (KPIs) to identify areas for adjustment.
2. **Performance Metrics:** Track the performance of pricing initiatives, including revenue impact, customer acquisition, and retention rates, to measure success and inform future strategies.
3. **Adjustment Mechanisms:** Implement mechanisms for making data-driven adjustments to pricing strategies in response to market changes and performance insights.

The Centralised Owner of Pricing

In many companies, the lack of a centralized owner for pricing can lead to missed opportunities and strategic misalignments. Without a dedicated Pricing and Monetization (P&P) owner, companies may struggle to optimize for value and coherence across different functional areas. Engaging a specialized firm or establishing an internal team focused on pricing can yield significant benefits by ensuring a unified approach.

Pricing is inherently cross-functional, impacting every team from Sales and Marketing to Customer Success, Accounting, and even Legal. One crucial, often overlooked role of Pricing is uncovering underlying strategic inconsistencies. For example, if the Product team focuses on building premium features while the Marketing team aims to generate a high number of leads, it indicates a clash: one team follows a strategy to maximize revenue per account, while the other operates on a high-volume, low-cost model. These inconsistencies can lead to significant inefficiencies.

Think of Pricing not only as a function responsible for delivering the new line-up design but also as a key player in uncovering opportunities for organizational alignment. By identifying and addressing these strategic discrepancies, the Pricing team can help ensure that all parts of the organization work towards a common goal.

Conclusion

The Pricing and Monetization team is a cornerstone of a SaaS company's success, tasked with the complex and critical responsibility of maximizing revenue through strategic pricing and effective monetization. By leveraging data analytics, strategic development, project management, and operational execution, this team ensures that pricing decisions align with corporate goals and market dynamics. Their cross-functional collaboration and governance efforts further enhance their ability to drive sustainable growth and competitive advantage in the ever-evolving SaaS landscape.

Establishing a centralized owner for pricing can greatly enhance a company's ability to align its various functions and optimize for value. The Pricing and Monetization team delivers strategic pricing and uncovers and resolves strategic inconsistencies, fostering a cohesive and efficient organizational strategy.

Pricing Calculator

In most organizations, building out a simple pricing calculator in Excel or Google Docs can be a very powerful enablement tool, and not just for sales but also for folks in your product team, sales operations team, finance and more.

Now let me couch the word ‘simple’. It is only simple in relation to a CPQ build out but can be significantly involved. When I revamped the calculator based on new packaging and pricing at Narvar, it took me well over 2 weeks to make sure it covered all our pricing scenarios and was setup in a user friendly way, where sales reps could easily duplicate the main tab of the calculator and get cracking at pricing.

Often you will need to build out both CPQ and a Pricing Calculator, with the former being more of a gold standard quoting system, and the latter being an agile sales and product tool.

Figure 30 illustrates a (fairly) simplified representation of a google-doc based calculator.

Step 1	
Select Packages:	
☐	Product A: Pro
☐	Product A: Elite
☐	Product B: Essentials
☐	Product B: Pro
☐	Product B: Elite
☐	Product C: Pro
☐	Product C: Elite
Package	**Add-ons**
Product A	
☐	A
☐	B
Product B	
☐	C
☐	D
Product C	
☐	X
☐	Y
☐	Z

Step 2	
Select Qty	
	Main Pricing Metric (Seats, Volume, etc.)

Step 3	
Proposed Pricing	**List Price**
SKUs	
Product A: Pro	0
Product A: Elite	0
Product B: Essentials	0
Product B: Pro	0
Product B: Elite	0
Product C: Pro	0
Product C: Elite	0
SKU Subtotal	**0**
Add-Ons	
A	
B	
C	
D	
X	
Y	
Z	
Sub-Total	
Total Subscription Fee	
One-Time Implementation Fee	
Total Fees	

Fig. 30: A Simple Pricing Calculator

The simple calculator depiction shows that in order to price out a certain package, a sales rep needs only to take three simple steps to get to the price. Check off the packages and add-ons in question, enter the estimated quantity of the main pricing variable and then note down the itemized price for their selection.

In most cases this can be really useful to provide a price range to prospects in the initial stages of a deal, followed later by using CPQ to formalize the process.

In reality, the calculator won't be so simple. You will likely have many more SKUs, add-ons and special conditions to abide by. Even so, I hope this provides a general idea of what the inputs and outputs should look like.

The internet will probably give you dozens of such examples, but what you should note are the following tips:

1. **Make the calculator super simple to use:** I'd be thousands of dollars richer if I had a buck for every time a sales rep wanted me to price out their deal for a specific situation. This is after I tried my best to simplify it as much as possible. Spend as much time cleaning up the UI of the calculator as you spend on the formulae and reference tables themselves.
2. **Realize that it's a piece of software:** As soon as you release a version of the calculator, you will start to get a lot of usage and your pricing or packaging may have small changes or errors caught as things proceed. You'll need to set it up such that all your reps can always access the latest version of this software. Do not open up a single tab for everyone to use, do not commit to fixing every rep's version either. The best process is to keep either a protected google sheet or a tab that cannot be modified by the reps, but can be routinely copied for pricing work. Then when you release an update, you will have to combine that with communication asking the reps to make new copies.
3. **Don't create long chain formulas:** This is still related to #2, but important enough that I'm calling it out separately. Excel will let you create really intricate formulae, with arcane functions - don't do it. Create simple formulae that refer to calculations from intermediate tables and sheets. Organize everything in a modular fashion because inevitably you will change the pricing or someone else will try to modify the calculator, and if it is too complex, it will introduce unnecessary headaches. Worse still, if an executive tries to understand it and can't, they won't trust the output -- believe me this happens far too often. Keep things modular and transparent.

CPQ

Configure-Price-Quote (CPQ) refers to a system that allows a sales rep to configure a package, generate a pricing quote (including internal approvals on discounts, etc.) as well as the contractual paperwork for their deal in a seamless automated process, enabling fast deal closure with transparency, as well as keeping a record in the CRM of what exactly was sold and for how much.

Another larger benefit is that it enables complete adherence to the pricing model. Because a software quoting implementation imposes guardrails on use cases and limitations to manually closed deals, it forces sales reps to strictly adhere to the pricing model deployed. Quoting Johnny Cheng:

> *"My fundamental belief is that in order to do value selling, you need a lot of flexibility, a ton of flexibility. What ends up happening in a model where if you introduce a lot of flexibility, is it comes with complexity. But complexity is a deal killer, it slows down deals, complexity makes it so that the reps can't defend the deal, they can't defend the price points, they can't understand why it's at this price point. And so in order to solve for that complexity and keep the flexibility, you have to introduce tools such as CPQ".*

In practice however it is hard to implement well, and is something nearly every pricing leader I interviewed considers a headache or a challenge.

In order to implement a CPQ solution, as the pricing leader, you will need to interface with your Sales Ops, Finance and Sales teams. In most cases such an implementation should be owned by the Ops team with heavy input from you on the pricing structure.

Be warned however that your job here starts to mimic that of a software product manager and that requirements will have to be defined fairly granularly. You will need to produce documents that cover all of the following:

- How new deals will be priced
- How upsells will be priced
- Packages with add-ons and dependencies defined
- What the discounting structure is
- Whether older pricing books should be carried over
- Policy regarding grandfathering older customers
- Policy regarding overages in usage
- The product data required for product usage monitoring
- A process of introducing new products
- Test cases to ensure correct outputs
- Any inputs/edits on generating Order Forms or Statements of Work
- Defined approval chains for non-standard deals
- And more.

Suffice to say this work somehow always tends to take 2-3x more time than you will estimate initially whether or not you have a consultant or an internal team building this out for you. This is so mostly because the scenarios that have to be built into this piece of software go beyond the pricing structure; they have to do with the day-to-day process (sometimes informal) of deal closure and in many cases highlights undefined policies for certain internal business processes.

Keep this timeline in mind before committing a rollout timeframe to your leadership team.

Beyond the pricing and process definition it is critical to involve some key friendly sales reps in the build phase. These reps can test to make sure the software is simple enough to use without unnecessary complexity, confusion or friction. Many implementation teams scramble to get an implementation finished without sales involvement and call it a day with a basic sales training. Inevitably this will lead to some unexpected usability or use case issues cropping up that may limit sales adoption of the product. The worst thing after months of implementation would be for your sales team to rebel,

eschew the process and revert back to a totally manual way of selling — if this happens you will be left cleaning the mess on the other hand.

There are a ton of resources online that offer best practices on CPQ implementation. One that I liked is a book on the topic, CPQ Implementation Guide by Marcin Krzych[26].

As a final note of personal opinion, fast growing companies where pricing structure may undergo evolution every other quarter, may not want to overinvest in this CPQ capability. Primarily because CPQ implementations take a long time, and by the time you have put something into product use, new requirements come up - sinking a lot of time and resources in this never ending process. At some point you may still need to do this, I would personally live on a Google spreadsheet based calculator until ~15-20M revenue which would provide (hopefully) enough time to have a mature internal deal closure process.

Discounting

One of the tools that always works to your advantage in B2B software pricing is discounting, as long as customers can't just put their credit card information in and buy which is the only case where discounting is bound to be 0.

In most other cases where customers negotiate the price with sales, discounting not only needs to be baked into the price point you come with due to industry-default expectations of the sales process, but it also lets you survive without very robust statistical models to arrive at the price point(s) for your product as the price point can vary somewhat even amongst lookalike customers.

[26] https://www.amazon.com/CPQ-Implementation-Guide-implementing-organisation-ebook/dp/B07H64F4SM

This is the closest tool that lets us reach a price optimized local maxima that can account for variations in price elasticity between customers.

As a very rough rule, you can expect discounting in different customer segments to obey the following ranges:

- Commercial: 10 to 30%
- Mid-sized: 20 to 50%
- Enterprise: 30 to 70%

If you have three customer segments that can be defined by size and map to the descriptions above, then you can simply pick a rough number from the ones above and essentially pad the price point you would have come up with by that amount, e.g. your commercial plans will have a buffer padding increasing the price point by 10 to 30%.

Additionally, but limiting the discounting authority of your reps, managers and leadership in sales to steadily increasing approval limits, you actually create a sales tool for your reps that helps them build trust with their prospects as they end up fighting for a better deal for the customer. The best analogy is that you are purposely adding some friction to the sales process. Just remember a little friction goes a long way, a lot of friction leads to a disgruntled sales team and customers who balk at the initial number they see.

Evaluating the Effectiveness of Discounting Strategies

Once a discounting structure has been implemented, it's essential to evaluate whether it is functioning as intended. There are two critical aspects to assess:

1. Customer Behavior Impact: The primary goal of any discounting strategy is to influence specific customer behaviors. It's important to verify whether the discount is indeed driving the desired outcomes, such as a higher close-rate, faster movement through the sales pipeline, longer-term commitments, or an increase in multi-product purchases. The effectiveness of the discount should be measured by

its ability to achieve these objectives. If the anticipated behavioral changes are not materializing, it may indicate that the discounting strategy needs to be re-evaluated or adjusted.

2. Correlation with Sales Performance: Another key factor to examine is whether the level of discounting is more closely correlated with the attributes of the customer or with the actions of the sales representative. In other words, is the discount being applied based on the characteristics and needs of the customer, or is it largely dependent on the individual sales rep's approach? If discounting patterns are more reflective of who is selling rather than who is buying, this could suggest inconsistencies in how discounts are applied across the sales team. Such a scenario might indicate the need for retraining the team or it could highlight flaws in the discount design itself.

By regularly monitoring these two aspects, organizations can ensure that their discounting strategies are not only effective in achieving their intended goals but also that there is no 'revenue leakage' occurring as a result of unnecessary discounting that does not yield the results.

Discounting Matrix

In order to make this usable, a very standard operational document is something called a Discounting Matrix. It lets your Sales team know the level of discounting authority different people in the team have to offer a discount to the customer. Even if you may have built say a 40 to 50% padding in list prices, you should give your AEs lesser discounting authority than that -- the idea is to include a little bit of friction in the process that lets an AE run a discount up their hierarchy and be able to offer something that the customer wants. Yes it is artificial, but it works. Higher discounts must appear to prospects as being earned or negotiated and not just given away by any sales representative - which will dilute the value of the discounts.

Figure 31 presents one example of such a discounting matrix table. It shows a progressively increasing discounting and deal term authority structure across sales hierarchy levels.

Discounts & Terms	AE	VP of Sales	CFO
Platform Price	Up to 15%	Up to 30%	> 30%
Implementation	Up to 10%	Up to 15%	> 15%
Delayed Invoice	1 Month	2 Months	> 2 Months
Payment Terms	Net 15	Net 30	Net 45

Fig. 31: A Simple Discounting Matrix

Pricing Analytics

A routine performance analysis on your pricing model's performance is absolutely critical for your pricing initiative to become successful. In most cases, everything from packages, pricing and sales operations will have to be tweaked quarter over quarter for your pricing model to really work.

Here is a quick list on the metrics that I recommend measuring in a given quarter:

Average Selling Price: The product ASP is generally a board-level top line revenue metric that offers directional information on product-line performance. The benefit of such high-level, non granular metrics is that even across different pricing models, the ASPs can be trended over time providing an apples to apples understanding of revenue movement that does not rely on knowledge of market movements or pricing model trends. Over time, it is one of the key directional indicators that investors are most interested in. Even when the underlying packaging structures change, the ASPs at the global product family level are very helpful directional indicators.

Median Selling Price: The Median Selling Price is very similar to the ASP. The only reason it would be advisable to calculate the median is because if, as is usual in startups, the number of deals closed is small, then a number of very small or very large deals can swing the ASP. This can provide one indication as to why there is a change/swing in the ASP.

Number of Deals Closed: For the most part, for growing startups, in most quarters the number of deals closed should be slightly greater or the same than previously. In some cases, such as in the case of the COVID-19, a change in the market situation might significantly reduce the number of deals closed. In that case an increase in ASP would not mean the same thing if the number of deals closed decreased sharply. To use ASP as an indicator of how the pricing model performed, it helps to look at this metric to 'normalize' the true impact.

Unit Price: Just like the ASP, unit price ($ per seat or $ per unit consumption, etc.) is one of the most important factors in assessing the price power of a product or package. A gradually increasing unit price indicates how compelling prospects find your product in the market. It does better at indicating pricing power than the ASP because the ASP can often vary with a change in the deal mix (many smaller deals or many large deals, for e.g.), and the unit price will tend to be more stable over time.

Average volume sold: The average number of seats or estd consumption volume sold is a metric that roughly correlates to the size of opportunities you tend to sell for a given product, segment or package. When analyzed at a package level, this will tend to be consistently different across packages as they generally tend to diverge based on the size and hence consumption need of the prospect. Two packages that aim to target different customer segments with similar average volume may indicate that you just need one package, not two.

Discounting %: Discounting is a very helpful number to analyze in the context of a given pricing model. Combined with benchmarks

(both internally and for the industry), it can help inform if the price point is too low or too high. It can break internal disagreements where Sales might push for lower price points where the real discounting may not be very high, it can also be helpful to see if Sales is inflating list prices (-ve discount rates), indicating the price may be too low.

Important Segmentation Criteria: Additionally, for the above metrics to provide actionable information, the closed deal dataset you prepare would benefit from the following segmentation of data for you to truly be able to dive deeper into performance:

1. Product Family
2. Package Sold
3. Add-on Sold (if expansion)
4. Geo
5. Sales sub-team
6. Sales owner
7. Closed quarter & fiscal year
8. Other: key technical/prospect attribute

Be prepared to munge through data in excel and manually calculate these variables if the data is not readily available in your CRM (which tends to happen a lot). But the effort in analysis and understanding business performance will be worth it.

True Attribution of Pricing Model Changes

As you start this exercise you will quickly realize that perfect attribution of the change in a pricing model is hard to measure. Given the growing nature of any business, many other factors change quarter over quarter, and say a 20-30% net change in revenue could be attributed to many other variables such as new products, better market conditions, more sales people or better sales productivity.

The closest possible way to measure attribution would be to re-price deals sold under the new pricing model, with the older model, apply the same discounting percentages and then compare the outputs. Even then, applying the newer discounting thresholds makes it a less than perfect exercise, but it can still be helpful.

All this to say, that measuring performance in practice often becomes more about whether or not the older problems experiences are solved, such as reduced ASPs, shelfware or low package adoption. If performance under the new model consistently solves these problems quarter over quarter, then in most cases that should be proof enough.

STEP 5B
Deal Desk (DD)

A strong Deal Desk partnership is critical for your pricing model to succeed in the every hustle of closing deals. According to Forrester[27]:

> *"At the most basic level, the deal desk is responsible for reviewing and approving pricing and deal structure, ensuring compliance with price structure, profitability and solution components."*

This important function is all about structuring deals, setting prices, and negotiating contracts effectively.

> *"The role of the deal desk is evolving quickly. There's so much potential to shift from being a purely transactional function to becoming a strategic partner to sales, driving deals and decisions."*
>
> — Tohir, Senior Director of Deal Desk[28]

But why and when does a company really need a Deal Desk (DD)?

Complex Sales Processes Management

The necessity of a DD emerges distinctly in scenarios involving intricate sales configurations that require bespoke pricing, customized contractual terms, and extensive negotiations with a lot of internal and

[27] https://go.forrester.com/blogs/four-steps-to-a-sales-deal-desk/
[28] https://www.youtube.com/watch?v=prZsuws6Y5k

external approvals. The DD is the hub inside your company that ensures there is a smooth and timely back and forth of information so that the seller can close the deal on time. I think of them as Air Traffic Control for Deals i.e. Deal Traffic Control :)

> *"Reflecting on the chaotic nature of early-stage sales processes in high-growth companies, Aunik Bhattacharjee shares his experience in our podcast[29] stating that, 'When I joined Elastic, it was a very sales-driven organization... What that results in is a lot of things getting lost in translation, whether that be data, whether that be translation of contract terms, especially those ones that are nonstandard for your more strategic customers.'"*

Process Standardization & Compliance

As organizations scale, the volume and complexity of transactions typically increase, introducing a higher propensity for errors and inconsistencies. Additionally, IPO or exit requirements make it necessary that standard processes are followed and documented – in absence of which certain deals could (and have for some companies) just be struck off consideration in company valuation – something that no one wants. A Deal Desk in this case makes the GTM teams stick to rigorous process standardizations, applying uniform criteria set in partnership with the CFO org.

> *"It really takes a village. The key stakeholders typically involve sales, finance, and the pricing team, ensuring compliance and consistency in our sales policies and pricing contract terms." — Vatsalya, Senior Director of Global Deal Desk[30]*

[29] https://www.youtube.com/watch?v=R3xFIFlv-UM
[30] https://www.youtube.com/watch?v=YqvjpE6T09s

Performance Analytics and Continuous Improvement

Beyond merely facilitating transactions, the Deal Desk of big companies generate deal performance analytics to assess outcomes and identify improvement opportunities. By analyzing key performance indicators such as win rates, deal cycle times, and revenue impacts, Deal Desk teams provide insights that help revenue organizations run an efficient, yet productive machine.

> *'One of the primary competencies that I think about for a deal desk is taking the number of deals that you do and standardizing a larger percentage of them as you scale your business.'*
>
> — Aunik Bhattacharjee[31]

The following table paints a picture of what deal operations look like with and without a deal desk across different deal stages.

Stage	Without Deal Desk	With Deal Desk
Proposal Development	Decentralized proposals are inconsistent, affecting client perceptions and elongating sales cycles.	Centralized proposal generation through CRM integration ensures uniformity and efficient proposal generation.
Negotiation of Terms	Inconsistent discounts and non-optimized pricing erode margins or lose deals. Approvals can take a long time and ASP (avg selling prices) can be all over the place.	DD adheres to set policy around discounting or contract term negotiation including approval flows, allowing for high win-rates at high speed.

[31] https://www.youtube.com/watch?v=R3xFIFlv-UM

Contract Drafting	Each sales rep may include or omit crucial clauses due to lack of legal training, leading to contracts that are non-compliant with industry regulations or lacking in necessary protections.	Contracts are generated through automated templates that are pre-vetted by legal departments to include all necessary clauses and conditions, ensuring legal robustness.
Operational Visibility	Limited visibility into deal progression stages can cause bottlenecks and miscommunication, as stakeholders lack a unified view of deal statuses.	Comprehensive dashboards provide real-time visibility into all deal stages, facilitating proactive management and coordination among teams
Post-Deal Analysis	Post-deal reviews are often subjective and lack structured data collection, making it difficult to identify lessons learned and apply them to improve future sales processes.	DD helps conduct structured post-deal analysis using quantitative and qualitative data from each deal, facilitating data-driven decisions.

Discounting and Contract Terms

Structuring a deal is essential for business success, ensuring profitability and enhancing customer satisfaction.

> *"Every deal is customized. Some clients focus heavily on CapEx and fixed fees, while others prefer a purely usage-based model."*
>
> — Tom, Senior Director of Deal Desk.

Two critical components in deal design are discounting types and contract terms.

Discounting Levers

Discounting in order to close deals involves creating incentives to make a deal attractive and meet the company's needs around getting money in the bank. Here are the common types of discounts:

- **Volume-Based Discounts:** Offer reduced prices for bulk purchases, encouraging larger orders and increasing revenue.
- **Early Payment Discounts:** Provide incentives for customers to pay invoices early, improving cash flow and financial stability.
- **Bundling Discounts:** Sell multiple products or services together at a lower price, increasing the perceived value and promoting new products.

Contract Terms

Contract terms are more than legal formalities; they define the service delivery and usage lifecycle, setting clear expectations and responsibilities for both parties. Key aspects include:

- **Roles and Responsibilities:** Clearly outline tasks and obligations to prevent misunderstandings and disputes. This includes defining who is responsible for what tasks, ensuring accountability and clarity.
- **Service Specifications:** Define what the service includes, ensuring customers know what they are paying for. This specification helps avoid ambiguities about service scope and deliverables.
- **Usage Guidelines:** Include user limitations, data management policies, and compliance with legal standards like GDPR and HIPAA to protect data and ensure proper use of the software.
- **Payment Terms:** Specify billing cycles, payment methods, and any penalties for late payments. Common terms include

Net30 or Net60 and milestone-based payments for long-term projects, which align payments with project progress.

- **Termination Conditions:** Specify how and when the contract can be terminated, offering a clear exit strategy for both parties. This could include clauses for termination due to breach of contract, changes in business needs, or service dissatisfaction.
- **Indemnity Clauses:** Protect clients from losses caused by software issues, such as intellectual property infringements. These clauses ensure that the provider will cover any legal costs and damages arising from such issues.
- **Liability Limitations:** Cap financial responsibility in case of software failures or security breaches. This helps prevent devastating financial impacts on the provider.
- **Confidentiality Agreements:** Ensure shared information remains secret, maintaining integrity and competitive edge. This is crucial for protecting sensitive business data during integration and use.
- **Dispute Resolution Mechanisms:** Define how disagreements will be resolved, often through mediation or arbitration. This provides a structured approach to resolving conflicts without resorting to litigation.
- **Compliance with Laws and Regulations:** Ensure adherence to relevant legal standards to avoid penalties. This includes data protection laws and industry-specific regulations.
- **Force Majeure Clauses:** Protect parties from being held liable for uncontrollable events preventing contract fulfillment, such as natural disasters or pandemics.
- **Service Level Agreements (SLAs):** Detail performance standards and compensation for unmet standards, ensuring that the service provided meets the agreed-upon quality and availability metrics.

Negotiating and understanding these terms ensure that SaaS contracts support efficient operations, adhere to legal standards, and can adapt to business growth and changes.

Examples of Contract Term Negotiations That Deal Desk Supports

- **Payment Terms Negotiation**: A small business might negotiate with a SaaS provider to change payment terms from Net30 to Net60 to better align with their cash flow cycles. Alternatively, they might request milestone-based payments for a long-term project to ensure payments are tied to project progress.
- **Service Specifications Negotiation**: A healthcare provider implementing a new electronic health record (EHR) system may negotiate for additional features specific to their practice, such as customized reporting tools or integration with existing medical devices.
- **Indemnity Clauses Negotiation**: A financial services company might insist on robust indemnity clauses that protect them against potential losses from software errors that could lead to regulatory fines or reputational damage.
- **Liability Limitations Negotiation**: A large enterprise might negotiate higher liability caps due to the significant potential impact of software failures on their operations, ensuring adequate compensation for downtime or data breaches.
- **Confidentiality Agreements Negotiation**: A tech startup might emphasize strict confidentiality agreements to protect their innovative technology from being disclosed to competitors during integration and use.
- **Service Level Agreements (SLAs) Negotiation**: A company heavily reliant on a CRM system might negotiate stricter SLAs to ensure minimal downtime, with significant penalties for non-compliance to guarantee high service standards.

STEP 5C

The Challenges of Operationalizing Pricing Strategies in SaaS

> *Execution starts with alignment (and diffusing team biases): Operationalizing any pricing strategy in the SaaS space is inherently complex, primarily because different teams within an organization often have very different views on pricing. These differences stem from the unique perspectives and inherent biases each team brings to the table.*
>
> Jan Pasternak

For example, the Product team might perceive the value of a feature or functionality as being much higher than customers do simply because they judge its worth based on the development effort that went into creating it. On the other hand, the Sales team might believe that deep discounting and lower price points will accelerate the sales cycle and maximize revenue, often underestimating the potential long-term impact on the brand and profitability. (Also, in the numerous organizations I have worked in, I was never able to find a strong correlation between the level of discounting and the time it took to close the deal).

None of those team-specific perspectives is entirely accurate when viewed in isolation. The role of the Pricing team, therefore, is to act as a balancing force—correcting these biases and ensuring that pricing decisions are made with a holistic understanding of the entire business landscape. This requires full alignment across all teams, with everyone agreeing to the assumptions and goals.

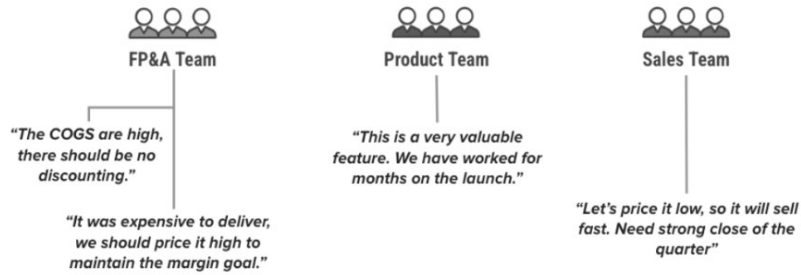


Fig.1 : Common Team Bias Examples

Example of Operationalizing a Full Pricing and Packaging Rehaul at Citrix:

Operationalizing pricing changes is particularly challenging when it comes to broad re-packaging projects, such as the introduction of a brand-new product lineup. These initiatives are complex because they involve nearly every department within the company, from Sales and Marketing to Customer Support, Legal, and IT. To illustrate the main principles of successfully managing such a project, I'd like to walk you through an example from my experience at Citrix.

In 2016, Citrix Online was a well-established player in the SaaS space, known primarily for its flagship product, GoToMeeting. GoToMeeting was a premium video conferencing solution. However, despite its strong reputation, the product was increasingly seen as expensive, especially in the face of fierce competition from Webex and the rapidly growing Microsoft Teams. The market dynamics were

shifting, and it became clear that without a strategic adjustment to our pricing and product lineup, Citrix risked losing its competitive edge. This is where I came in, I was hired to drive a transformation that would revitalize the product lineup and introduce a more competitive pricing structure.

Sources of Team Resistance

We were introducing a Freemium package and repackaging our offerings to create lower-price-point options. This move was designed to expand our customer base and make our products more accessible, but almost everyone in the organization had reservations. These reservations stemmed from several sources of resistance and a general lack of buy-in, which are common challenges in large-scale pricing and packaging changes.

The Sales team, for instance, was worried about meeting their quotas with the new pricing structure. Sales teams are often heavily incentivized based on revenue targets, and any change in pricing can directly impact their ability to close deals and earn commissions. Their resistance was driven by the fear that lower price points might reduce their average deal size, lengthen the sales cycle, or lead to a perception that the product was being "discounted" in value, making it harder to negotiate deals. They were also concerned that introducing a Freemium model would result in longer sales funnels, with more customers opting for the free tier and delaying their transition to paid plans.

The Customer Care team had its own set of concerns. They feared the increased volume of support requests that would inevitably come with additional seats sold, especially from users on the Freemium tier who might require more guidance but contribute less to revenue. The introduction of new pricing tiers and packages also meant that the support team would have to quickly familiarize themselves with the nuances of these offerings to assist customers effectively, potentially leading to an increased workload and the need for

additional training. This fear of being overwhelmed without adequate resources or preparation was a significant source of their hesitation.

Finally, the team managing our website was concerned about the site's stability under the new demands. The introduction of new pricing models, especially a Freemium tier, would likely lead to a surge in traffic and user activity, requiring the website to handle increased load and maintain performance. Additionally, they would need to update the site's architecture to accommodate new pricing tiers, subscription management tools, and a seamless user experience for both free and paid users. Their concerns were driven by the fear of potential downtime, bugs, or performance issues that could harm the company's reputation and customer satisfaction.

Some of those concerns were valid, some were a result of a poor understanding of the proposed changes. For most of them, the projected scale of issues and difficulties was inflated. It reflected a strong focus on the priorities of their respective roles without considering any overarching benefits for the company.

We realized that this Pricing project wasn't just about models, analysis, market intelligence and go-to-market. It was about bringing the team together with us on that journey. The success of this initiative hinged on getting everyone on board. That's where I reached for a tool that was promising in tackling the challenge in hand: ADKAR methodology:

ADKAR- the basics

ADKAR is a structured change management model developed by Prosci that serves as a practical framework for both individuals and organizations to successfully navigate change. The model is built around five key stages, each representing a critical milestone that must be achieved for change to be successful:

1. **Awareness:** Creating awareness of the need for change.
2. **Desire:** Building the desire to support and participate in the change.

3. **Knowledge:** Providing knowledge about how to change.
4. **Ability:** Developing the ability to implement new skills and behaviors.
5. **Reinforcement:** Reinforcing and sustaining the change over time.

ADKAR is designed to ensure that all aspects of change are addressed, helping to overcome resistance and achieve successful and lasting transformation within an organization.

How did we apply that in practice?

Let me walk you through the main steps and how we applied them in the context of Pricing transformation:

A for Awareness: Building the Case for Change

The first step was to create awareness of why this change was necessary. I worked closely with senior leadership to communicate the strategic importance of the pricing and packaging overhaul. We used data and market analysis to show why this was the right move for Citrix. Multiple communication channels were employed: emails, town hall meetings, and even intranet posts. All that to ensure the message was heard loud and clear across the organization.

D for Desire: Turning Resistance into Support

Building a genuine desire among teams to support the change required more than just addressing technical or logistical concerns. It meant truly listening to every team member. Resistance is often a knee-jerk reaction when people feel overlooked or marginalized, especially if they believe their input wasn't considered early on. To overcome this, it was crucial to ensure everyone felt heard, whether in large meetings, smaller group discussions, or one-on-one conversations. We involved all teams from the outset, not just to address their concerns but to genuinely include them in the decision-making process. By doing so, we transformed potential resistance into support.

For example, we highlighted to the Sales team how easier-to-sell packages could boost their sales volume. With the Customer Care team, we discussed strengthening support resources to manage the expected increase in customer inquiries. The Legal team's concerns were mitigated through detailed assessments and reassurances, while the web team was included early to plan for site stability during the transition. By giving everyone a voice and involving them early, we earned their support ensuring a smoother and more collaborative change process.

K for Knowledge: Equipping the Teams

Creating awareness and desire was just the beginning. We needed to equip everyone with the knowledge necessary to navigate the new landscape. Tailored training programs were developed for each team. Sales received guidance on how to pitch the new pricing models, while Customer Care was trained on the specifics of the new packages. We also created comprehensive documentation—FAQs, process guides, and cheat sheets—to ensure that everyone had access to the information they needed.

(*We used some help with the Sales Enablement team and Product Marketing team in this process*.)

A for Ability: Making the Change Happen

With knowledge in hand, it was time to translate that into ability. We launched pilot programs that allowed teams to practice their new roles in a controlled environment. This gave us invaluable feedback and helped build confidence across the board. We also designated change champions within each team to provide ongoing coaching and support, ensuring everyone had the help they needed as they adapted to the new structure. The 'Champion' function and role was designed to maintain that buy-in earned at the "Desire" stage when things get rough or difficult. We needed someone within each team to be the proponent of the project and make sure the feedback keeps flowing.

R for Reinforcement: Sustaining the Change

Finally, we focused on reinforcing the changes to ensure they stuck. We celebrated early success: both big and small, to build momentum. Continuous monitoring and feedback loops were established to catch any issues early and make adjustments as necessary. This wasn't just about making a change; it was about sustaining that change over the long term.

Looking back, ADKAR was instrumental in guiding Citrix through this complex transition. It wasn't just a methodology; it was a roadmap that helped align the entire organization around a bold new direction. Despite the initial resistance, the structured approach of ADKAR allowed us to turn skeptics into supporters, ensuring the successful implementation of our new pricing and packaging strategy.

I find that it is often very easy to focus on accuracy of the analysis, on technical details, code, design and financial forecasting whilst the main make-or-break of such projects is within a team, their performance and alignment.

The importance of the Pricing team being highly cross-functional cannot be overstated, particularly in a complex and fast-paced SaaS environment. Pricing decisions are far-reaching and impact nearly every aspect of an organization, from sales and marketing to product development and finance.

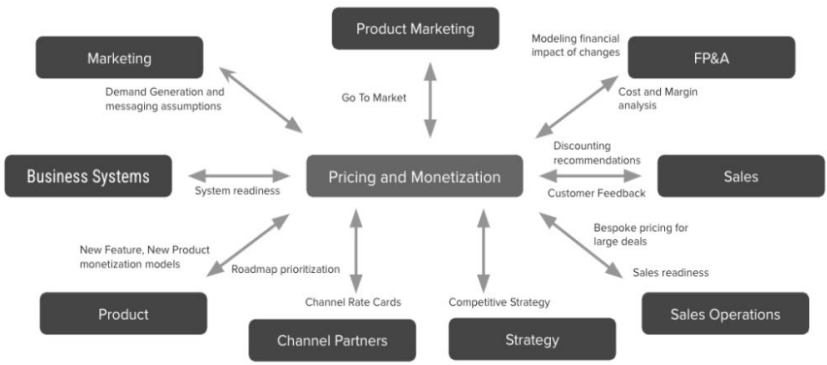


Fig.2 : Pricing and Monetization

Summary of the ADKAR Impact on the Organization

1. Increased Customer Acquisition

The Freemium model allowed Citrix to attract a broader audience (almost double the number of new users), including small businesses and individuals who might not have been willing to pay for the full version initially. This expanded the user base significantly, which, over time, led to an increase in paid conversions as free users upgraded to paid plans to access more features.

2. Revenue Diversification

By introducing lower price points, Citrix was able to tap into different market segments, which diversified its revenue streams. While there was a risk of reducing revenue from existing customers who might downgrade to cheaper plans, the strategy overall led to an increase in total revenue by 22% due to the volume of new customers.

3. Increased Competition Pressure

The new pricing strategy put pressure on competitors like Webex and Zoom, as Citrix positioned itself more aggressively in the market. This helped GoToMeeting maintain and even grow its market share in a highly competitive environment.

4. Short-term Revenue Dip

Initially, there was a dip in revenue due to existing customers downgrading to cheaper plans. However, this was offset over time by the influx of new users who started on the Freemium tier and later converted to paid plans.

5. Alignment Across Teams

Implementing the Freemium model and adjusting pricing required close alignment across various departments, including Sales, Marketing, Product, Legal, and Customer Support. This organiza-

tional shift helped foster a more collaborative environment, as different teams had to work together to ensure the success of the new pricing strategy.

6. Shift in Product Development Focus

The Freemium model also influenced the product development roadmap. There was a greater emphasis on creating features that could entice Freemium users to upgrade to paid plans. This shift required the product team to balance the development of new premium features with the maintenance and improvement of the free offering.

PRICING EXAMPLE

ACME Inc's AI-powered Chatbot

The purpose of this chapter is to conduct a simulation of a pricing project using a fictitious example. The hope is to coalesce everything we've discussed so far and build a mental model for a process that you can hopefully repeatably run in your own organization.

Before we begin let's lay down some context about our company and product in question.

Context

In this example we assume the role of pricing consultants to ACME Inc. ACME Inc is an established player in the Customer Experience Management domain with revenues exceeding 40Million per year. It has traditionally offered customer feedback measurement (via online surveys and call center voice analytics) technologies across a spectrum of B2C industries like Automotive, Hospitality and Healthcare and the segment it tends to do well is the mid-market (revenue $10M to $1B). After a few years of significant investments into its AI capabilities, it has now launched a customer service chatbot product that it believes to be significantly more differentiated and effective as compared to the market leaders in this technology, namely Salesforce Service Cloud and Zendesk. Our goal is now to create a packaging and pricing structure for this nascent product.

Structuring Our Project

Later in this book I have documented two interviews that speak to the right way of structuring pricing projects, one with Jan Pasternak and the other with Joshua Bloom. I would recommend taking a look at those interviews at this stage to get some external perspectives of the process we will follow.

Whether you are an internal or external consultant, you can divide up this pricing project into the following four sections:

1. Alignment on Goals & Process: It is always best to have a clear discussion with the project sponsors around their goals and expectations around the impact of the project. This is also a time where you can brief them on your specific process so they understand your approach to solving this problem and have an upfront discussion on what resources you may need.
2. Hypothesis Generation: In this phase we will generate our own directional hypothesis of what pricing for this new product will look like, inclusive of positioning, packaging, pricing variables and pricing structure.
3. Testing Our Hypothesis: In the testing phase we will employ both quantitative as well as primary research methods covered earlier to understand both customer and prospect feedback to our hypotheses.
4. Iteration & Rollout: In this final phase we finalize the packaging and pricing based on the feedback from the testing phase and iron out the myriad elements we need to consider such that the pricing can be implemented successfully.

Alignment on Goals & Process

Expectations: Our key sponsor for this project is the VP of Product Management and she sees this new product launch as eventually becoming a new revenue generating key product line for the company. The company is a few years from IPO and it is important for the company to demonstrate new growth levers making it an attractive

investment. The VP notes that the company already sells to Operations and Support buyers and this product could be a convenient sale into the same persona, and that there are already a few beta customers lined up who have begun to use the product as a trial.

Our Assessment: With an understanding of her goals, we realize that since this is an early product launch we will have limited empirical pricing data and that we will need to spend some time conducting market research. On the flip side, since this is a new product there will be limited headaches around making the new pricing and packaging work for existing clients of this product line.

In this situation, given how nascent the product is, we note that it is important for us to be directionally accurate but not extremely precise with our recommendations and it is the larger pricing framework that is more important and that executing with speed will enable ACME Inc to start selling into the market faster.

Timing & Budget: We provide a rough 6-8 week estimate of project length with 2 weeks each devoted to hypothesis generation, testing and between 2-4 weeks for rollout (depending on the amount of sales readiness needed). We also ask for a ~$10k budget for potentially conducting a WTP survey and for recruiting a pool of participants for primary research.

Hypothesis Generation

We need to generate our hypothesis around the three elements of positioning, packaging and pricing in this phase. In the following table I list out what we questions we will need to answer in this phase:

Positioning	1. What/who is the targeted ICP (ideal customer profile) and market segment for this product? 2. What are the primary expected benefits of the product? 3. What buyer personas are involved in the buying cycle? 4. Who are our main competitors? 5. What is our differentiation relative to competition?

Packaging	Given the hypothesis from positioning, what is our initial packaging proposal
Pricing	1. What is our main pricing variable? (Consumption vs Capability) 2. What's our initial take on pricing structure? 3. Should we display the pricing on ACME Inc's website?

In order to generate our hypothesis we interview the following people:

1. The Product Manager for ACME's Chatbot *(likely to inform positioning heavily)*
2. An experienced AE who understands ACME's customers and competitors *(likely to inform packaging and pricing more)*
3. Two client Program Manager's who enrolled in the beta program *(will help validate prior conversations and understand customer pain point)*

Here are the quick consolidated notes of our interviews:

(One of my repeated realizations on this topic is that a non product management/product marketing consultant will not be able to go this deep, and that good pricing and packaging is always a result of good upstream positioning. There is something invaluable to have a Product Manager/Marketer go all the way and price her product herself.)

What/who is the targeted ICP (ideal customer profile) and market segment for this product?

- Product was built with existing customer needs in mind, but the capability could be more usable by larger customers as the AI capability automates service issues with much greater efficiency and at high volume

What are the primary expected benefits of the product?

- Reduction in customer support costs (human) - expecting to see a 30 to 40% reduction in agents required as compared to live chat
- Higher consumer NPS/satisfaction
- Faster issue resolution times

What buyer personas are involved in the buying cycle?

- Expect to sell to Head of Customer Support
- Get introduction via Heads of Digital, and/or Marketing

Who are our main competitors?

- Zendesk
- Salesforce Service Cloud
- Both offer more robust customer service offerings, out of which the chatbot is one part of the solution

What is our differentiation relative to competition?

- Much better use of AI, leading much higher automation rates
- Competition's technology takes much longer to implement, our product is self-service and can literally be built and deployed in a few days

Where are we weaker relative to competition?

- The agent-side of our product is bare bones and doesn't match what companies like Zendesk and Salesforce have to offer for large agent teams

Why would companies select us?

- They have a high volume of customer service requests, with relatively small teams burdened with this volume and difficulty scaling up agent counts very high
- Less complicated issues, but high volume of customer issues
- Industries that would be a fit:
    - Gaming
    - Digital Media
    - High Growth Tech Companies

What were the main reasons clients in the beta program were interested?

- Fast client business growth rates and high opinion of ACME Inc's current product offerings.
- Avoid extensive external RFPs

Furthermore, our AE interviewed revealed that she thinks this product could increase win-rates of ACME's main product line and that this product could be 'thrown in' to sweeten the deal. *(note that this input contradicts the VP of Product Management's intention of making this into a successful product line, so while we may not 'throw in' the product, it could definitely be a promising upsell for certain types of clients)*

We now have enough information to come up with our hypothesis on positioning, packaging and pricing.

<table>
<tr><td>Positioning</td><td>Given the info provided, we can write a summary positioning statement:

ACME Inc's Chatbot product is a purpose built solution to automate the resolution of high volume customer service issues for high growth technology enabled companies, unlike (SFDC/Zendesk) ACME's proprietary AI technology is able to fully automate 50-60% customer service issues and go live within days.</td></tr>
<tr><td>Packaging</td><td>Since the product is still in its nascent stage, we don't have to fret too much about packaging except for making sure we take into account differing price elasticity for ACME's existing mid-market segment and a potential new enterprise new prospect customer segment. The packaging differentiation could simply be offering differing service levels and an option to build custom integrations which enterprise customers often need.

Given this, we will create two different plans targeting mid-market and enterprise respectively, with the former being more of a self-service deployment model and the latter being a custom implementation with additional professional services support.

<table><tr><th>Pro</th><th>Elite</th></tr><tr><td>The Pro package is made for clients that handle a lesser case volume per day. Some of the features included in the Pro package are:

• Base chat widget
• Canned service bots
• CRM integration
• Tech support
• Training videos</td><td>Companies with higher case volumes would see more benefits by using the Elite package. It is designed to be more customizable with a greater degree of support. Some of the features included in the Elite package are:

• Special AI models
• Custom service bots
• 24x7 support
• Dedicated CSM
• BI analytics</td></tr></table></td></tr>
</table>

Pricing	Here is where we must make a more critical decision. We could either price as the industry does, i.e. on a per agent basis (capability model) or we could price based on the number of issues processed/automated (usage model). Given that the best potential fit of our product will be companies with smaller agent teams AND high customer support volume, pricing on usage would both be better tied to value and offer better revenue upside (since the alternative per agent price could limit revenue potential). In the usage based model we have a few options: ● Price per automated (partially or fully) support case ● Price per bot interaction ● Price per any initiated chat/chatbot interaction ● Price per bot step invoked How do we decide which metric to opt for? *(read Mixpanel's pricing metric case study to further dive deep into tradeoffs involved)* The metric must be a) simple to understand b) easy to track c) tied to value d) and be predictable. While the price per automated support cases might be the most directly related to the value we offer, it can be unpredictable with some companies being better at being able to build automations than others *(read a related case study on Nosto later in the book about this)*. Price per bot interaction suffers from the same problem. Pricing per bot step invoked is additionally too complex for easy understanding. We hone in our hypothesis of the main pricing metric to be around <u>any initiated chat or chatbot interaction</u>. This extracts value based on usage of the product, but keeps the revenue predictable as the client will still be on the hook for actually implementing the chatbots. The challenge is then to convince buyers in the sales cycle that the technology indeed performs as stated. We are being completely cognizant that this pricing is different from the industry's established pricing model, but what enables a different metric is that the product is sufficiently differentiated.

Hypothesis Testing

Now that we have an informed hypothesis, how do we conduct a market test?

The process we follow here is roughly:

1. Identify a representative market sample
2. Select the right interview/analysis technique
3. Synthesize our learnings

In order to select a representative sample we will look for high-growth technology enabled companies within the company's customer base (this will serve as a mid-market proxy) and then get feedback from larger 'enterprise' firms from the broader market.

The amount of companies we can test with depends on what methods we use, who we have access to as well as our own resource constraints.

Given the newness of this product, it would be hard to get enough input on pricing from just surveys (which work well for more well established product categories). I would expect that primary research would reveal a lot more information, and we can club that with a basic pricing range survey.

Since ACME's customer base is around 100 companies, with about 40 companies fitting the high-growth tech criteria set earlier, we should be able to get enough of a sample set from ~10 live conversations and 15-20 survey responses. In the broader market we are not so constrained, so we will attempt to survey a few hundred enterprise companies (this will generally give us a 10-15% response rate) and live conversations again with ~10 companies.

For primary research we will use the template described in the earlier chapter. Specifically our live deck will have the following sections:

- Intro to the technology/product

- Force rank pain points (relating to handling customer support issues)
- Demo
- Unprompted feedback
- Force rank benefits
- Open-ended feedback on pricing metric
- Low price (poor quality) and High price (too expensive) bounds

To test a specific price point we would need to translate our metric to approximations that a business will understand.

Let's take the example of warbyparker.com, on checking its traffic from sitechecker.pro the total monthly visits are around 4 Million, with an average order volume of ~$150 and a 2% total conversion rate, it would work out to a monthly revenue of $12Million. Now how do we create numeric options, both for in-person interviews or surveys?

We need anchors and industry standard assumptions.

Assuming a company such as Warbyparker spends about 10% of revenue on customer support and gets a 50-50 split in phone calls vs online support needs, and that roughly 10% of monthly visitors need help via chat. We can estimate a total spend of $1.2 Million/month on support, $600k of which is via the online channel, from about 400,000 interactions *(assuming this will also automate any email support)*. So their customer support spend is about $1.5 per online interaction. Now we estimate that we can reduce this number by 50%, we arrive at 75cents per interaction as the ceiling of upside we bring.

Will clients be willing to pay 10% of this? A fourth? Half?

Another way to look at this is we reduce the $600k/month number by half ~$300k/month and as a percent of revenue it works out to 2.5%. Can we charge .25% of revenue or .5%? These are our anchors which we will quote side-by-side with the cost per interaction.

While this can be explained in-person, it will need to be posed a few different ways in a survey for us to converge on a good answer.

Here is what one of the survey questions will look like with different anchors:

Q. Below what price (cost per interaction) will you question the product's quality or effectiveness?

1. 60 cents per interaction (*~2% of revenue*)
2. 50 cents per interaction
3. 40 cents per interaction
4. 30 cents per interaction
5. 20 cents per interaction
6. 10 cents per interaction
7. 5 cents per interaction (*~0.20% of revenue*)

Here is another way to ask this question again, with different anchors.

Q. Below what price (cost per interaction) will you question the product's quality or effectiveness?

8. 60 cents per interaction (*~20% of total support costs*)
9. 50 cents per interaction
10. 40 cents per interaction
11. 30 cents per interaction
12. 20 cents per interaction
13. 10 cents per interaction
14. 5 cents per interaction (*~2% of support costs*)

Let's now assume we conduct the primary research across our two key segments, the following is an example of what aggregated feedback could look like:

Topic	Mid-market customers	Enterprise customers
Top pain points (from force rank)	• Top rank by 7/10 customers, *"personnel crunch with inability to scale to demand at peak times"* • Second rank by 5/10 customers, *"high cost of phone support"* • Third rank by 6/10 customers, "*customer complaints due to long phone and chat wait times*"	• Top rank by 8/10 customers, *"customer complaints due to long phone and chat wait times"* • Second rank by 5/10 customers, *"personnel crunch with inability to scale to demand at peak times"* • Third rank by 6/10 customers, "*cumbersome agent-side workflows*"
Unprompted feedback on the demo	"This is cool, seems like we can offload a large chunk of our support issues to a bot" "It will help reduce our need to constantly hire" "As a tech company, we like such a seamless tech solution vs throwing humans at the problem"	"This looks like it could mitigate customer hold times and improve NPS" "Would be a nice addition to have during peak season" "I wonder if we can also offer the automation to our agents who have to deal with clunky manual workflows in our current system"
Unprompted feature on features within package	"I like it, it's simple yet effective" "We might want a little bit more service available as this is a new tech for us"	"The BI capability is important for us to measure our performance. Can we equip all our managers with it" "Can we build customer feedback bots to measure quality?"

Top benefits (from force rank)	• Top rank by 8/10 customers, *"reduce personnel costs"* • Second rank by 5/10 customers, *"move to digital channels"* • Third rank by 6/10 customers, "*increase customer NPS*"	• Top rank by 7/10 customers, "*increase customer NPS*" • Second rank by 6/10 customers, *"move to digital channels"* • Third rank by 5/10 customers, *"reduce personnel costs"*
Open-ended feedback on pricing metric	"I think it can work as long as the price isn't exorbitant" "I like that it scale with usage, we don't like paying a large capex type amount" "Our online analytics vendor uses a similar metric" "We pay our current vendor on a pay per seat, but I understand this is a different concept"	"The metric is fine, I hope you can discount it because our usage will be high" "We're ok with the metric as long as the product actually automates as much as you claim. A pilot will help" "We will use this with our main support solution, so it would help to only pay for when we really use it"
Price below which product will be deemed poor quality	The mode (highest freq selection) for this question comes out to be 10 cents per interaction	The mode (highest freq selection) for this question comes out to be 30 cents per interaction
Price above which product will be deemed too expensive	The mode (highest freq selection) for this question comes out to be 40 cents per interaction	The mode (highest freq selection) for this question comes out to be 70 cents per interaction

And here is a summary of the output of the WTP survey (refer our discussion on cumulative survey tables in the prior chapter):

Mid-market-Enterprise

Price Point Cents per interaction	% of respondents for which price is not too low	% of respondent for which price is too high	% willing to spend the price point
10	15%	0	15%
20	55%	0	55%
30	85%	0	85%
40	95%	30%	65%
50	100%	50%	50%
60	100%	65%	35%
70	100%	85%	15%
80	100%	100%	0%
90	100%	100%	0%

Price Point Cents per interaction	% of respondents for which price is not too low	% of respondent for which price is too high	% willing to spend the price point
10	0%	0	0%
20	20%	0	20%
30	40%	0	40%
40	60%	10%	50%
50	80%	25%	55%
60	90%	45%	45%
70	100%	75%	25%
80	100%	85%	15%
90	100%	100%	0%

Based on this feedback we can surmise that the mid-market customers a) care more about the cost of providing support (often because of high cost phone channel usage and personnel required) and that customer satisfaction is important but a second priority b) they are more price sensitive than enterprise on price point, with the highest frequency WTP (85% willing to spend) occurring at 30cents per interaction. Enterprise customers care more about customer satisfaction and NPS scores, as well as an ability to be agile to customer needs. Their highest frequency WTP (55% willing to spend) occurs at 50 cents per interaction.

It seems there is no significant resistance to the pricing metric itself.

The feedback on packages themselves is largely validating our hypothesis, with a few differences. It seems even mid-market customers may need more support and enterprise customers asked about consumer feedback measurement.

We will now take this feedback into account into refining/defining our pricing and packaging model in the next section.

Iteration & Rollout

Finalizing Our Pricing & Packaging

Pro	Elite
We tweak this package to include more service options. ● Base chat widget ● Canned service bots ● CRM integration ● Tech support ● Training videos ● Add-on: Bundles of Service Hours	We highlight here an existing ability of measuring customer feedback as a separate entity (which we will also tweak as a separate module in the product). It shows us the importance of drawing out and naming features that add value. ● Special AI models ● Custom bots ● Customer Feedback bot ● 24x7 support ● Dedicated CSM ● BI analytics

30 cents per interaction with a gradual volume discount down to 20cents per interaction.

We will select the 3 part tariff as it has proven to have the highest uplift in revenue, as we read in the prior chapter.

Additionally, we will set overage pricing higher than the average unit price of the main bundle to incentivize customers to move up a bundle.

Pro Pricing		
Included Average Monthly Interactions (x12 for year)	Price	Overage
25,000	7500	40 c
50,000	13,750	35 c
100,000	25,000	30 c
200,000	45,000	25 c
300,000	60,000	25 c
And so on..		

60 cents per interaction with a gradual volume discount down to 40cents per interaction.

We will select the 3 part tariff as it has proven to have the highest uplift in revenue, as we read in the prior chapter.

Additionally, we will set overage pricing higher than the average unit price of the main bundle to incentivize customers to move up a bundle.

Elite Pricing		
Included Average Monthly Interactions (x12 for year)	Price	Overage
25,000	15,000	70c
50,000	27,500	65c
100,000	50,000	60c
200,000	90,000	55c
300,000	120,000	50c
And so on..		

Operational Decisions

Should the new pricing be on the website?	This depends on the GTM model. Right now the product is new and we won't be dedicating a large chunk of the sales team to selling this. Hence, it might be better to show the pricing and packaging during the sales process and not on the website. As the process scales, and we have more sales and marketing budget to devote to this product, publishing pricing on the website at that time will help increase deal velocity.
What sales collateral will we need?	We will need the following: a) A packaging grid listing out all the features per package along with constraints b) A sales deck / first call deck for the product c) An excel based pricing calculator d) A working demo with a demo script
How do we get ops ready?	We will need the following: a) Making sure CRM/CPQ is updated with these 2 new SKUs b) Making sure a SOW template is ready for the product c) Ensuring verbiage around the usage limits per interaction is included in Order Forms along with language around overage rates

USAGE BASED PRICING
Not A Panacea

The experience of launching Usage Based Pricing (UBP) at a former employer and well-known software company has formed the basis of a lot of learnings explained in this chapter. UBP today gets a lot of positive/panacea-type coverage from pricing practitioners, leaders and VCs. However, in my opinion UBP can “feel/sound” very good. It markets very well. But the under-the-hood math, implementation and rationale require a level of nuance that is not obvious in how great this sounds at first blush.

I have had to fight to roll back executives' grandiose pitches, which would have led to half the revenue loss of my former product line if implemented as originally envisioned. It was always funny to me that some specific executives at this company thought this "pain" was worth the "gain" of moving to UBP.

I am not saying that UBP would not be a great fit for certain companies and types of products, it probably will and has been, as evidenced by NRR rates of companies like Snowflake ~130%. In Janelle Teng’s, Next Big Teng Substack,[32] she cites research by Goldman Sachs indicating that companies with consumption models increased net new revenue faster than subscription peers.

[32] https://nextbigteng.substack.com/p/consumption-vs-subscription-models-downturns

Learning 1: Your market must be a fit to UBP

Usage based pricing, or "paying only for what you use," is a very compelling pitch when it comes to pricing. It certainly stands to de-risk the customers' buyer purchase. It also helps to position your product/company as a modern mover/shaker in the eyes of VCs and Industry Analysts. After all, companies like Snowflake and Amazon do very well with it.

But even if it made all the sense in the world on the surface, that has nothing to do with the market and industry you serve. Read the example about Kustomer's CEO earlier in the book about being unable to innovate with their pricing strategy because the customers who purchased Customer Service software were only used to paying $ per agent.

Now, this may change in the near future with AI disrupting existing market categories, when exactly this happens and to what extent isn't clear. SaaS as an industry always operates ahead of the innovation curve, it also means that if your customers are in "traditional" industries/segments, then they are just not going to "get it." Similarly, if you sell a Salesforce app, you are naturally going to be compared to the base $ per user pricing that Salesforce offers.

I have seen executives make big bold claims of a change in their pricing metric to pacify Industry Analysts, where they haven't truly had enough conversations with a **representative** sample of their customers. Don't be this executive.

Learning 2: The taxi vs car dynamic – apply UBP only to the right product type

Many people buy equipment in their homes as a capability that they need to have, even if they don't use it every day. An example of this is a car purchase. It is indispensable for most people and yet many only drive their cars once a week. If the car company moved to usage-based pricing, would it still work for the car company? It would just not fit the type of product being bought. Similarly, many software products are bought as capabilities that are needed. But not a lot of people are actively logging into the product and using it every day. In fact these could be very sticky products and be perceived as indispensable by customers and yet with very low usage. What would be the point of moving the pricing model of such a product to UBP? In fact, what is likely to happen is a sharp downfall in revenue because the product was hardly being used in the first place.

I have personally been in the situation where a competitor moved their pricing to UBP creating FUD in the minds of our executives but upon speaking with customers and analyzing their usage patterns it was clear this was a capability purchase for them. The FUD did its job and made our company chase the bright shiny object of UBP when it wouldn't be a fit for them specifically.

However, if you are building a new AI-based product like an image or text generation product, and specially if it is closer to a foundational service offering that will underpin different application-layer products, then it is less likely to be considered a capability and more a consumption oriented service where UBP will fit.

Learning 3: UBP reduces revenue and valuation predictability

UBP is sometimes confused with customers "only paying what they will use". This is not true and in fact can set up a company for drastic revenue variability. Do you see the problem in this statement? Usage-based pricing means paying based on a specific pricing metric that is related or specific to the use of the product. It does not automatically imply a PG&E-esque payment for usage. Many times it can mean buying a set quantity of a product's consumption, think data plans with Verizon or AT&T. This is covered in the tariff structure options (linear vs 2-part vs 3-part) earlier in the book. This provides for revenue predictability.

However, there definitely is inherent revenue unpredictability in UBP as compared to traditional user-based models. In Janelle Teng's, Next Big Teng Substack[33], in a May 2023 post she highlights this issue, "Last week, cloud data infrastructure company Snowflake reported its FY24 Q1 earnings. While the company posted solid headline and bottom-line numbers that beat consensus expectations, it lowered FY24 revenue growth outlook for a second time within the last 2 quarters, causing the stock to tumble ~13% after hours (chart above). Snowflake pointed to degrading consumption patterns and a lack of predictability of when headwinds might subside as key reasons for the revision".

Additionally, what other thing does this variability imply? That the fundamental valuation model of subscription-based software will not directly apply to usage-based companies. The same valuation multiple cannot now be applied if the revenue is variable/unpredictable.

I further recommend reading Dave Kellog's blog post[34], "The Mental Mapping from Annual to Monthly and Usage-Based SaaS Metrics" to

[33] https://nextbigteng.substack.com/p/consumption-vs-subscription-models-downturns
[34] https://kellblog.com/2022/10/13/mapping-from-annual-to-monthly-and-usage-based-saas-metrics/

understand the implications of this model on financial metric reporting. The blog explains the complexities of shifting from annual to monthly and usage-based SaaS metrics, stressing that traditional metrics like ARR and MRR may not fit well with usage-based pricing models. It suggests that focusing on trailing spend and rethinking metrics like NRR and CAC is crucial for better alignment. The author urges companies to understand what "recurring" revenue means in these contexts and adapt their metrics accordingly.

Learning 4: Operational plumbing for UBP can be a critical hurdle

Even if UBP makes all the sense for a given organization, and there is all around alignment in this being the main approach to pricing there is still a challenge in implementing it. This challenge tends to be harder to overcome in larger established orgs compared to smaller orgs given legacy tech/sales processes.

For UBP to work, the pricing metric in question must be metered in the product across all customers. This data must be sent to the CRM, CPQ, ERP and Billing system so that accurate invoices are generated for customers. Additionally, sellers must be able to sell with “estimated spend” rather than fixed spend with traditional subscription sales. The technology implementation around this is non trivial and must be project managed with diligence.

At this moment there are a ton of vendors adjusting their technology stacks to solve this problem from metering companies, feature flag implementation companies, CPQ and Billing vendors. At Monetizely, we ourselves built a CPQ from 2023-24 and exited the market because of how slow moving, fractured and similar the vendors were to each other. Each individual technology listed here can take anywhere from 4 months to 2 years to implement.

I really cannot overstate how complex this can get and the most ideal pricing strategy certainly is not the best for an organization. Top tier pricing consultants do not have experience in operations and do not

get it. VCs do not get it. Industry Analysts do not get it. *(The only note I will add is that online sales or PLG orgs or smaller startups are less likely to have the same challenge because the pricing could be simpler and since it is core to product delivery, you'd like to have your engineering build the stack right upfront.)*

Learning 5: Sales compensation and forecasting should not be ignored

Assuming there is a direct sales element to your software sale, in order to implement UBP you must rethink your sales compensation structure. If due to UBP the initial sale price is minimal, then the sellers will want some sort of commission based on the growth of the account, it is something you will not be able to avoid. Sales forecasting becomes important for the same reason that valuation estimation becomes tricky, and a reasonable model will need to be built for the sales motion to support usage based pricing.

In my own experience launching UBP, my enterprise sellers straight up told me that there was no chance that they would even surface up UBP to their buyers until key questions of sales compensation were clarified. When a seller gets paid, how much upfront, and how much later on, matters in this structure and will be scrutinized by the reps.

HOW TO OPTIMIZE YOUR PRICING IN THE FACE OF CHURN & INFLATION IN SAAS

Since 2020, U.S. inflation has experienced significant volatility, peaking at 8.3% in 2022[35] due to pandemic-related disruptions, supply chain issues, and geopolitical events[36]. Efforts to control inflation, including Federal Reserve interest rate hikes, have helped to moderate it to around 3.3% by mid-2024[37].

In the SaaS industry, decision-making about price adjustments often revolves around discussions on inflation. However, a closer examination reveals that the real driver behind pricing changes is not inflation but regime change, characterized by shifts in interest rates.

Regime Change vs. Inflation

Inflation is typically measured by the change in the price of a basket of goods and services over time. From January 2000 to June 2022, (as illustrated in the Fig.1[38]), we observe significant price increases in sectors like hospital services and college tuition, while technology

[35] https://www.bls.gov/opub/mlr/2023/beyond-bls/what-caused-inflation-to-spike-after-2020.htm
[36] https://www.weforum.org/agenda/2023/05/us-monthly-inflation-rate-chart/
[37] https://tradingeconomics.com/united-states/inflation-cpi
[38] https://www.aei.org/carpe-diem/chart-of-the-day-or-century-5/

products, specifically computer software, have become more affordable. This trend highlights an important point: inflation impacts industries differently, and for SaaS companies, the usual inflation metrics do not directly correlate with software pricing dynamics.

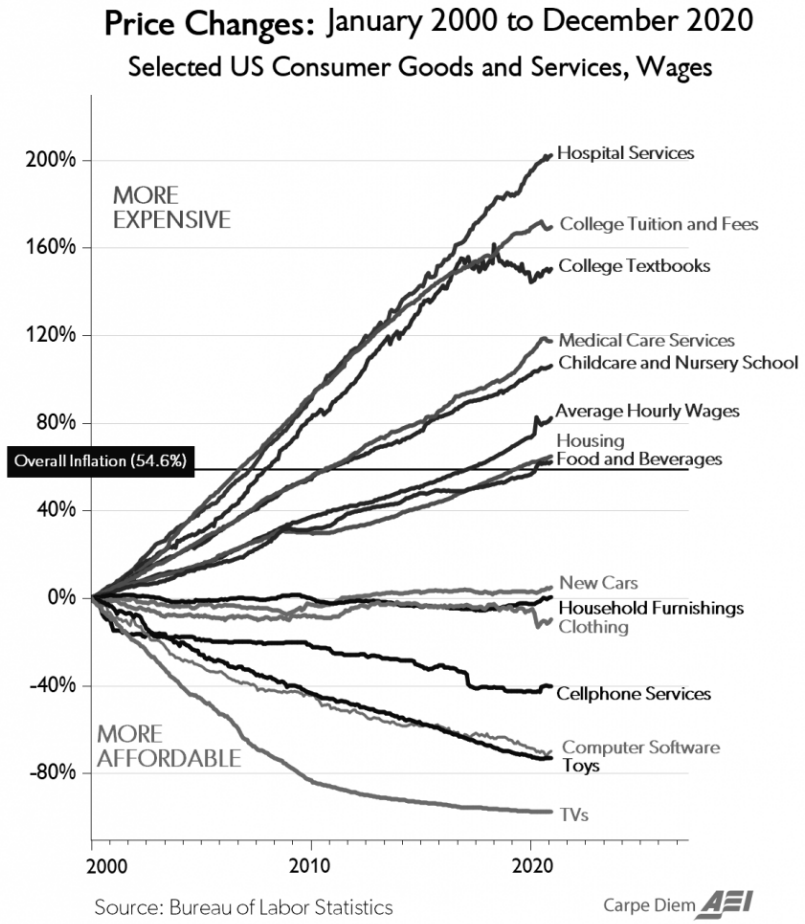


Fig.1: Diverging Trends in U.S. Consumer Prices and Wages (2000-2020)

As SaaS products mature and the market becomes more crowded, companies face a common challenge: ***commoditization***. This means

that the unique features that once commanded high prices start becoming standard, available from many competitors at lower prices – resulting in deflation. Additionally, Moore's law applies and the underlying storage and hosting costs become both cheaper over time as well as amortized over large customer bases.

Example of Software Deflation: DocuSign

DocuSign is an example of this dynamic. Early on in its lifecycle DocuSign was able to charge premium prices for its e-signature product line. But as the market grew, more companies like PandaDoc and HelloSign entered the scene, offering similar services at lower prices. This increased competition led to commoditization, where digital signatures became a standard offering, not a unique feature.

It led to:

- **Market Saturation:** Suddenly, there were many companies offering digital signature solutions. Customers now had plenty of options. This abundance of choices naturally drove prices down because competitors were trying to attract customers with lower prices.
- **Price Wars:** To win over customers, companies engaged in price wars, continually lowering their prices to outdo each other. This competition further pushed down prices across the board.
- **Feature Parity:** Features that were once unique to DocuSign, like secure signing and document storage, became standard. Almost every provider offered them. As a result, customers began to expect these features as a given, reducing their willingness to pay more for them.

In the below graph[39], (see Figure 2), you will see the relationship between SaaS valuations and the 10-year treasury rate. It's evident that SaaS valuations are highly sensitive to interest rate changes. Low interest rates have historically encouraged investment and higher valuations for growth-oriented SaaS companies. As rates rise,

[39] https://cloudedjudgement.substack.com/p/clouded-judgement-8224-uncertainty

however, the cost of capital increases, pressuring companies to prove profitability and efficient cash flow management.

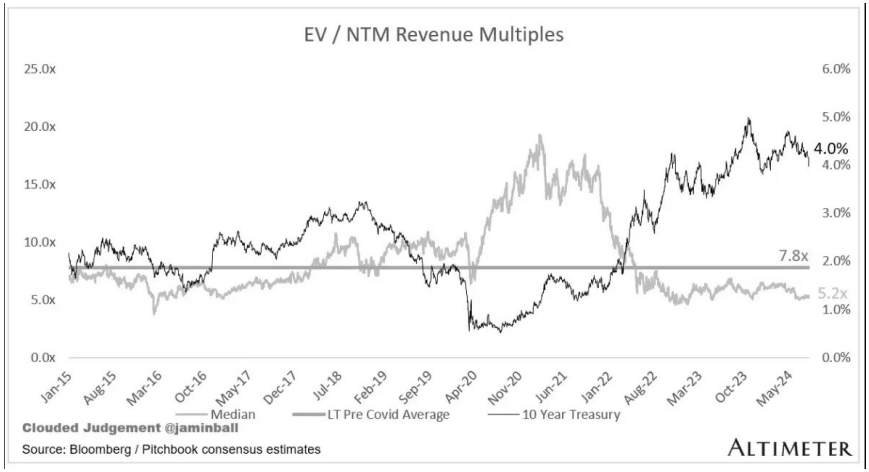


Fig.2 : SaaS Valuations vs. 10-Year Treasury Rate: The Impact of Interest Rate Fluctuations

Given these insights, SaaS businesses must reconsider their pricing strategies. Rather than merely adjusting prices in response to general inflation, understanding how regime changes influence customer behavior and investment becomes crucial. This knowledge allows for optimizing operational efficiencies and realigning pricing models to better match the economic conditions customers are facing.

Based on another piece of research by Jamin Ball[40], for a cohort of software companies the FCF (Free Cash Flow) has consistently gone up in response to higher interest rates. See image below:

[40] https://cloudedjudgement.substack.com/p/clouded-judgement-53124-software

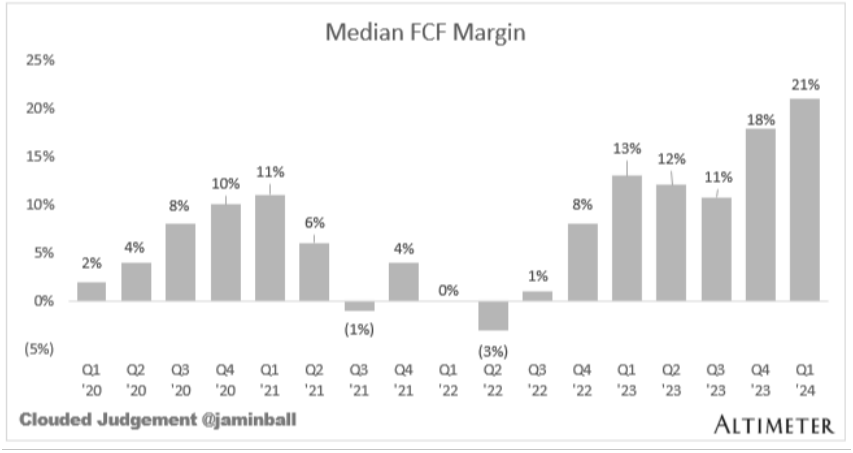


Fig.3 : Trends in Median Free Cash Flow (FCF) Margin from Q1 2020 to Q1 2024

Efficiency in SaaS is also measured through metrics like revenue per employee. The data in Jason Lemkin's blog post indicates that the average public SaaS company now generates about $300,000 in revenue per employee[41].

For some companies like Canva, this figure is even higher, reaching $500,000 in revenue per employee even at $2B ARR and 4000 employees.

To put this into perspective, in the past year 2022-24, the benchmarks for employee efficiency have risen significantly. In 2023, the average revenue per employee for companies at scale was around $188,000. This number has now increased, with companies like Canva setting new standards. The higher revenue per employee indicates that each employee is more productive, allowing companies to operate with fewer people and better margins.

At the same time, for the same reason of trying to maximize margin and cash flow, companies are also relooking at software spend.

[41] https://www.saastr.com/the-new-normal-700-employees-at-200000000-in-arr/

Median software NRR is now the lowest since 2020, see image below. Here we see the other impact of increasing FCF, a close relook at spend and thereby a concurrent impact on Churn and NRR.

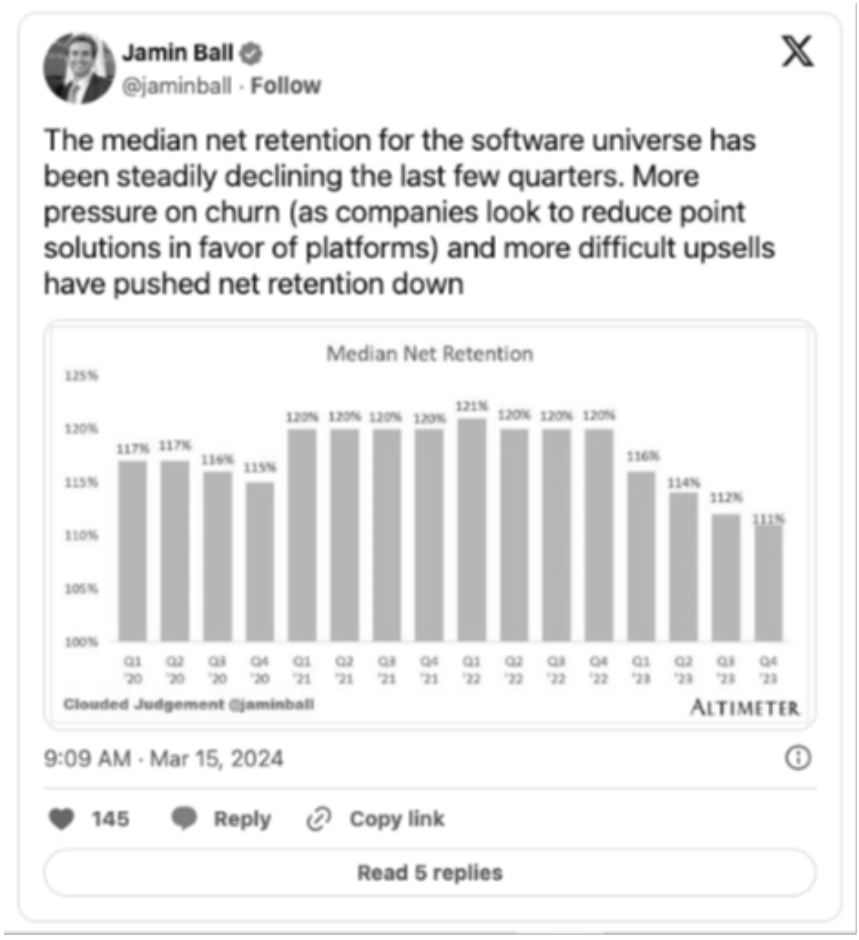


Fig.4 :Median Retention Rate for the Software

What we therefore observe is a double sided knife problem.

That,

1. Companies feel compelled to raise pricing to generate FCF but
2. Reducing NRR is causing churn pressure where simple price increases are unlikely to fly.

What options do you have then from a pricing and packaging perspective?

Let us consider our options first from a packaging perspective: The image below provides a set of packaging options from a one-size-fits all model on the left to a completely a-la-carte option on the right.

If you'd like to generate more FCF, then what you really want to do is to monetize areas of your product that there is a market demand for that is currently not being well monetized. In that case you want to move more to the right side of this spectrum. This means that if you have a sort of GBB model, then you can consider creating more add-ons that could be used to fulfill upsell motions.

In many cases there are already inefficiencies in packaging that can help you here (we are not advocating you nickel-and-dime customers), where some capabilities were added to packages but actually were valued by a smaller segment of customers but because they were included in the packages, they had become blocked from being upsells. Alternatively, you can consider using an a-la-carte option for a sliver of your enterprise segment (i.e. where you see "whale" behavior) and the act of custom scoping each deal across capabilities will likely lead to an increase in Average Sales Prices/Average Deal Sizes. In the 2021 environment, for growth you would have wanted more simplicity to increase deal velocity but now in the 2024 environment you may want to focus more on granular/flexible pricing to increase deal sizes.

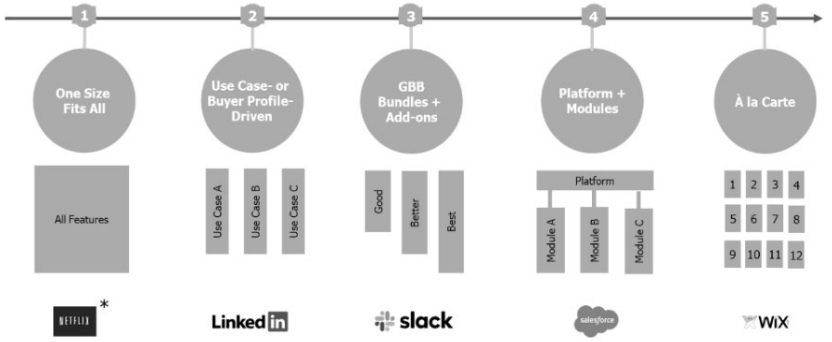


Fig.5 : Packaging Strategies as Potential Solutions to Margin Pressure

At the same time if churn is an issue, then a defensive maneuver to add a "lite" package option could help move customers to a lower plan so as to not lose these customers completely. See table below.

	Lite	Good	Better	Best
	$9	$19	$29	$49
Feature X	X	X	X	X
Feature Y		X	X	X
Feature Z			X	X
Feature V			X	X
New Feature				X

Let us consider our options next from a pricing metric perspective:

1. **Offloading non diminishing costs to the customer:** Oftentimes, companies offering some sort of a $/user cost will have bundled in costs for high cost capabilities such as sending

SMS messages or data storage or even high cost AI components. Generally customers will be more accommodating to paying for the underlying costs of things like SMS if a new cost-based metric on $/SMS was created. Most companies offering an ad-joining co-pilot may have a $/execution or $/completion metric in addition to their $/user base platform fee. These tactics, if well selected and accepted by customers, can help increase FCF and protect margin.

2. **Changing mis-aligned pricing metrics:** In some cases (see Mixpanel case study in this book), customers may want to change their pricing metric if the current metric is cited as a reason for customers' churning. If the customers are billed for their usage but the usage is not proportional to the growth of their business (just a growth in usage), then there is a broken link to ROI and the customer is likely to churn. Increasing storage costs in infrastructure-as-a-service players is one such way this happens. Metrics such as a $/MAU or $/customer visits are more proportional to how your clients win and could be better alignment vehicles depending on context.

Only once packaging and pricing metric changes have been considered should outright pricing metric changes be considered (especially if they don't provide any further value). See article by Jason Lemkin[42] where he says, "Incessant Price Increases on The Base: They just keep going up and up and up. Especially unearned price increases on the existing customer base. Same product, same features, now priced higher. Many have raised prices every year the past 3 years. We used to hesitate here, to keep NPS up. But if growth has slowed to say 20%? Then a price increase is the simplest way to hit the plan. On paper at least. Raise prices for new customers? At least they get to choose. Force annual pricing increases on existing customers? That's something quite different."

[42] https://www.saastr.com/the-brut-sales-pltoo-many-are-running-today

ECONOMICS & PRICING OF GENAI DEVELOPMENT

In this chapter, we will go into detail about the nuances of pricing GenAI products.

What You'll Learn:

1. **Managing Costs in GenAI Model Selection:** Choosing the right AI model affects both your costs and the quality of your product. We'll talk about how to balance cost and quality when you're deciding between AI co-pilots, primary AI systems, or the infrastructure behind it all.
2. **Choosing the Right Pricing Model:** Pricing can make or break your product. I'll walk you through different ways to price your AI product—whether it's based on users, usage, or something else—and how to make sure your pricing reflects the value you're offering.
3. **Tips for CTOs and Engineers:** If you're in a technical role, this part's for you. We'll look at the pros and cons of different development models so you can make choices that are both innovative and sustainable in the long run.

Get Early Access to the Latest Information

If you are reading this chapter with a QR code below, you are getting a draft of the book that needed to be printed ahead of SaaStr 2024. While we finish writing this chapter, you can still access the content via webinar format by using the QR code below and entering your email at the Maven landing page.


Monetizing AI:
Economics & Pricing of
GenAI Development
Sundeep Teki
40+ papers in AI & Neuroscience with 2800 citations
Ajit Ghuman
Author of Price To Scale, CEO of Monetizely
Learn directly from Sundeep & Ajit
maven

DON'T MISS THIS
Expansions & Renewals

Expansions and renewals is a lever of growth that has historically been a little ignored in software GTM motions. Yet, for companies that have a strong customer base, it is a growth lever that is worth its weight in gold.

Price Intelligently includes in one of its blogs[43] that (original data from a Pacific Crest Securities SaaS Survey) on average upsells and renewals have substantially lower (upto a 4th) CAC (Customer Acquisition Costs) as compared to new customer acquisition (see Figure 28).

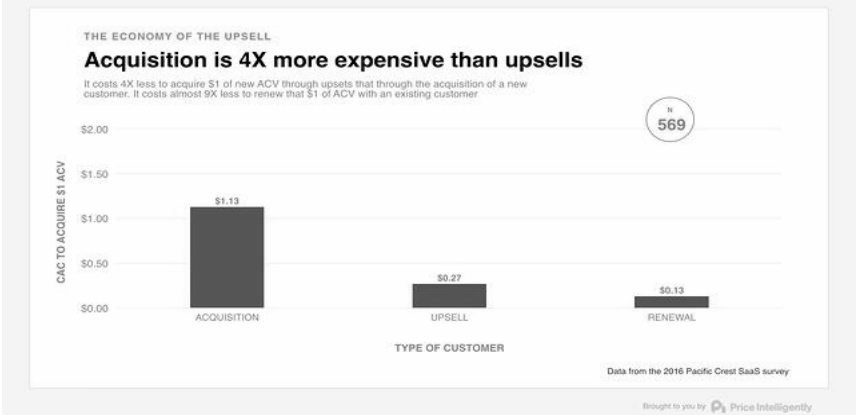


Fig. 28: Impact of Expansions and Renewals on Customer Acquisition Costs

[43] https://www.priceintelligently.com/blog/saas-subscription-expansion-revenue-is-crucial

This point was further driven home by one of Patrick Campell's presentations[44] on the importance of monetization (see Figure 29). His research revealed that a 1% increase in monetization caused the most significant increase in profits.

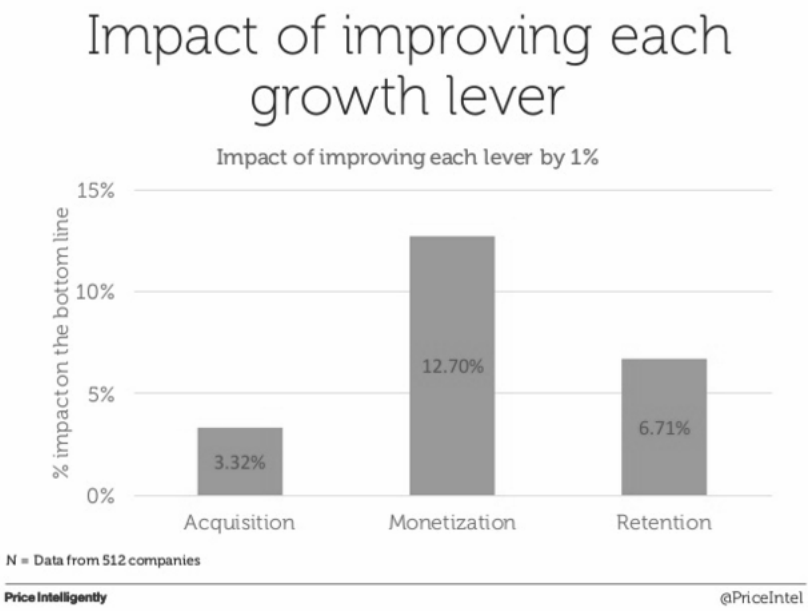


Fig. 29: Impact of Monetization on Profits

This is a critically important point for companies with an established customer base, be they single product or multi-product companies.

The problem is GTM teams (primarily Marketing and Sales) have historically not been very well structured to prospect seamlessly into existing customers, though this is changing. This is complicated by the fact that at any given time some customers are happy and some are not, with the Customer Success (CS).team usually gatekeeping the relationship.

[44] https://www.priceintelligently.com/blog/monetization-matters-for-saas-growth

In bigger organizations, there are also 'Account Manager', i.e. "farmer", counterparts to New Business "hunters". Even so, the upsell process is by its nature different. In many cases upsells happen as a natural consequence of increased needs as compared to a multi-channel marketing push for awareness.

That being said, the point of raising this topic is to make sure it is tackled with seriousness and a different lens given the potential impact this lever has on revenue and profit growth.

Below I provide a table of things you need to either design for, or even consider as mini-projects of their own to really make sure your pricing model works with expansions and renewals:

Area	Considerations
Package Design	**Caution on being too rigid** A common approach to good-better-best packaging is to bundle in all possible features within confined package tiers in the name of simplicity and deal velocity (too rigid). In some cases this can be a mistake. If you bundle in features that have been traditionally upsold or that lie unused as shelfware once a deal is sold, you've potentially blocked downstream upsell opportunities since going forward new prospects will already have these features as a part of their package. *(This problem is also articulated by Johnny Cheng later in the book and borne out by his experience at Gainsight).* **Treat existing customers as special** Often applying the same rules to existing customers as new customers can result in difficult expansion and renewal conversations, especially if existing customers have historically been given special treatment (lower rates, more services, etc.) You may want to consider creating special upsell bundles or a granular feature menu only for current customers to buy from, in order to ease natural upsell transitions, instead of creating all-or-nothing propositions which current customers may shy away from. If your customer base broadly has a singular package that

	was sold historically, and you are now introducing graded packages then it might not make sense to make customers upgrade to the most elite tier before they can buy the add-on applicable for that tier, because in most cases the upgrade + add-on cost will preclude the upsell from even happening in the first place. This is where a special upsell feature menu might help. If your customer base is especially large in size, e.g. in companies >100M ARR, you could also consider mapping customer sizes to the new graded plans and providing an incentive to move to the new plans (often a higher discount or deferred payment). If the pricing change is at a place where you are compelled to make this a company wide change with customer migrations, then it will undoubtedly become its own project and should be treated as such -- and not part of the initial pricing rollout. **Beware of cannibalization** A few types of pricing changes can introduce cannibalization risk: a) Responses to commoditization, requiring companies to create premium differentiated offerings but reducing the prices for existing plans b) Trying to enter downmarket segment to increase market share with price competitive plans c) Selling the same product via channel partners at heavily discounted, almost 'wholesale', prices. In each of these cases, and specially in the cases where you will publicly broadcast new packages or plans on your website, existing customers are bound to look for a better deal thereby churning out of higher margin plans. To avoid this fate, package design must be done very carefully allowing for graded differentiation between existing plans and also thinking about nomenclature and service offerings differently. Customers will be less likely to want to downgrade if they think the new plan is different from what they have and that their current product + service offering is a better fit. *(Later in the book, Jan Pasternak shares some of his best practices to deal with this situation from his experiences at Citrix, hint even naming them differently helps)*

Price Points	**List price conundrums** In the majority of pricing and packaging revamps, one of the key overarching goals is often to increase product ASP (Average Selling Prices). Some new packages may be created to capture greater value and others to capture market share. This often makes sense with the broader market in mind, but can be problematic for existing customers during renewal time. Existing customers who have a substantial amount of functionality, and who were sold on a prior package might need to upgrade to a 'premium' plan where the list price could be 2-3x higher than what they pay for their solution today. Offering customers these new plans at the new list prices may lead them to balk. On the other hand, customers who use only lightweight features but who still pay a reasonable average unit price could be getting a much better deal with the lower end packages created to incentivise market share. This may not go down well with leadership who thought the pricing revamp will actually increase ASPs, not reduce them. These list price conundrums can be solved in a few different ways: a) Providing higher discounts for existing customers b) Creating different list prices for new packages for existing customers c) Creating explicit, no-downgrade policies where existing customers will not be shown a lower list price than what they already pay While option-b could be cleaner, it might be resisted by your finance team which will want you to have consistent value for your product SKUs. The tactics deployed will be completely situation specific.
Volume/Usage Upsell	**Contracts, instrumentation and business process** Volume upsells are an element of pricing that is often missed in the early stages of a company's GTM, only later realize the usage of the product by existing customers have increased multifold but that the original contract either did not have language to cap usage or charge for overages, and more often that not the product isn't instrumented properly to meter usage. Not all companies

	face this challenge, but many do. When revamping the pricing model, it is then critical to think about overage pricing that incentivizes clients to move into higher value product tiers, as well as internal mechanisms to flag an upsell motion when an account has significantly exceeded usage expectations. Furthermore, explicit language must now be put into new client and renewal contracts that makes the usage clauses clear with an agreed upon overage rate. Not having this language is bound to cause pain where every renewal opportunity becomes a challenging negotiation, increasing churn risk and forgoing potential revenue at the same time.
Cross-sells	**Incentivize clients to be loyal** It is the refrain of many single product companies that go against behemoths such as Salesforce or Zendesk that even though they have competitive product offerings both in terms of features and price, the larger company is able to close multi-product deals by providing steep discounts to keep their clients locked into their own ecosystems. You must do that same with cross-sells. As long as an opportunity is a product fit with a client's need, it is advisable to offer special discounts and payment terms to existing clients such that it makes little sense for them to even bother running a competitive RFP. As a pricing leader, it would be advisable to proactively create a distinct discounting and approval process for cross-sells that is distinct from your new business deal closure process.

A final note on the dynamics of who your key stakeholder will be in this process. It is less likely to be the VP of Sales and you must equally cater to the VP of Customer Success for these policies to succeed. Quoting Tom Tonguz[45]:

[45] https://tomtunguz.com/renewals_percent_rev/

> *"As a maturing SaaS company approaches 50% of revenue generated from renewals, customer success should rise in strategic importance to the business. After all, customer success generates half of the company's revenue. In addition, as the startup develops new products and/or capacity to expand accounts, the customer success team new bookings also becomes a material consideration. And the VP of CS contributes as much revenue as the VPS."*

Bundling

Bundling is often considered a 'silver bullet' in the SaaS industry, seen as an easy way to drive revenue and decrease churn by encouraging multi-product purchasing. By offering multiple products or features together at a discounted rate, companies can increase the perceived value of their offerings, making it more difficult for customers to switch to competitors. This strategy not only enhances customer loyalty but also boosts average revenue per user (ARPU) by promoting the adoption of additional services that customers might not have purchased individually.

However, while bundling can be highly effective, it also has its disadvantages. One major drawback is the potential for customers to feel overwhelmed by the number of features they receive, many of which they may not need or use. This can lead to dissatisfaction and the perception that they are paying for unnecessary extras. Additionally, bundling can complicate the product offering, making it harder for customers to understand the value proposition of each individual component. From a business perspective, bundling can also reduce flexibility in pricing and limit the company's ability to upsell or cross-sell specific products in the future.

Therefore, while bundling can be a powerful tool for driving growth and reducing churn, it must be carefully designed to ensure it aligns with customer needs and does not inadvertently create complexity or reduce the perceived value of individual products.



Pros:

Enhanced cross-selling: Bundling can provide opportunities for cross-selling.

Increased customer loyalty: Bundling can increase customer loyalty by creating a sense of value and trust in the brand.

Improved customer satisfaction: Bundling can improve customer satisfaction by offering a convenient, all-in-one solution to their needs.



Cons:

Complexity: Bundling can increase complexity in terms of pricing, marketing, and product management, which may reduce conversions

Limited customization: Bundling may not allow customers to customize their order to their specific needs.

Reduced profitability: Bundling can reduce profitability if the bundled products.

Cannibalization: Bundling can cannibalize sales of individual products or services.

INTERVIEWS & CASE STUDIES WITH TOP PRICING LEADERS

The remainder of this book has a treasure trove of information hidden within interviews with the top revenue and pricing leaders in the Valley. The 2nd edition now has even more case studies from Jan and Ajit. The following table provides an easy reference on the areas covered in the interviews so that these can be read in the context of the theoretical information provided earlier in the book.

#	Interviewee	Company Discussed	Main Topic of Discussion
1	Kevin Paiser *Head of Sales at Nosto*	Nosto	Evolution of Nosto's pricing approach changed with the growth of the company.
2	Johnny Cheng *Sr Director of Product Marketing, Coupa Software*	Gainsight	Revamping Pricing and Packaging in Mid-market and Enterprise Segments
3	Pranav Kashyap *Head of Pricing, Mixpanel*	Mixpanel	Changing the key pricing metric to align with customer value
4	Natalie Louie *Sr Director of*	Oracle	Designing pricing when parts of the product has high hard costs

	Product Marketing, Zuora		
5	Rajeev Venkatraman *VP of Pricing, Verint*	Verint	Moving from perpetual licensing to subscription model
6	Joshua Bloom *Managing Partner, Simon Kucher Partners*	Simon Kucher Partners	General interview on pricing and packaging learnings
7	Mehul Saini, *Principal Product Marketing Manager, Rubrik*	Rubrik	Moving from perpetual licensing to subscription model
8	Jan Pasternak *Head of Pricing, Zoom*	Generalized	General interview on pricing and packaging learnings
9	Kevin Christian, *Director of Pricing Strategy and Operations, Infoblox*	Generalized	Pricing & Packaging for IT Infrastructure & Ops Products
10	Ajit Ghuman	Narvar	Rationalizing Pricing & Packaging
11	Jan Pasternak	DocuSign	Transformation from Usage-based to Feature-based Pricing
12	Jan Pasternak	Zoom	Pricing Structure Complexity
13	Jan Pasternak	Pushpay	SaaS Functionality Commoditization

14	Scott Williamson *Former CPO at GitLab (podcast summary)*	GitLab	PLG Pricing Revamp
15	Ariel Assaraf *CEO Coralogix (podcast summary)*	Coralogix	Building Product For Total Cost of Ownership

Exploring an Evolving Pricing Journey with Kevin Paiser at Nosto

Nosto delivers personalized shopping experiences for ecommerce brands. In this interview I spoke to Kevin Paiser, Global Head of Sales at Nosto about multiple pricing changes he has been a part of during his tenure at Nosto.

- Moving from a pay-on-performance model to a fixed fee model
- The evolution of packaging from being product-only to including service offerings, and introducing modularity

Kevin on Nosto's Successive Pricing Models

I joined Nosto six years ago and our story has been quite a roller coaster - in that the growth has been revolutionary. We do product recommendations on e-commerce websites, like those you see around Amazon. It's all about automating for a merchant and personalizing it for consumers, based in particular on their behavior on the website. We tend to be more focused on mid-market clients.

The Pay-On-Performance Model

When we started out, our go-to market commercial strategy was on a cost-per-acquisition model. Our client would use our software and only pay on sales that we helped them generate. We got paid a percentage for everyone who clicked on a product recommendation, and then converted within the same online session. In order to power this, we'd track events that happen on a website. If the customer ended up buying after clicking on something that was generated by our solution, we would basically charge clients a commission for that sale.

> *It was a great pricing model because it was ostensibly "risk-free". Clients only paid on conversions. So, we got massive product adoption — and this model helped us to really grow.*

And yet, the unpredictability of how much revenue we would make - was a risk for us, as a growing business. A client could have a bad month all of a sudden, and we don't make a lot of sales because they don't. Alternatively, you have a very big peak and you can make a lot of sales. If a client took the feature away on the website, we made no money. While being risk-free for the merchant, it was actually very risky for us.

This pay-on-performance model lasted for four or five years, since the start of the company in 2013.

Transitioning to a Fixed Fee Model – The Evolution

We eventually changed into a monthly fee-fixed model by 2017-18, primarily because we expanded our product offerings. We began to realize that the newer products didn't quite fit the pay-per-click/cost-per-acquisition model, and were more about consumer engagement. We needed to basically come up with a model that incentivizes clients to use more products, while keeping a fair pricing model.

We did a fixed monthly fee that was set, based on the revenue of the merchant. If a merchant got in $5 million on average, they would pay us based on the conversions we were getting before. We put together a rate card, saying, "Clients of X to Y revenue bands would be paying us A to B on average." A pricing table was created based on this. Then, if one more product was added (by us or them), we charged a little bit more.

A lot of vendors in our space charge a license fee as well, but that is based on site traffic levels. We decided to stick to revenue as our main value metric, since it is the best measurement that gives the client a feeling that we're there to grow with them. As they grow, we do, too.

That's the main evolution we had — a fixed model to provide all products within a set plan.

Moving to Modular Packaging

We then introduced three levels of plans: Starter, Premium and Enterprise.

Once we made this change, we saw some clients say they didn't want specific products in their plan. We packaged it all basically believing that they would adopt everything. But clients came back wanting to remove certain products and reduce the fees accordingly.

Again, we moved to modular pricing. Instead of three plans, we just kept a 'Build Your Own' plan option.

Now, when someone wants to access Nosto, they first pay a flat license fee based on revenue. Then, we ask them what modules they want, each costing X or Y based on their size.

Opening Up New Revenue Streams

In addition, we've also started charging for services. **When you do a lot of things for free at the beginning and when you change that internally, there is massive reservation, say from the sales team.**

But when we started doing it, we realized that clients didn't question it, because they expected to pay those fees! So now, we charge fees for implementation, onboarding and training, or other things that were previously usually done for free. This has become another good revenue stream for us.

Kevin's Thoughts on Rollout and Sales Enablement

In our initial paid-on-performance model, our pricing strategy was explained only on our website. There were no contracts signed. Once we made our initial pricing change, we began to sign contracts. We had to get educated on the process of creating contracts, negotiating on them and the terms that people come back with when you sign 12-month contracts. A big part has also been educating sales representatives on how to handle objections, because they were used to

a very easy sales pitch earlier — "Use it and if you don't make any sales, you don't pay." But, the license model change was very different.

Now with the third evolution of our pricing, we make sure that the reps are prepared. Here's how we do it:

1. We give them the rate card and ensure that they know how to use it.
2. We recommend doing test pitches and to start thinking about how prospects will react. The good thing about the team is that they have a lot of questions on whether something is right or not, or can be done a different way.
3. There is a lot of follow-up feedback. We do a lot of sessions on pricing follow-ups and make sure everyone learns it from the start.

Putting proposals together has been another struggle — like how best to insert a nice slide that looks at the proposal of pricing, but does not confuse clients. At the beginning, a lot of salespeople thought they could send ahead three or four options. But clients would see too many numbers on the slide and get confused. So, we focused on making nice, presentable pricing that didn't feel chaotic, and was easy for the client to comprehend.

Another thing that comes with pricing is a set of the rules of engagement regarding discount approvals. With every client, there's negotiation — but you also want to give some freedom for a salesperson to provide some discount levels, and know how and where to ask for certain approvals. We've had to create quite a few processes on how to do these approvals, and determine who can give out the next level of discount.

Kevin Summarizes the Outcomes

The main shift that helped our kind of business was obviously predictability, but we've also now been able to add new products to increase our average deal size significantly. We've managed to create modules that we would have struggled to sell before. So, we've allowed

our average deal size value to increase considerably, and created the possibility for the Customer Success team to upsell more proactively - throughout the lifetime of the customer. Finally, we've added a services revenue stream that didn't exist earlier, based on this pricing change.

Revamping Packaging & Pricing at Gainsight, with Johnny Cheng

My interview with Johnny Cheng on his time at Gainsight was one of the most instructive in terms of the challenges that occur with pricing when a company is in its high growth stage. As the then Director of Product Marketing at Gainsight, Johnny commandeered Pricing Strategy, CPQ (Quote-to-Cash), Go-to-Market Pricing and Packaging, Analytics and Reporting, as well as Deal Strategy and Support. He elaborates in his own words.

How Gainsight Pioneered the Customer Success Movement

Gainsight is the leader in Customer Success (CS) software. We are to CS platforms what Salesforce is for Customer Relationship Management (CRM), or what Workday is for Human Resources (HR).

The CS movement happened five or six years ago. If you look at CS roles back then, they didn't really exist in an organization. You would have a support person and an account manager — and that was basically it. Gainsight pioneered the whole CS movement and actually built a community of CS professionals — almost a set of buyers. As a consequence of the community, we started seeing elevated roles like Chief Customer Officer (CCO). Interestingly, a lot of our early adopters and champions are CCOs at a bunch of companies now.

In terms of our target buyer, it is obviously CS professionals, like the CCO and VP, who we sell to. For more traditional companies, we try to sell to IT or the Head of Support.

This is especially true for companies going through a digital transformation, moving from a perpetual license to a subscription model. Earlier, when they deployed hardware, they would just charge for support and move on. Now, as they're moving to a subscription

model, they see a bunch of different customer touchpoints. And so, they need software that can basically handle that.

That's kind of our sweet spot, in terms of who we sell to. We definitely have a lot of big names that really believe in this whole transformation, which takes them from what they always did, to ongoing CS.

Gainsight's Pricing Problems

One of the reasons Gainsight brought me on-board was to fix the number one thing that was broken there – pricing.

In particular, the most broken segment was mid-market. Ironically, mid-market was actually their product-market fit sweet spot. Smaller customers couldn't afford them altogether and larger companies could probably build something similar themselves. But to have pricing be broken in your target segment is bad.

In the mid-market space, at the time, Gainsight used a feature-based pricing model where it was just a good-better-best offering — that's it. For a set price of say $1,000-$2,000-$3,000, you just get a good-better-best package. I'll go into why that was broken.

They also had an Enterprise model, where it was just completely discrete pricing. Sales would basically make up a price. The top of the Enterprise deals worked fine with that approach because they were value selling, and they didn't need much guidance.

But Gainsight was stuck in the mid-market segment, where they didn't have the luxury of doing a return on investment (ROI) analysis of a five-year launch and building a discrete pricing model; all while wanting to sell on value and not leave money on the table.

> *The good-better-best model wasn't even working, because they were always selling the middle tier package each time. Even when they sold the larger tier, it was at the same Average Selling Price (ASP) as the middle tier. Not only that, but the packages created a lot of shelfware, and there were constant downsells.*

Gaisught's software was extremely custom. Every company does CS differently and every client needs their platform to be something different. It's not cookie-cutter or like Marketing Automation, with very defined for-use cases. Everyone knew how to do that. With CS, no one knew how to do it! Everyone had their own view, their own brain. The good-better-best approach didn't really work.

For larger Enterprise companies — the top ones — if you did an analysis based on their price points, it was all over the place. They were selling stuff for like $5 a user or then $1,000 a user. It was just like the Wild West, whatever money they could get, they just went for it!

Johnny's Approach To Packaging & Pricing

Creating a Modular Packaging Solution

Looking at my past experience, one thing that worked really well was solution-based selling. We created modular solutions — think of them as Lego pieces. We could tell a salesperson, "Here are your Lego sets, you can put them together however you want." But, there was a price tied to each module. It was almost like a packaged-plus-à la carte hybrid model.

In order to develop these Lego pieces, I did this packaging exercise (which I do at all of my companies) in the following steps:

1. **List out:** We broke down every single feature and just listed them all out. These usually end up in the hundreds.
2. **Group up:** Once we had these, we looked through different lenses for how to bucket these capabilities into what I call modules - capabilities that are natural to group together, like things a set of users would commonly use.
3. **Test:** When these bucketed modules were created, we started going through iterations to test them against customer segments, to see whether they fit that segment's usage.
4. **Rearrange:** We also checked to confirm if the features that formed the modules were mutually exclusive and completely

exhaustive (MECE), or not. Based on the testing, we broke up or combined these modules further.

5. **Categorize:** Finally, we categorized the modules we arrived at - based on their sophistication, price point, value, and a bunch of historical analyses about how they typically performed, adoption, and more.

Going through these categorizations, we started noticing patterns that helped decide packaging:

- What if these products are of very high value, they're table stakes, and used by everybody? These went into a **base package**.
- What module does only the most sophisticated customer see, is of very high value, and increases adoption? This could be its own **standalone add-on module**.

The caveat with this approach is that it requires a fine balance, and not listing out a hundred things. What you do want is to group the modules to a point where the salespeople can understand it. Then, they can sell the value of each individual one, and it can carry a discrete price.

Setting The Value Metric

The main benefit of a solution selling model is that you can have zero to two value metrics per module, if you really wanted to go with that level of granularity. Our primary value metric at Gainsight was users; our secondary was number of customers.

If you think of the individual modules, they were either based on:

a) Users, or
b) Customers, or
c) Users and customers, or
d) None (which is a flat fee).

With that kind of flexibility in a model, you could start to hone in on where you really capture value. Certain things just do not make sense, aligned to users.

For example, if we had this capability that basically communicates out to customers, like marketing automation for CS. In this, you cannot just pass on the number of users — the value of this module has nothing to do with users. It has everything to do with customers, though. If I have 5,000 customers, I'm going to reach out to them and charge you based on those customers. So, certain things are measured on different levers, and what's nice is that you can tweak this on multiple axes. That was a really big change, because **Gainsight, as with a lot of SaaS companies, relied too heavily on users. A lot of SaaS companies just go ahead with users as the metric, not caring if it doesn't align, because they don't know how to price.**

A lot of pricing professionals aren't willing to change the value metric or explore other options, because they're afraid it will mess up ASP or sales cycles. But it is one of the few things you just have to get right, even if it means tweaking it.

I learnt this from my time at Marketo, when I first started there, the overall industry metric everybody used was sent email volume. If you think of how that lever aligns to value — it doesn't! You can send a bunch of emails out, but it doesn't mean that you're going to capture more value from them or get more contacts. It's also extremely hard to predict how many emails you're going to send in the following year.

So, we were one of the first to pioneer the concept of pricing per contacts, which actually aligns very closely to value – "If you use my product to get more leads and pay us more money, you're still more successful in return." Finding this lever is almost like a silver bullet; which a lot of companies fail to do.

Selecting the Value Metric for 'Marketo for Mobile'

An instance of where we had the wrong lever was when we introduced Marketo for mobile — our pricing lever was the number of app downloads. We thought that since we're mobile marketing, it makes sense because the more apps your customer downloads, the better your marketing is doing, the more you pay us money. Within a month of launching pricing packaging and going out to market, we realized we had completely messed up.

If you asked any mobile first company what metric they value, it's always monthly active users (MAUs). That's the number they put to the board and they tell investors. They don't care that they got a million people to download their apps — they want engagement. How many of those million people actually went in and touched the app? That's their MAU. We quickly pivoted as well, because when our earlier lever didn't resonate with value, we changed it up immediately.

Results of The Pricing Revamp

Impact on the Sales Process

The change was very well-received in the mid-market segment, as they now had guidance. They could do value selling, there were price curves, they understood the discount ranges, what other customers bought for, and more.

As for the Enterprise segment — they were fine with getting some structure and the discount was still up to their discretion. So there was still a lot of value selling and proven ROI. In certain Enterprise cases, where something wasn't priced according to expectations, we would create sub-packages. These Enterprise-grade packages made it modular enough to cater to both segments.

Ultimately, where we struggled is in the small to midsize business (SMB) space. Here, you tend to develop a crutch — "I only sell this one package and that's all I sell. I don't care if the customer needs 20 percent of it, or more, I am just going to sell this." This way, we also didn't sell under value. But eventually, the company had to actually learn how to do value selling - about modules and how to position modules for customers. That was difficult, but it was a step in the right direction, in terms of behavior.

Changes in Performance Metrics

A few things were really apparent:

a) Firstly, ASP obviously shot up, right off the bat.
b) Annual Recurring Revenue (ARR) also went up.
c) The really good thing is we sold less for more money, which is like the Holy Grail. I sold less modules for more money because it felt more custom and it was selling under value.
d) In return, our expansion dollars went up as well.

Overall, it was just a very positive and huge change in how we were monetizing our capabilities. This change was almost expected from me at the three companies where I headed pricing — if you make these changes and train the reps on how to use this model, the ASP will go up and the expenses can, too.

Data Sources to Tap for Analysis & Research

The only three things I do are:

1. Talk to customers or prospects.
2. Look at historical data.
3. Look at competitive data.

I've seen a lot of McKinsey-like studies where they do a lot more, but at the end of the day, as a pricing professional, you just have to be really flexible and organic with your pricing. You can't get stuck at a figure. You have to be able to look into analysis and optimize. A lot

of pricing professionals don't like the optimization part. It's all about just tuning, tuning and tuning. I'm a strong believer in optimization and change my price curves especially for newly launched products once a month. It then becomes once a quarter, then maybe once a year, and finally maybe never. But you have to keep tweaking.

Johnny's Take on Pricing Operations: The Ups and Downs of CPQ

I have a very strong point of view on Configure, Price and Quote (CPQ) systems. If you're just doing feature package selling, you don't really need a lot of sales tools or CPQ. It's easy enough to do especially because it's so transparent to your customer. But once you start moving up and begin value selling, you have to start creating tools for sales. It is a must. My fundamental belief is that in order to do value selling, you need a ton of flexibility. And there is a level of complexity when you introduce it. This can be the deal killer, as it slows things down, makes it so that reps can't defend the deal or price points. It's very hard for them.

In order to address that complexity and keep the flexibility, you have to introduce tools. In every company I've been at, I'd give them both the pricing calculator and a CPQ. I'm a strong believer that the pricing calculator is used very early in a sales cycle to do budgeting, rough numbers and packaging. CPQ is basically a guidance selling process.

> *Whenever I mention CPQ, a lot of people feel it is one of the worst tools to implement in the history of software. But I'm a huge fan of CPQ because it gives all that guidance and all those instruments. It also means less reliance on the Deal Desk and allows your company to scale. This is while giving you a lot of data on the backend. There are a lot of positives about CPQ, but it is painful to implement, especially if never done before.*

While I led the process, it had to be in partnership with sales ops, IT, and finance — all the people actually building it. It's almost like the

four legs of a table. If you're missing any of the legs, it's guaranteed that implementation will be bad, and there will be pitfalls. If your sales ops are very tuned in to sales, product and the various spokes, things may be fine. But then, most sales ops try to build CPQ for the Deal Desk. CPQ is not a Deal Desk tool. It's a sales tool. Unless they have that perspective, it's extremely difficult.

That's why my guidance is that if you build something like a calculator in parallel with CPQ and say "CPQ is the source of truth", the calculator basically just follows.

Moving Away from an Events-Based Pricing Model to an MTU-Based One: Pranav Kashyap on Mixpanel's Journey

Group Product Manager and Head of Pricing at Mixpanel, Pranav Kashyap, elaborates on how the company made the switch to a new pricing model.

Why the Events Model wasn't Working

Mixpanel had an events-based pricing model initially (since 2009), until their recent change in 2019. Under the events-based model, each item that you tracked on the website was an event, which a customer sent us, and were then charged accordingly. This tracked very well with our costs — the more events they sent us, the more expensive it was.

The issue was that this did not work well for a lot of our customers. For one, it was really difficult for them to predict how many events they would need. Lots of people were new to the concept of tracking.

This was especially true for product analytics — it was usually Product Managers (PMs) who wanted to improve their product and see where users got stuck, or how a new feature of theirs is doing, whether people were using it or not, retaining it or not. In that world, we found that if we wanted to really help our customers, the only way we could prove it was by helping them move real business metrics. That means that we had to either help them grow, or retain, or engage users more.

Events help measure some of that, but they don't always do a good job of actually tracking it. For example, if you were to track a lot of things, it might not be going well for you — but you're still paying us more money. This led to churn and dissatisfaction. For one, people

would churn because we had upsold them multiple times - say if they went from 10 million events to a 100 million events and were still unable to find value. They were tracking more and more events and paying more money, but not seeing the business benefit.

Secondly, if we asked brand new users and salespeople how many events they needed with a new account, they would not know. They knew their number of users, but not how many events they needed—and that was another complication in estimating usage.

Mixpanel's Repackaging

The solution involved everything from packaging to changing the core price metric, to also setting the price levels.

We first figured out which were the big customer segments, and what use cases they had. We found a mix of start-ups and large customers. Within them, there were:

- **Engineering, Product and Design (EPD) teams:** At start-ups, all that the EPD teams really wanted to know was whether they were achieving product market fit, and whether they had the users that they needed. Large enterprises have lots of different teams, so they wanted to control who had access to data, who was using what, whether they had Single Sign-On (SSO), and how they were doing as a company.
- **Data teams:** Data engineering teams were very heavily involved. They wanted to connect their stack and have their data flow into Mixpanel, which was clean; or have Mixpanel data flow back into their stack.
- **Marketing teams:** They wanted to run lots of A/B tests, do email marketing, push notifications, and so on.

These were the different groups, and each had different use cases. But certain things were consistent. Everyone wanted to know how they are doing as a company, and whether their features were being

used. But then, each group had some specific nuance around that need, too.

Using all this, we repackaged Mixpanel. Earlier, we used to sell an events plan and a people plan. Then, we split it out into Mixpanel Analytics, after which you could add things on for the data team in the 'Data Pipelines Package'. For marketers, there was a 'Messaging Package'. Separately, we also had a 'Groups Package' specifically targeted at B2B companies, where we actually incurred more costs in storing data because we had to store multiple copies of it.

Pricing Research Methods Used

We ran some surveys of people to figure out what things they valued, and how much. This was to get a sense of how many dollars we should charge for the packages, what features they needed, and how we stacked up against our competition. We also did a lot of customer interviews, to try and understand what were the different rules, and what features were being used in their companies.

We didn't run any conjoints or Van Westendorp analyses. But conjoints were just really painful to set up and analyse. It was just too granular for that, as we had almost 50-60 different features we had to plug into different places. Running a conjoint would have meant taking hour-long surveys, which can be quite hard.

Altering the Metric to Monthly Tracked Users (MTUs)

Once we had our packaging in a reasonably good place, the next thing was to change metrics. We tried lots of different metrics. We mooted charging based on how much we could improve a client's revenue growth; or, we mulled basing it on monthly active users (MAUs) or monthly tracked users (MTUs).

We tested some 50 different metrics — like number of apps and websites tracked, page views, flat rates, query volume, data stored, data exported, a percentage of revenue attributed to Mixpanel, a percentage of churn reduced, and so on.

At the end of it, we managed to narrow down the list by subjecting every metric to the following five criteria[46]:

1. **Is it Predictable**: Customers ideally want their bills to be fairly consistent. So do we. If there is a month-on-month variation, it is difficult for the customer to predict costs, while making it hard for us to forecast revenue. So the question we asked was - *Can you reliably model price increases over time?* And worked to address this.
2. **Is it Acceptable to customers**: A flat rate can be a tough sell when you've got customers ranging from 10 employees to more than 100,000. We didn't want something that deterred our customers from getting the most out of our product. The idea was to see if a salesperson could sell this. We wanted to see if this seemed logical to our prospects.
3. **Is it Trackable**: With MTUs, customers know how many users they have. And we do too. That way, it is simple and straightforward for both parties.
4. **Is it Scalable**: The goal here was to strike a balance between affordability for smaller customers and volume discounts for the larger ones. We wanted to make sure that small customers who only have a budget of $100 a month could pay us alongside large customers who were paying us several million a year. The idea was to see if the model could be applied to both small companies and giant ones, and if growth could be comfortable with each.
5. **Is it aligned with value**: This was our key consideration. We ran regression analyses for every metric under consideration to see which correlated most with revenue. While Event volume didn't pass the test, it was MTUs that won by a landslide. Our philosophy was that we didn't want start-ups to pay too much. We wanted to see which of these metrics does best at keeping it cheap for a small company, by

[46] Danielle Kucera, 'Inside Mixpanel:In 2019, we realized our pricing wasn't good for our customers. Here's what we did.' https://mixpanel.com/blog/pricing-mtu-model/

charging more for bigger companies. MTUs ended up winning on that front. It was basically how many unique people you track, and served as a proxy for MAUs.

The Roll-out of the New Model

At first, it was opt-in. We already knew which customers were finding it hardest under the events model — we could analytically figure that out. We also gave the pitch to our sales team to talk to customers who were upset about the price they were paying. We did that and basically kicked off a pilot. We had salespeople go out and ask if someone would actually rather be on the new option, instead of the events pricing model. So, many customers who were initially going to churn actually liked it a lot, switched over to the new plan, and stuck around with Mixpanel.

These were all existing customers. We already had Mixpanel data on exactly how many MTUs they had — so we had a very good sense of the numbers. Even for new customers, we found that almost everyone had Google Analytics installed on their website or their properties. Our sense of it was that we were roughly looking at Google Analytics plus 20 percent.

We wanted to keep our revenues flat. So we said, "Look, if we assume that everyone was to move over to this new plan, we want to make exactly the same money. This is not a call to make more money off our customers." Thereafter, some customers who were significantly better off with MTU would switch; and some who were significantly worse off would never switch. So, net-net we expected to lose some money as a result of the switch, but hoped to make it up with churn rates - which we thought would actually decrease by 10-15 percent.

Optimizing the Model at Every Step

Thereafter, one learning on the sales front was that the switch did make the process a lot easier. This was because the team could now figure out how much the customer needed based on Google Analytics.

What got harder was that there was more uncertainty in the model than we had realized. We're trying to get around it now, but take for instance a situation in which you're tracking events on your homepage and then run a Snapchat ad that loads your homepage. Now, each person who sees that ad is pulling up your entire homepage. That blows up your MTU count because there are way more unique visitors — but they don't do anything on your product. And now that's something to pay for.

So that was an unforeseen development. We did know that some customers were very high MTU, but very few Events. To address this, we had to come up with a different pricing model called MTU Five. As part of this model, a user doesn't count as one until they've done five events. This approach tackled 90 percent of such cases.

Secondly, some things that were easier on our old model are a bit harder now. With Events (value metric), it would have been a lot easier, say if you joined on the 15th of a month and we could just count events from the 15th to the 30th for the month. With MTUs, it's harder because a month is a defined timeframe - we can only bill you on the first of every month. So, it would now require a new billing logic to only charge you for 15 days for your first month; and then do it on the first of every future month.

Managing Pricing Operations

I am not a fan of CPQ. What we did to get around CPQ was to have an online Google Sheet to calculate. It just literally lists out every single price point and MTU podium, and our salespeople just use that. When they need to make up a quote, they go there, figure out the price, and all of the back and forth with the customer happens off the Google Sheet. Finally, when they're ready to submit an actual contract, they go into CPQ and put in the details.

Pricing With Complex Underlying Costs at Oracle, with Natalie Louie

Natalie Louie is a pricing guru and is currently Sr Director of Product Marketing at Zuora. She is also a pricing SME at Impact Pricing, LLC.

I spoke to Natalie about her time at Oracle. As the head of Oracle Marketing Cloud's (OMC) Pricing Operations from 2015 to 2018, Natalie Louie has extensive experience in value creation through creative subscription pricing and packaging strategies. Her innovative strategies made it easier for customers to buy Oracle products, as well as for the sales team to sell and drive more revenue, profits and lifetime value. She elaborates on some of the innovative price changes made during her time with the company, and more.

A Case Study in Re-Pricing Mobile Messaging

If I were to detail one specific pricing journey during my stint at Oracle, it would be in the mobile space. At the time, many years ago when I was there, Oracle was making its foray into a mobile-first world. Mobile can be a really complicated domain, thanks to the variety of messaging channels.

When you're sending out mobile marketing messages, there is a whole network of third-party partners you have to work with. When you send that text message from your phone, it actually comes from a phone company, which sets the price of how much it costs.

So, you don't completely own pricing. There are several people taking a piece of that pie, and you have to play by all of their rules and regulations.

Every country has their version of networks like Sprint, T-Mobile, AT&T. In each country, every region sets its own rate. It's something like the stock market — pricing keeps changing every minute. For instance, the rate of a phone call changes rapidly, and each mobile

company has their own framework for it. All in all, it becomes a really complex thing to price.

The challenge was — how do we work with this very complicated network of different providers that ultimately set the price of one thing?

Why Messaging Pricing Got Messy

When we priced and rolled out our first mobile product, we just took on the cost of sending a text message and marked it up before selling, in a very transactional one-time product sale type manner.

In creating a Stock Keeping Unit (SKU) for each one, we soon had literally hundreds of SKUs for our mobile product.

Each time, we (those of us in the marketing space) worked with an end customer. Say if a J. Crew or an Apple wanted to send international mobile messages, they would be sending them to the US, Canada, Europe, Japan, etc. Each country had a separate SKU, because there's a different cost to do business. It really all just ended up being an SKU explosion.

While this was also just the easiest way to go and price, over time, when we started looking at the pricing, we realized that it had become very hard to manage.

It was also hard for the customers. Soon, they started coming back and asking why they should send more mobile messages to one country than another. They asked whether they could apply unused credits elsewhere. Alternatively, they asked if they could use what they are paying for - on email and apply it to mobile, since they are using the latter more. Basically, everyone was saying that it was hard to predict what they were going to send, because they couldn't control it.

Further, they might have been able to relatively control text messages, but not responses, because there's a cost both ways —and at two different rates! This increased the complexity. We looked at all

of this and asked ourselves what would just make it easier for the customer.

We needed to make product changes in a way that we are no longer passing on the complexity to the customer. That experience of how the customer used these messages and bought them, needed to be easy. What needed to be done was the hard work behind the scenes, to ensure an easier customer experience. So, we began meeting and debating on what to do.

The Solution: Absorbing the Customer's Burden

Finally, we came up with an idea — a world where customers who are sure they want to do a whole marketing cloud with us can pay just one price, whether they want to send an SMS, email or display message, via whatever marketing channel. Nowadays, it's all about talking to the customer on the right channel at the right moment. This is hard to predict, especially when you bring in Artificial Intelligence (AI) that tells you when and where to send a message.

At this point, we could manage pricing wherein you just buy a bucket of messages and apply cost to every channel, depending on use. We owned email, web and display, and those had some hard costs. But mobile had many hard costs. How were we to make it really easy?

After going to the drawing board, we thought — how about when people log into our product, we aggregate all of these different countries and telephone companies for them. Customers can come into the product and pick countries. There's a hard cost and there was full transparency involved in presenting that. They pay the hard cost directly to the aggregators and get a bill for it.

As for Oracle, we charge you the same fee for sending a message — across any channel.

What this means is that we moved the burden of hard costs that we couldn't control. We gave full transparency to the customer, but in a

really easy way so that they could see what the costs of doing business were.

Usually, complex expenses are not exposed. Customers just keep negotiating because they just see one price and don't realize all the third-party hard costs. We needed to expose those hard costs to them, but we had to do it really easily. We couldn't just tell them to go to all these different aggregators, because that's not what they wanted to do. To remedy this, we built (almost) a marketplace for aggregators to come in and showcase their hard costs. Then, customers could pick whoever they wanted to work with directly, and know which bill they would get.

But then, with Oracle, they would be just paying that usage fee, like Cost Per Message (CPM) — some kind of fee for any message, to be sent across any channel they wanted. The only channel that was going to have a hard cost was mobile, which is what we exposed.

Convincing Management to Embrace the New Process

Pricing elegantly is like the Holy Grail. We came up with a pricing strategy and I spoke to my product managers and engineers. Our roadmap was baked out, but we would require a re-architecture of the entire product.

So, we got a lot of pushback. **That's the hard thing with pricing— you can come up with all these great ideas, but it gets hard to actually implement and build it. So, how can you use tools to actually support that? How do you convince product management?**

Over time, we were able to convince them to do it because we started taking on revenue goals. I made a case of how pricing impacts revenue directly. If we wanted to move the needle on revenue, this is how much we could bring in. I calculated all the numbers — because in pricing, you're always doing analysis.

I detailed how much revenue we could rake in and how to make sure we're always making a profit. I did my margin analysis and showed

that we would never go in the red or lose money again. I also went and pulled data on all the different mobile deals we had sold in the past and how we lost money on them.

On the outside, things may look like really big dollar value, but there are lots of hard costs. When you looked at the discounts, we were actually paying our aggregators more than we were collecting from the customer, because the customer had no idea. They didn't see the transparency in our high, hard costs.

In doing all of this, I got buy-in from executives to prioritize this in a roadmap. The next thing you knew — I had to get engineering resources, product managers and lead an almost scrum-like team, as a pricing owner. I had to put forth use cases and detail what we wanted to do with pricing. We were able to put it in the roadmaps and six months later, build it, launch it, and work with all the aggregators. It was almost two years in the making.

Suddenly, there was a whole new way of working with mobile aggregators. Soon, our engineers were getting patents on what they had built, because it was really novel. It was exciting and it also hit the press, making our customers more delighted because now they didn't have to feel nickel-and-dime to buy different products piecemeal. They had to pay one price and apply it to usage of many features, versus having a different SKU for each product.

Amid all of this, we also had to figure out how to keep track of profitability.

In this aggregator network that we built, we let the customer decide. We told them the reason some costs are more than others, is due to things like connectivity and uptime. There are all these different reasons why hard costs are the way they are.

We provided full transparency, in saying if a customer wanted a certain kind of coverage or connectivity, they would be paying a certain amount. If they just wanted the cheapest price, they could decide on their own hard costs.

I ended up calling this cost per interaction. We were going cross-channel. At the end of the day, we were the platform for a bucket of interactions — however you wanted to interact with it.

That could mean sending an email or an SMS message, whatever you want — and you just paid that one fee. As a customer, that gave you full range to decide if you wanted more of any one feature. You were just buying a bucket of interactions and could control your overall usage. You just may not have been able to control your individual usage within each channel.

Natalie's General POV on Packaging

There were two ways to provide features to customers. In one, the customers could build their own bundles and start with base usage. So, they got the basics and could add more on top of that with different optional add-ons. Or, we could pre-package them, which a lot of companies like, because it makes things easier to just dole out a good-better-best package.

That's probably good once you've got some data and understanding, or can maybe just start out with a 'good' package. **At one of the smaller start-ups I was with, we just had one package, which we started with. Later, we introduced a more robust package because customers started growing with us. They were outgrowing what they were habituated to using and we created a bigger package to increase our Average Selling Price (ASP).**

Over time, one soon realizes that they forgot about the start-ups that used to work with them after growing a lot. And then, you do a smaller package again. When your package keeps growing, you create a bigger one, and then sometimes you go backwards and create a smaller package again. I have seen this motion a lot, at both Zuora and Hired.

While all of this is a good problem, you also have to think about whether you as a business want to go after those small guys again, or keep it Enterprise. You have got to figure out where to put your

resources. But one thing is for sure — something has to have that distinction between the different segments you're serving, and it is either going to be your packaging, price points or discount strategy.

The Challenges with Pricing Operations

Pricing strategy is one thing, pricing operations another. For me, at least, the former is the easy part. In pricing operations, you face a lot of "no", and "we can't do this or that".

This is part of the reason I joined Zuora— I was tired of people saying no. At Oracle, even for a startup, we were using Enterprise Resource Planning (ERP). This was basically built for one-time sales. You sell the product, then you mark up your margin. It works beautifully.

But now, if you want to do a percentage-base, value-based pricing, and all these different things on the fly, based on changing customer behavior, that's going to take six months, because we've got to do customizations. I had to write up use case stories to make sure it got submitted, work with engineering – all in the span of six months.

It depends on what your tech stack looks like, too, and what the office of the Chief Finance Officer (CFO) is using in terms of tech stack. Are you using an ERP? It's just going to be a lot of change orders, and there's not going to be any flexibility in order to automate.

Or, it's a lot of this plus spreadsheets, and certainly a lot of human error. I'm used to that as well. Working with spreadsheets, working with teams in Europe and India to go and do data analysis and have then give it back to me — it's all about having the right tech stack.

The reason I came to Zuora was because being a subject matter expert, I am the ideal use case. I have spent my career "Frankensteining" the entire pricing process together - where I was stitching together people doing some work and manual spreadsheets, and then some customizations and change orders that I got into a Jira system. And then having to wait for six months!

I used to tell all product managers on my team that I would need six months to a year for a big pricing change. I would ask them to not even begin architecting or building a product till we talk, because if there's usage, I need to track it and feed that back to the customer. Customers are going to get a bill based on the usage and have questions about it. You have got to make sure the contract is right.

Additionally, revenue recognition (rev rec) is huge. You don't want to put up any rev rec flags. In fact, sometimes, rev rec is my first meeting to understand what the rules are, because that's black and white. If you don't get rev rec right, your entire pricing falls apart. Rev rec has to be there, in legal, contracts, billing, quoting, you name it.

Choosing the Right Tech Stack for Pricing

Any pricing practitioner needs something like Zuora to own their pricing catalog, which is why I joined the company. In fact, we have a Configure-Price-Quote (CPQ) product that's really simple, right out of the box, and helps 90 percent of customers with their needs — very easy CPQ that manages your entire pricing catalog.

It helps if you want to change from a fixed annual fee to a usage based one, or if you want to deal with different tiers and different currencies without managing foreign exchange (FX), finance and different SKUs for different currencies. It is all out of the box and just puts out your bill in an automated manner.

So, you've got your Customer Relationship Management (CRM), and then you've got Zuora for all of your recurring revenue pricing strategies and subscription lifecycle management.

If your customer wants to pause your subscription, you've got to use Zuora. That makes your ERP basically your general ledger. Zuora creates the general ledger, because it takes all the recurring revenue and is doing all rev rec in real time, and then inputs it into your ERP. This is because Zuora can handle usage data, payments and tax with all its partners. In fact, pretty soon, it can bring in your one-time revenue into the same bill as well.

CPQ is just where you begin. That's just your salesperson coming in to build a quote. It's a way for you to put your pricing in front of a sales team. But that should not be the first thing you're looking for.

> *The first thing to do pricing right is really finding a recurring revenue platform that can handle all these iterations and flexibility. That's what we need. Because when you're thinking about value-based pricing and making sure that we're pricing according to what our customers find value in and building that recurring relationship, it has many different touch points. If customers change their mind, we need to change pricing.*

For instance, the competitor gives that feature away for free; we want to bundle it. I need to make those changes in real time and be able to capture that usage and manage the whole life cycle. So, you need to start with something like Zuora, which already has CPQ and is going to satisfy most of your use cases. If you're an enterprise company with very complex CPQ use cases, there are lots of different CPQ vendors that actually integrate with Zuora.

CPQ is just the exterior sales productivity tool that takes their inputs. These inputs aren't tied to a platform that's managing them correctly, or that eventually puts out to your general ledger automatically for finance, and for your auditing or financial purposes. That whole middle mess is yours to own, and it has been a recurring nightmare for me. I have literally sat with my controller, who would have all these spreadsheets about it. I would be told of difficulties each time I make a pricing change. But my answer was always that if we wanted to grow Annual Recurring Revenue (ARR), we needed these pricing changes.

I got to hear "no" so much. But a business will never grow the way we want to, unless we can do these pricing changes — you need that agility and flexibility. You have to make sure you have the right platform and then you tack on your CPQ.

Now, when we have a go-to-market meeting, I work on pricing strategy with product managers and come in with it, even at Zuora. Thereafter, we could talk about operations. And then in one meeting with our entire go-to-market team, because we use our own product, we have solved it all — from quote all the way down to rev rec. This is because we are all on one tool now, with all those cross-functional partners. And then, my work is done.

The Move to Subscription Pricing with Rajeev Venkatraman of Verint

From a successful stint as Senior Director of Solutions Marketing, to now being Vice President of Pricing and Licensing, Rajeev Venkat is a Verint veteran.

Rajeev sheds light on the holistic switch from the perpetual license model to the subscription model across business units and product lines, and how he is leading the charge for Verint.

The Challenge at Verint

Verint has been around for a couple of decades now, so we're a legacy software company. Primarily, we do operating units, internally called the 'spook division' — but, we are about to spin this off, just months away from it becoming a separate company.

The Verint that remains is the business unit I represent: The Customer Engagement Solutions Group. We are basically focused on enhancing customer engagement or experience, such as capturing interactions across channels or modalities, analyzing them, understanding the root cause, and more recently getting into the self-service component — like interactive virtual assistants and chat bots, and more.

That's Verint in a nutshell. Given our history, we've been a traditional software company — in that we still have thousands of customers who have bought perpetual licenses in the past, and pay maintenance for it.

But the last three or four years have progressed in fits and starts. As part of that change, we've moved towards embracing the subscription economy, or getting people to move to the cloud.

I took over this role as the leadership realized that with all the acquisitions and the switch from the perpetual model to the new subscription one, they needed someone to be looking at it holistically

across business units and product lines. That's how this new position was created, and I got that responsibility across the portfolio.

We've had our transition pains. Essentially, we had to do this (the switch) quickly and aggressively, but at the same time, fit into customer cycles and their perceptions of us that have formed over the last two decades — because that's still the bread and butter for the company.

It is also not like we were a brand new cloud-based startup that could just take off without the 'baggage' we had.

How do we manage the new businesses, and manage this with our 5,000 legacy customers?

That was the challenge. I believe we're still on the path to work through that, but we've done reasonably well over the last 18-24 months.

How Verint made the Shift

At a high level, there's the textbook approach that looks at what are the structures that we had to put in place within our systems and processes to make the shift. This is a very theoretical understanding of things. Then there's also something I call the playbook, which comes out when you get into actual sales deals!

In terms of monetizing or equating the subscription value, based on research (which we undertook about three years ago) we said three years of perpetual value would be the license that a customer would pay for upfront, and then we add to it different maintenance levels - 18 percent or 20 percent for upto three years with some uplift built into the maintenance fee (every year, the maintenance goes up 3 to 5 percent for most customers).

All of this (the subscription + maintenance + uplift) is the value that would become the new 'list price' for our subscription or our SaaS products.

To be technically correct, we have what we call 'term software', which is the subscription model, but the customer may still want to keep this software on their premises, or have it on their own cloud. For example, a large customer like UPS may have their own agreement with Azure or AWS for e.g., in that they want a subscription model, but on their own cloud.

Obviously, if it's on the Verint cloud, we are providing a lot more value addition, and offloading all the hardware and IT costs that the customer would have incurred. Since we are now going to be delivering in our cloud, this became another uplift to that aforementioned three-year value.

The second thing we had to go through, which a lot of companies probably don't do, is some rather vague licensing language and policies in the old world. In the cloud world, measurement, tracking and reporting are of paramount importance. This is because you're stressing on them, in terms of your positioning. Customers need to understand exactly how we are measuring what they see in terms of usage. Even the licensing language and our legal documents have to be a lot more transparent and simpler.

We had something called a seat-based licensing model in the past. But then, we moved to a more traditional named user — named employee-based model. This was a transition that we also had to make as part of being more transparent, easy to understand, easy to track, report and bill customers.

Then, we realized that for the SaaS train to really take off, we had to aggressively convert our installed base of customers. We looked at various models and a few customer scenarios.

> *We found (and we have sales tools to prove this) that we can go to an existing customer, who for instance paid us $100,000 in maintenance, that we can get upto 2x this amount as the rough average for SaaS ACV (annual contract value). This translates to $200,000 in SaaS revenue for the company moving forward, if that customer moved to the cloud. So, that's how we have tools to show customers — that we can show that value, or actually to show them savings over a three or five-year timeframe, due to the offloaded hardware and IT costs.*

The shift has definitely helped us by opening up markets, especially here in California, where we were not doing that well. Now, we see a complete 180-degree shift, particularly going after Web 2.0 or 3.0 type companies, like the DoorDashes and the Ubers. They're all customers now!

Without this model, we would not have had them on board. It opened up what was traditionally not a market segment for us, but has now become a big, fast-growing one.

I'll now go a bit into how we did our research, formulated our packaging and worked on pricing operations.

How Verint Surveyed and Analyzed the Customer Base

We looked at the customer base and customer advisory boards. We had representative samples of 20-40 customers across different regions. In talking to them, I also reached out to my network in the new role. We were all trying to learn as we took off.

I reached out to people who I knew in the space, and those who had worked at Salesforce, SAP, Oracle, and legacy software companies — who were either in the same boat or had just started making their transition around the same time. This was how we came up with some for our internal benchmarks. In coming up with the price, we took the high-level approach or formula; but we also had to look at what our discount culture was — as we sold through a lot of partners.

In India, for instance, you have to give a 90 percent discount, which is how the procurement person feels like a champion. We looked at various things that we had done in the past, to ensure that we adjust to all of those geographic differentials too, and make the necessary adjustments.

Taking a Relook at Product Packaging

Packaging comes a lot into play, in the SaaS world. We combined and offered what we call 'starter bundles' or packages to make it easy for the customer to take that first step. This is something that we did, and it proved successful.

Salesforce or Zendesk, or any other vendors in the space – all of them have these bundled package offerings, and they assign different levels — enterprise level, professional level, and so forth. We have that too. But I think if you're starting from scratch, these things are an absolute must.

In our case, we had a 20-year history that we had to deal with. If we had to move those customers to the cloud, they often didn't map to any models already in place. If one wanted to do a like-for-like move here, we still had to maintain an à la carte sort of combination of skills on the cloud as well.

In our case, our packages needed to offer flexibility because of all of the accommodations we continued to offer.

Interacting with Pricing and Sales Operations

A big part of what the pricing team has to do — is work actively and extensively with the 'quote desk', the order admin team, and the legal team. One of the areas where we still have an issue is in making sure that the systems we have in place are updated. This requires a lot of investment and internal buy-in, because it's not cheap. To be honest, it is our system inadequacies that keep me up at night these days!

In many cases, the sales team also went through a lot of turnovers. The people we have today are not the people we had three years ago

in the field, because it now takes a different skill set, dynamic and domain expertise. There was also the business aspect of training them on how the new model worked, how to present and compare it to what the customer was used to, and showing them all of that from a business and a return on investment (ROI) perspective.

There was also a technical mindset change, in terms of being able to talk about benefits of the cloud. That was handled by a different team. I was more involved in coming up with the tools, and also what it meant to them. There was also a very important compensation aspect, where you had to clearly show how they were getting paid earlier, how it changed in the subscription world, and you'd still come out looking good.

The Criticality of Instrumentation & Tracking

Companies making this transition need to look at it from the product perspective, in terms of having tracking and support capabilities. Provide customers with visibility, and also provide internal visibility to liaise with the customers.

With the cloud, there is a perception of flexibility — buy 100 today, use 300 tomorrow. But the customer needs to see it. The company's team also needs visibility so that there is no revenue leakage. This needs to be taken care of from a product perspective. The systems need to be capable of handling all that flexibility.

There will also be co-terming issues, like a customer buying 300 today and then buying another 700, four months later. How do you quote more of that, so it doesn't get too confusing for both sides? For this, **having the right billing systems to provide flexibility is essential, and it is equally important for the product to feed into those billing systems so that finance does not struggle to collect. You can sell a lot, but if you're not able to collect from customers, it's all doomed.** These are some things that companies need to watch out for, if they're making this transition.

The A-Z of Pricing Projects with Joshua Bloom of Simon-Kucher & Partners

As Managing Partner, North America, for the global strategy consulting firm - Simon-Kucher & Partners, Joshua Bloom elaborates on the pricing engagement process for SaaS companies, how it is structured, and the challenges and dogma that can potentially crop up along the way.

Structuring the Pricing Engagement Process

There are a few hallmarks of our approach at Simon-Kucher & Partners, when it comes to structuring the process of starting a pricing engagement with any software company.

1. Diagnostic phase: In this phase, we develop hypotheses by looking at data — both internal transaction and usage. Along with this, we bring in pattern matching - of what has worked well and what has not, at similar companies (competitors or other software companies). We like to get it to a point where we have a straw-man view of packaging, the price metric and other pricing changes that we would undertake, before we talked to any customers or prospects.
2. Primary research phase: We then go out to talk to customers and prospects, and conduct primary research. But, we're not just asking direct or open-ended questions in these conversations — we have people react to specific scenarios, often for trade-offs. At least 80 percent of projects have some type of primary research component.

   The classical approach to that is conjoint analysis. It's a gold standard, but conjoint analysis is not the perfect answer for every project. It works really well when you have a certain number of features or project options to test, or when you

can get a significant sample size. It works best in consumer settings and works okay in small business software settings — but it does not work very well in enterprise software settings, or the further you get down to the B2B end of the spectrum.

There are different methods that can be used. We use fixed trade-off screens or ask a series of probing questions. But ultimately, we're just getting reactions to some of the straw-man concepts we've come up with. We'll often have a couple of different scenarios to walk people through, because that's where we start to get not just feedback, but also begin to make projections about how the market will respond. These depend on which path we go down, and what the price sensitivities may be.

3. **Implementation phase:** Once we have now found the right strategy, we think about what might be the right implementation approach. We spend a lot of time with clients thinking through how we migrate the installed base of customers, communicate the changes, and train our salespeople to defend or uncover value. That's usually the third leg of the stool for a lot of our projects.

The time spent on the three phases ends up being pretty equal for each, but depends on the level of research complexity in a project, too. We could be doing research across multiple channels in 10 different countries for various products — it can get pretty complicated. But for a plain vanilla organization with a relatively simple product set, the time spent per phase probably looks more evenly distributed — like a month each or around that, for a month-on-month project.

Pricing Challenges Across Company Sizes/Stages

We contend with different challenges at varying stages of the company's life cycle. In the very early stages of development, a lot of

questions are asked on how to price. At this juncture, companies are often still struggling with the underlying measure of pricing and what their business model looks like.

As they develop into the growth stage or become multi-product and multi-segment entities, we get a lot of questions around packaging and pricing, and how to pull together a newly complex product portfolio.

When you talk of really mature companies, we get into more of the pricing operations piece — or how to think about discounting and channel management.

Deciding Which Pricing Structure to Use

Pricing structures can be on a spectrum — on one side, you can have a continuous consumption-based pricing structure where companies pay for what they use.

On the other end of the spectrum, it can almost be a fixed price structure sized almost using a t-shirt sizing approach M, L, XL etc. The sales person just has to get it generally right with a generous buffer. Here the usage may be based more on the honor system.

In the middle you can have more of the cell-phone plan models, where you purchase blocks of 'usage', with incentives to move to higher tiers.

In order to select which pricing structure to use, here are a few ways which can help to decide:

1. **Predictability**: The more predictable and measurable the metric is, the more granular you can make your units and tiers (pricing variable). On the flipside, purchasing groups will always want predictability. So if the measurement isn't as easy or the usage less predictable, in this case larger buckets with buffers might be helpful as it will deliver more cost/expense predictability to the customer.

2. Usage Growth Rates: Predictability is one thing, but the natural growth of the metric is another. Imagine a scenario with a rapidly growing metric — for instance with big data software, where data volume is growing exponentially for the applications they are covering. In a cloud infrastructure model, to some degree it means that you have to get pretty granular, because your own cost structure could be under significant pressure by say month nine of a contract - if you didn't have a very granular way to charge then you face cost pressures quite fast.
3. Correlation To Compute/Data Costs: The third element to think about how close the structure is to the infrastructure layer versus sitting one or two steps removed — essentially, how much cost risk are you bearing? If you're just talking about something at the application layer, that is very divorced from the underlying cost structure, and you can get away with big pricing buckets. The closer you get to compute and storage resources being meaningful, the more granular you have to make things.

Regarding The Good-Better-Best Packaging Structure

I'm not a believer of the dogma that the good-better-best packaging structure is a one-size-fits-all.

There are different structures, like use case packages and so on, and there are lots of different ways to think about the traditional concept of packaging or bundling functionality that aren't necessarily good-better-best. To boil it down pretty specifically, good-better-best means that there was one land-and-expand path for a customer to go through with it. It basically assumes that there is a natural level of sophistication that you can stratify your customers into, and they get there in one direction. It assumes that they start quite simple, and it is easy to say what's next with their needs.

But that is not the case with every product portfolio. Some have multiple entry points for people to start at. Others have multiple

point places where they can achieve a different level of sophistication needed to go in directions B versus C - which essentially breaks the good-better-best model. We've seen often that the good-better-best model works, but not for every company, because all of them don't have one land-and-expand path.

Good-better-best also implies that the answer is in having three tiers of packaging. Again, that is not always the optimal outcome. In some companies we've worked with, a simplified two package lineup makes sense. There are others where there's one upsell path, but they need four or five tiers to cover all of the different segments of customers that they're reaching. It is useful as a tool in the toolkit to be able to say that we have a playbook for how to think about good-better-best, and set limits and fences between the packages — but it's not the only packaging decision.

> *Our research shows that less than half of all SaaS companies have public pricing pages. If the optimal structure is not a good-better-best lineup because your product portfolio has more complexity, you're more likely to put that behind the firewall or have a salesperson walk you through it — because it's more complex. I would say that the majority of companies that do not have published pricing, are doing something other than good-better-best.*

Why Companies Start A Pricing Project

I'm wary of my own selection bias because I tend to work with companies who feel that they have pricing power — but that's not always the case. In about 20 percent of projects I work on, we're being asked to come in, because they want to get more aggressive, or try to find ways to simplify or gain share, or potentially price more aggressively and figure out how to do that in a controlled manner. The majority of companies I work with, feel that they're leaving money on the table. And we often find that they are, and their pricing

elasticity is pretty low. It's a bit of a self-fulfilling prophecy — if you feel you're leaving money on the table, you probably are.

But I have seen elasticities across numerous studies that are fundamentally different than those you get in a consumer study. As a company, one of the benefits for Simon-Kucher & Partners now is that when we take a step back, we have vertical practices across different industries. Yet, the elasticities are different. Another way to think about a proxy for elasticity is, just how important is pricing as a value driver, or as a purchase decision criterion.

> *If you do a consumer study, price is typically the number one factor for consumer-packaged goods or suchlike. But if you do the same study in B2B software, it will not be surprising to see that it becomes something like the third to seventh most important factor.*
>
> *It's a proxy for saying, "Yes, pricing matters." It's not that it doesn't matter at all, but on a relative basis, I think the software industry has much more pricing power than other product types.*

How To Price in a Blue Ocean Market

If you're really creating a new category, this is one place where I actually think that economic value analysis makes sense. It's a bit textbook, but it is about really understanding what value you are creating for your customers through their business outcomes, operational efficiencies, etc. and then remembering that even after you calculate all that, you still need to have a typical software return on investment (ROI) sharing those gains. Even if you calculate the entire value capture and you're able to document that, I still think you'll only get like 10-25 percent of that in pricing. This is because you need to leave a 4x to 10x ROI benefit to the customer. One thing that people miss, is that they do economic value analyses and say they've created all this value, so they need the corresponding price. Well, not really. You not only have to share gains with your customers, but also make it compelling for them to invest as well.

That's a useful framework to think about. If nothing else, the work done in putting that together, becomes your marketing collateral in discussions when there's no anchor and no differentiator. This is where you don't need to ask what your unique selling proposition (USP) is, versus your competitor's mentality for a market perspective. Instead, you think of how a new category or a new software changes your business operations. Speaking that language and gathering those numbers, really make a difference.

Resolving Bottlenecks in Pricing Operations

There are a few challenges in pricing operations that are pretty common. **One pitfall is having a discounting policy where everyone is just going through the motions — it lives on a piece of paper but nobody follows it, or it didn't lock down in a system, but you have 99.9 percent of requests just being rubber-stamped.** A well-run process will maintain some tension! This could be in terms of different stakeholders getting involved, not just salespeople.

It could really ideally surface in escalation discussions – what are the key strategic factors that would cause us to discount in situations where we ordinarily wouldn't? is it that you're up against a different competitive set than maybe normal? Is it that you are trying to land an account where there's significant opportunity for growth in the future? You need to document what is different about this deal; you need to list out the number of units being purchased, the pricing you're testing, and the relative discount; and then get it approved. You're not really approving a number. The ideal scenario there, is that you're proving the deal strategy, or thinking of why you are deviating in a particular case. The vast majority of organizations do not have this in place. They either have nothing or they have a process that just looks like they are going through the motions. This is a big factor to consider.

The other thing from the pricing operations standpoint is, when it comes to new product pricing, companies often create fairly robust processes around it. They'll have stage gate processes of how the initial list price gets approved, but often forget that they should be regularly reviewing the pricing for their existing products on an annual basis. When you have a lot more information on your existing products, in some ways it should be easier and a more fruitful discussion on contemplating pricing change.

Configure-Price-Quote (CPQ) Systems

Some CPQ tools are an overkill for software companies, too. I've dealt with companies where they have 100 Stock Keeping Units (SKUs), and need a CPQ tool to be able to capture the levels of complexity, and come up with the right quote. But by and large, the more common challenge I would attribute to those companies (and what I've seen from those companies asking for help with) is - doing away with 100 SKUs, and maybe taking a more structured packaging approach to turn them into 12-15 packages, at the most. This is enough so that you don't need to CPQ anymore, but just need really good marketing and discovery material for your salespeople, to train them on the different options.

Which Companies Need Consulting Firms for Pricing?

This may be a bit of a controversial answer, but actually **large public companies often have teams devoted to pricing, and do a very good job with it. To some degree, the highest leverage we have is getting in with earlier stage companies, where we really usually have the pricing experience to turn the knobs on their business model — and the returns can be huge. It can transform the trajectory of the company, at a point when it is fairly unknown.**

If you're a large public company, you sort of know where the ship is headed. If you're a startup, you still have to deal with how much more equity must be raised, how much dilution will be faced, what the business model looks like, and what the revenue rate is going to look like, say in two years.

If we get in early, we have a really strong ability to change the trajectory of the company, which I find rewarding and I think others do as well. To be blunt, usually the first pricing is set by the founder of the company — but most such founders are technology experts. They are technology founders. So that is usually another key point — what is the first inflection point where the founder is willing to give up a little control or look at outside advice and say, "I set this based

on research that I did a few years ago when we were first launching. But now that we have a robust product and we've proven product market fit, what is next in monetization?"

Making the Shift from a Perpetual Licensing Model to a Subscription Licensing Model with Mehul Sahni of Rubrik

As the Principal Product Manager, Pricing & Packaging Strategy at Rubrik, Inc.; Mehul Sahni has been leading the charge to usher in a subscription based pricing model in a legacy technology market. Before Rubrik, he has been in similar roles at companies like PSafe Technology and Drop.

Mehul spoke to me on Cloud Data Management, Rubrik's move from Perpetual Licensing to a Subscription Pricing model as well as his general POV on rolling out pricing changes effectively

Rubrik's Shift from Perpetual Licensing to Subscription Pricing

The backup and recovery industry has been around for decades, and not really received the advantage of modernization from today's technology — because, all in all, it's a pretty unsexy thing, having database admins set up service level agreements (SLAs) to back up your data from the data center and then recover it.

Incumbents in this industry tend to sell multiple hardware products, with multiple pieces of software sold on top of this hardware, leading to multiple renewals and price changes. These make it difficult to consume and manage product, and also lead to unpredictable costs.

But this is what this industry and its customers had been used to. It's a sticky proposition, as once you get in there and back up someone's data, you get into their data center, multiple data center sites, five-year contracts, and more. Incumbents got used to this way, and there hadn't been any disruption.

Rubrik's Chief Executive Officer (CEO), Bipul Sinha was an investor at Lightspeed and Nutanix. He had a lot of insight into converged appliances — selling one piece of hardware that already had pre-installed software, a plug-and-play appliance. Nutanix was doing this for the front end, as was VMware. Bipul saw the opportunity to do this on secondary data on the backup side — and that it could be very disruptive.

Disrupting the Market

And that's exactly what it did — Rubrik went to market with just one plug-and-play appliance already with backup and recovery software. You basically paid one inclusive price for both hardware and software. This suddenly went from incumbents offering multiple devices with different renewals to a very simplified product and also a very simplified license.

The go-to market strategy resonated really well and led to our current success. Looking forward, we're building applications on top of backup data we have for customers, such as security and compliance applications that can essentially be value-added services. 'Backup and recovery' is where we started, our competitive edge — but it is turning more into a data management platform altogether.

We originally went to market with a Perpetual Life-of-Device License as we were selling into backup admins, and our buyers were really used to buying hardware as one inclusive capital expenditure (CapEx) purchase.

In April 2019, we came out with a subscription pricing model. At this point, we had been selling our product for two-three years and had over a thousand customers completely on the CapEx model. We aimed to get new customers to start purchasing subscriptions. Once we penetrated this base, we would start thinking about how to get the existing installed base to switch over.

> *In making this change, we wanted to make pricing comparable, with a slight premium. So, if you were buying our subscription offering Rubrik Go for a minimum three-year subscription, we wanted to ensure this is comparable to that of a customer buying CapEx (Perpetual License) with three-year support.*

> *There was a need for a slight premium here. Think about it — if you were to buy an iPhone outright, it would be cheaper than if you did a three-year lease, as there's a little premium for that cash flow. We knew we could demand a little premium going into an annual payment model. But, for the most part, we didn't want the price to be significantly higher to incentivize customers to go into subscription.*

The more we thought about it, it was less about the price for us, and more about making a holistic program with additional benefits included in the CapEx license, to move customers to the subscription model. If pricing is equal or close, and customers see all these other benefits and features in the subscription model, they naturally choose to go that way.

Coming up with the Subscription Model

While overall reception was good, a key critical decision Rubrik made was to not focus only on new customers, but also remember the existing ones that got us till here. The subscription model was always incremental to CapEx one, which wasn't taken away to avoid alienating customers.

Without naming anyone, the industry has seen certain decisions that alienated the existing installed base; it leads to backlash and ultimately reintroduction of the old model.

To walk through the process that we took to get to our subscription model - we started with a six-month-long study to really understand

the pain points for our customers in the backup and recovery space. This included interviews, surveys and even a conjoint study where customers put together their own pricing and packaging solutions. We provided a series of products, and had customers pick the top three they would want to see bundled together.

This in-depth customer study allowed us to realize the pain points:

1. High upfront costs with CapEx.
2. Backup and recovery — Chief Information Officers (CIOs) mandating teams to migrate X percent to the cloud within three to five years. So, they want to make sure the license model they're purchasing will future-proof them for the cloud.
3. Unpredictability around costs, specifically related to hardware refreshes.

Once we found these pain points, we needed to create a subscription program to tackle them, but keep pricing relatively in the same range as the CapEx model. If we resolved the issues, we thought hopefully everyone will start choosing this option naturally over the CapEx model. We didn't want to do away with the CapEx model in order to not alienate anyone, but wanted to incentivize customers to the subscription model by offering more benefits.

The solutions:

1. **Prepay upfront:** Our subscription gave the option of prepaying all upfront, or an annual payment option which was slightly higher.
2. **Future-proof:** We also included license transferability between the hardware appliance and the cloud for the period of the term, to eliminate worries of future-proofing, eliminating double charges for using our software to deploy to the cloud.
3. **Free refreshes:** Lastly, for complicated refreshes or unpredictable costs, we decided on an evergreen hardware refresh program — as long as you continued to renew every three years, you'd be eligible for a free hardware refresh.

> Essentially, if you bought Rubrik today on subscription, you would not have to worry about paying for hardware again.

All these benefits were discovered through the customer research phase, where we also asked about willingness to pay, how much they would be willing to pay more than the annual payment model, etc. The holistic program is that you want to make sure to solve the customer's needs, especially as it's related to your core platform.

Enabling Sales to Succeed

Sales enablement and Total Cost of Ownership (TCO) building is a very critical piece to pricing and packaging. The way I see it as a product manager, is that my product is my license. I research my license and then make a roadmap for the first one. If there's going to be a second product, I work on the upgrade license. I have to take this roadmap to the market and ensure that everybody understands how to sell it, understands the value of it — both customers and the field. Then, I also have to follow all the success metrics and tracking.

> *One thing we learned quickly (as soon as we launched), is that the field was starting to do a TCO against itself, positioning the CapEx model and Go model to the customer at the same time. This ends up confusing customers and slowing down the deal. If you show both models, the customer is bound to ask for a TCO for both. This ends up with a company doing a TCO against itself rather than the competitor. We nipped this in the bud.*

If it is a pure evergreen customer, they're used to subscription. If they're buying this, or worried about refreshes and going to the cloud, they have the Operating Expense (OpEx) budget. If they're a Federal or State, Local and Education (SLED) customer, they have to buy CapEx. They're not interested in SaaS, nor do they have plans on moving to the cloud. If they're an existing customer, go, CapEx, for example.

In this way, we make a Go/No-Go table. We position one model at a time, do one TCO at a time. The majority of the time, Rubrik Go would satisfy it, but in some edge cases, it doesn't. Some at Rubrik who have earlier sold SaaS and subscription at peers like Snowflake or ServiceNow, got this point easily; but others who had to switch over, came from box-pusher type selling — at places like Dell, EMC and more. Getting these lifers in the backup and recovery market to buy into the vision and positioning of Rubrik Go as the main option, took some time. We learned from this and made it part of our pricing and packaging enablement, and go-to market for all other offerings thereafter.

It can get confusing when you start having a portfolio of products. This task falls on Pricing and Packaging (P&P) at Rubrik; at other places, it may fall on sales enablement. But I believe only a P&P strategy team can do enablement best, because there's a lot of detail that goes into it.

Selecting Pricing Value Metrics

Since we were still selling appliances we didn't really need to mess with the metric for the hardware much and it remained tied to raw backend terabytes.

Selecting the value metric actually comes more in play with our SaaS products. That has no hardware involved. For instance, we have Office 365, other workloads, security or compliance products that we may be pricing as not included in our base product. In those scenarios, it's more strategic to get the metric right. **People think pricing and packaging is easy. One can figure out the price and willingness to pay, but what metric you price on, how you package it and what's included — that requires more strategic rationale.**

We first set the baseline and figured out the most comparable market in the industry, how they price, and what is the overall market consensus feedback on that. For example, Office 365 backup products include Veeam, Commvault, Metallic, 8th Point; and also just a Microsoft subscription. All the products are priced at $1 per user per month — all charge on the same metric, because that's how Microsoft charges.

The general consensus from the market and customers is that this is a very easy metric for them to digest. Their employees are users and they know how many employees they have, how many they're backing up, and the all-inclusive price for that. They're trained on purchasing on that metric, since that's how they buy their Microsoft Office 365 subscription.

There are clear indicators in this situation that the market is trained in purchasing this way. If you were to purchase on a completely different metric, it could be disruptive or counterproductive to your offering. There might be other examples where it could be really expensive. Let's say you have a DR (Disaster Recovery) product and you look at Zerto, which charges $700-900 per virtual machine (VM). A lot of people say that gets really expensive so they only end up protecting 20 percent of workloads that are mission critical, versus the entire environment.

This could be an opportunity for disruption, because the feedback is that the licensing model is somewhat prohibitive to protecting 100 per cent of my environment. So, once market comps and their pricing are determined, one needs to do due diligence within one's own customer base. As Rubrik is also a channel-led company, this involves feedback from partners on these pricing models.

All this is an indicator of what the market is doing and if one can do something different that simplifies the licensing model. Could it be an all-inclusive, unlimited offering to make it easier for the consumer? Lastly, when you get to price, you want to benchmark your product compared to the competitors.

To take the earlier Zerto example and pricing, if you have a DR product and you're comparing it to Zerto's — which is the most complete DR product out there — you have to be honest and synced up with your product team. The question is how it is going to be at initial roll-out versus a year or two from then, compared to Zerto. Your street price should be relative to them for a similar PC or environment.

Differences between Commercial and Enterprise Pricing

Do we think about packaging differently when it comes to certain customers or verticals? We definitely have different license models for commercial and enterprise customers. It all comes down to understanding your customer and how they want to purchase.

For Rubrik, commercial customers still really enjoy just a Rubrik appliance experience — shipping, plug and play. Enterprise customers think about other things — having a software-only solution to deploy on hardware or on third-party hardware they want to stick to. They have other needs that our commercial license wouldn't meet.

So, we price our software the same across the board — because it is essentially the same. We have different licenses available for enterprise customers, as they typically demand more Enterprise License Agreement (ELA) type offerings, where they want to pick from all software offerings or want all-inclusive ones — an all-you-can-eat or deploy option for any hardware they want. They demand a lot more flexibility in what products they're going to use, or are entitled to. They also have other requirements from discounting to pricing. So, our enterprise licensing model allows for some of that. With commercial customers, it's really about geo-velocity and simplicity, and just getting the transaction done really fast, having them ready to go.

But commercial and enterprise might not be the only way to look at it. It also comes down to your sales motion and if that is different or customer needs are different, you can adjust packaging and licensing to allow for sales motion to happen more seamlessly.

Enterprise customers	Commercial customers
• *Demand more ELA type offerings* • *Want to pick from all software offerings or all-you-can-eat variants* • *Need more flexibility in products they're entitled to* • *Have more in-depth requirements from discounting and pricing*	• *Mainly enjoy the appliance experience* • *Need geo-velocity* • *Want simplicity* • *Prefer to get a transaction done fast*

Logistics of P&P

I work pretty closely with product and sales operations in getting Stock Keeping Units (SKUs) launched correctly in our quoting system. It's also important and gets overlooked sometimes that P&P is a key stakeholder in the User Acceptance Testing (UAT) process in the quoting system. Companies at our stage especially move with such velocity — we come up with the SKU, give the description, price and licensing schema — but in that last checkup, is it actually functioning properly in the system? Is the minimum or maximum term requirement being captured? A lot of times, UAT stakeholders are involved, like sales teams and IT — but pricing and packaging typically know the policy best.

The whole process needs to go seamlessly. One should not launch an SKU missing a certain requirement, and then four weeks later, go make a change request to IT, and claim the requirement wasn't captured. If anybody is doing pricing operations, make sure you're actually also going into the quoting system and your SKU is functioning properly.

It's not fun to go and make quotes, which is why it gets overlooked despite being a key process. But at the end of the day, you just need a really good partnership between sales and product ops, and IT, and P&P, specifically, if you're just the pricing team or the pricing operations team. You're the PM of this licensing model or program, and the team is going out to build your product.

Treating it like that, you need open communication, weekly touching base, and prioritizing when things should be released. Look at yourself as just the owner of this product. That allows you to wear that project management hat a bit more, which you sometimes need when dealing with SKU operations.

Pricing Calculators and CPQ

Pricing calculators come into play for us as enablement of a "quick and dirty figuring out of price", like a calculator. CPQ comes into play as you scale, along with entitlement tracking and NetSuite order processing. The quote is step one — CPQ then leads into other downstream back office operations, like renewals. Information gets fed into downstream operations, from where it becomes critical for other teams to funnel it initially.

You also get to a point like now, when we have legacy perpetual SKUs, and then add-on products. As your price book begins to scale and you start getting into thousands of SKUs, it becomes impossible to use a calculator for everything. It is fine for a specific product, but just as an enablement tool for our field to understand the pricing.

With CPQ comes the whole approval system as well, since the quote has to be approved. What if somebody shows just 99 percent off in the calculator? There are no controls for that and they need to be in place.

The Need for a Customer-Centric Outlook

The key takeaway is you need something to incentivize your customer to choose subscription over CapEx. We often see competitors just go

out with the same model versus the CapEx, and it looks very self-serving. Customers think they're trying to just show more subscription revenue to get a higher IPO valuation. What's in it for the customer?

The goal in such a situation is to make it abundantly clear to the customer to choose a specific program, and not think of it as a license or a choice over a CapEx model.

That's the customer-centric takeaway. The other is understanding who your field or sales organization is, and knowing who to rely on with a background of selling subscriptions, who you can make an internal brand ambassador for your subscription program. Start tracking the sales team members doing well with this model, bring them in, ask questions and have them tell success stories to their teams. It needs to come from within. For example, the most senior or tenured salesperson gets a lot of respect, and if they are doing really well with the subscription model, it is easy to tell the rest to push it, and how to do that.

This is when you start seeing real traction and conversion. Ensuring that the field is a part of the process makes it even easier to have brand ambassadors going forward, a tiger team of salespeople to rely on and craft this program with. This way, when you launch, they're instantly brand ambassadors, converting the fields for you.

General Pricing & Packaging Perspectives with Jan Pasternak

Jan Pasternak is a recognized leader in the sphere of Software Pricing & Packaging, and has driven pricing for companies such as Microsoft, LinkedIn, Citrix and Coupang.

From growing revenue through optimizing product line-up to managing sales policies, Jan's ideas tap into a deep understanding of the subject.

I interviewed Jan on his approach to software pricing, where he shared his general approach to the topic, as well as some lessons learnt while he was leading pricing at Citrix.

Lessons from Citrix: Pricing an Established Product

When Jan joined Citrix around 2014, the focus was initially on how to approach the portfolio across the existing product range. While the key product at the time was GoToMeeting, there were a variety of other communication products like GoToWebinar and GoToTraining, besides other security and remote access products also on SaaS. Jan's job was to redo the pricing for all of them, embarking on a successful journey to grow revenue through optimizing product line-up and managing sales policies.

The following are some key perspectives in his own words:

In the beginning, the sales of all our products at Citrix combined both offline (in-person) and online. The challenge was different for each, but some themes in SaaS products were common.

Usually, for established/mature products, core functionality tends to get commoditized. Larger players like Microsoft, Amazon, and Google, started providing a product for free — like video-conferencing with Google, or a single sign-on with Microsoft Office 365 that is either free or heavily discounted.

Such pieces of functionality were initially offered by independent companies like Okta, GoToMeeting or GoToMyPC — and then, they became part of a commoditized body of product.

The company has to understand how to adjust the line-up as it could become too expensive — but it also has to stay competitive and provide core functionality at either a premium or very low cost.

> *In this case, the key is to focus on the premium elements and figure out how to make money on them. A company specializes in a certain feature, whether video-conferencing, password management or single sign-on. They probably have much more advanced premium features that they can offer — which Google, Microsoft, the Ankle Biters or the competition are not offering.*

The goal or challenge for products that are already established and being commoditized is to stretch the line-up to accommodate the masses, who are just interested in basic functionality. But, at the same time, you also have to push some portion (whether five or seven per cent) into premium offerings, which is what the company specializes in.

Enhancing Packaging Differentiation

To talk about a differentiated feature based on which one could create a premium tier, let's take the example of GoToMeeting. Here, the differentiated feature was whiteboard functionality. We considered introducing some GoToWebinar functionality into it. So, from your GoToMeeting, you could run large, all-hands-on meetings, or incorporate it into other communication, including email, chat and messaging systems.

This means you're not just selling the fact that one can talk over video, like Zoom, but the premium of making scheduling easier. For instance, adding the scheduling functionality of everybody marking an available time, and the most suitable time for all to meet is automatically chosen.

Jan's Approach to Pricing Projects

When it comes to general pricing methodology, I have observed that there are three stages that work best.

You must first start with a hypothesis around key value drivers, customer preferences and product packages.

1. The Data Stage:

a) You start by doing/undertaking competitive landscape research
b) You then understand what the customers need and want, and what they declare. Ask customers to volunteer information and send them surveys. These can take different forms, such as the Van Westendorp analysis. In-person interviews can be conducted to qualitatively assess pain points and expectations.
c) All of this should help inform/revise your key hypothesis.

2. The Testing Stage: The next phase is testing. You try to do A/B testing, or take a similar approach. In some cases, it may not be not possible to split the website into two! But then, you might try to test on two different cohorts of prospects, and offer them slightly different tiers, within different packages. Typically, in such cases, we see that what customers actually do during tests is directionally similar to the results of the research, surveys and studies — but the net impact can also be different. E.g. In one test, we expected a 50 per cent greater 'take rate' for a certain tier, but in practice or in testing, it was only 20 per cent greater, or then 70 per cent greater. The intensity can vary.

   The round of testing usually leads you to polish the new offering. You validate the key value drivers you selected in the beginning, but now you understand better what the tiers should be. There could be two or maybe four, and you can also determine the cut-off points between the tiers in order to maximize revenue.

> *In testing, data simplicity matters. If you propose four tiers of a product, even if that means each prospect finds a solution better suited to their needs and consumption, the tiers can get confusing as they require analysis to choose. If you offer fewer tiers, even if they don't fit the customer needs as well, you see a higher conversion rate. This is a bit counter-intuitive initially.*

It is important to not test only on the customers who are already visiting your website. A common mistake is putting something on a website without a broader demand generation campaign — especially when it comes to discounts. If you're only talking to pre-existing customers, and offer them the product they visited the website for, but cheaper? Of course they will buy it!

But one cannot quite measure if you will be able to attract new customers who are not even considering the products. It could lead to false negatives and misplaced comfort.

It must be added that driving agreement across departments is necessary. If you are introducing discounts, finance will be terrified; sales will have mixed feelings — because on the one hand, they can sell something more easily, but on the other, they cannot meet quotas if the discount is too deep. The product team will probably be excited to connect to more users. Driving the agreement on what the success metric is, and ensuring that everybody is comfortable with that, is more difficult than doing the data work.

3. **The Controlled Launch Stage:** Once you have iteratively tested changing the tiers and found the optimal line-up, you do a release that is very controlled and limited to a small portion of your prospects or customers. Even at the last stage, some corrections may be needed. You don't want to do a big release after stage one or two — inch out to the market with incremental, restricted releases. This is why it is all quite a

time-consuming and engaging process. But overall, it provides you with the best quality of results.

Harnessing Surveys Effectively

Multiple conversations with customers face an issue will not amount to much, due to difficulties in quantifying such results. How do you design the right survey, then? Factors to consider include designing the right survey with the right financial model, being data-driven by capturing differences in perception or performance of different tiers.

The challenge in coming up with a new tier and running a survey is that it requires the customer to have knowledge of your offering and your value propositions. You may need to provide considerable context before running through the simulation, and give out information about what the customers are selecting in a survey. This is why it's potentially difficult to get people to complete a survey, and you often have to incentivize them to get to the end.

Rolling Out Changes Carefully

When you have a new product, you can test more ideas as you don't have a well-established customer base to be careful about. For us, most of the products under consideration still had a large body of subscribers, who should not be rushed too much.

> *How you change the line-up but not cannibalize revenue from the existing customer base, is a whole different chapter. You could increase attractiveness of a product and boost new sales, but risk losing some existing customers, from ongoing or recurring subscriptions. The key here is to be proactive about change, let it happen on your terms, rather than having a displeased customer contact you.*

Balance this with segmenting the existing customer base and offering slightly varying things to different cohorts. Some use the product very often; some got a deep discount when they signed up, as they negotiated well. Some bought 100 seats, and are using 7; others are using 70.

Considering all the variables, one needs to segment the customer base and vary the approach. Proactively and creatively offer alternatives. Stay upfront on prices going down and offer either a better option for the same money, like an upgrade, or a discount (with some strings, not unilateral concessions), like committing to more time or getting an add-on.

It also helps to create a new line-up and modify it to be quite different from the old one. Taking the same tiers and discounting them makes the comparison too easy for the customer. Even purely from a marketing perspective, packages should be called something different, like changing 'Pro' and 'Elite' plans to 'Premium' and 'Advanced', with variances in the feature set.

Identifying the Right Value Metric

Two important elements to consider before addressing the difficulty in selecting an actual pricing model (like charging by number of seats, per interaction, data-volume driven, etc.) are:

1. **What is the customer accustomed to:** The most important thing is to recognize and acknowledge what customers are used to. I tried using a pricing model like cost per action, instead of a flat rate, with the view that it would be more beneficial to the customer — and they didn't like it because that's not what they were used to. Being overly creative sometimes backfires.
2. **Demonstrate return on investment:** This is the most difficult and alluring part in enterprise sales. The closer the pricing is related to the movement of customer money, the easier it

is to sell. These are flexible pricing models that take a cut from the revenue.

Pricing is not necessarily always about what objectively generates the highest revenue.

Think American Express — they don't own terminals, but just the standard, and make huge amounts of money for something like payment rails. But because they collect the money, when the customer makes money, there is no pushback and their fees are paid — because there is no risk.

On the other hand, look at inexpensive Office solutions, for $9.99 or $19 a month. People question whether they will make enough interaction in that value, to justify the commitment of purchasing for a year.

That becomes a big conversation on how the customer wants to be charged. The more flexible, the better. The company, whichever round of financing it is in, should demonstrate to shareholders or investors that it has a stable source of revenue. Illustrating this is easier if you can demonstrate subscriptions and committed customers.

The Move to Consumption Pricing for IT Infrastructure Software, with Kevin Christian

Software related to IT infrastructure and Operations Management has been historically priced based on hardware or asset size under management, be it the number of processors, the size of the storage or the amount of data transferred. In this model, a customer would buy a license for a particular size and then try to stay within the limit imposed by the license. The vendor would also struggle to ensure that the customer did not use anything more than what the license permitted.

Public cloud providers like AWS and Azure heralded a new approach with architectures that allowed their customers to provision hardware and software in a granular and elastic manner. This model has since been taken up by almost all providers of hardware and software.

While this movement has been natural for SaaS providers, there are interesting variations that occur when the same methods are applied to hardware, as well as services tied closely to hardware.

Kevin Christian, presently with Infoblox, is an industry leader with a wide exposure to pricing strategy and operations. He has run the pricing function at several companies who are leaders in their own industry segments. He also founded his own consulting business with the same focus area. Through his long presence in the industry, he has been witness to the transition of the IT infrastructure industry from a licensing regime to a consumption/metered one.

In the following sections we share Kevin's insight on both his general principles for pricing success as well as a fictionalized case study of NewCo and its transition to consumption pricing.

General Principles for Pricing Success

Organizing the Pricing Program

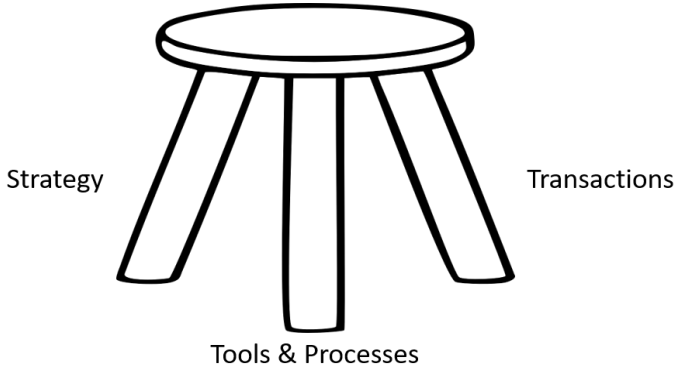


Fig. 33: The Three Legs of the Pricing Stool

Per Kevin, at most software companies you can break down a Pricing Program into three big areas, or legs so to say (see Figure 33)). The first leg is Strategy which includes programs and policies, financial analysis, market analysis, and competitive analysis. Typically, the changes are planned as short term, say over 6 to.12 months, and long term over the coming 2 to 5 years.

The second area is pricing of specific or individual Transactions. The elements here are what is often referred to as the Deal Desk, or, Commercial Finance. The activities in this area are about approving deep discounts on special, large deals and any non-standard contract terms.

The third area is Tools and Processes. This consists of processes set up for reviewing prices and setting new prices or changing existing prices. Also covered in this group are activities like publishing the price list, setting up skews - it is any system related changes and whatever the quoting process is.

Getting the model right

For a model to be successful, it has to have three attributes - Simple, Measurable, and Scalable.

- The Simple attribute implies that one can explain the pricing metric during an average elevator ride. This is very important because many companies cannot. This is the kind of attribute that VCs care for deeply. No one has time to spend on 10 slides explaining the pricing model - at best it can be one or two slides.
- The Measurable and Scalable attributes are related to each other. In the SaaS world, Measurable means that you should be able to count or measure whatever you are charging for. For example, it serves no purpose to price on a per user basis if you do not have the ability to count unique users by, for example, unique login IDs for users.
- The Scalable attribute means the ability to capture more returns from a customer when the perceived value for the customer scales. For example, as the customer changes from a small company to a large one. .

Beyond these essential three, we can list four more attributes to ascertain if the pricing model is effective:

- The fourth attribute we can add is Predictability, as seen by the customer.
- The fifth attribute is Flexibility, which means having the ability to adjust for corner cases.
- The sixth attribute is whether it is operationally easy to implement in terms of the tools you have (eg, Salesforce or CPQ or another commercial platform).
- The seventh attribute is Fairness, as seen by the customer. This attribute comes into play if the pricing is linked to the revenue of the customer. While the amounts involved may

look fair for smaller revenue points, they can start to look unfair when the customer's revenue becomes very large.

The Story of NewCo: Evolution to a Consumption Model

To get an industry wide perspective, Kevin alludes to an imaginary company, that can be called Newco Assets and Operations. This company has offerings in the complete infrastructure space - from networking, IT asset management (ITAM), IT operations and automation (ITOA) to Information Security. This is a fairly typical profile for companies in this space.

Traditional IT Infrastructure and Operations software was deployed on physical systems that were mostly on-premise, where the vendor was far removed from physical access and customers bought licenses to match the specifications of their infrastructure.

In this regime, pricing was anchored by the hardware oriented deployment model, where the customer paid a small price for software running on a smaller machine and a bigger price for the software running on a bigger machine.

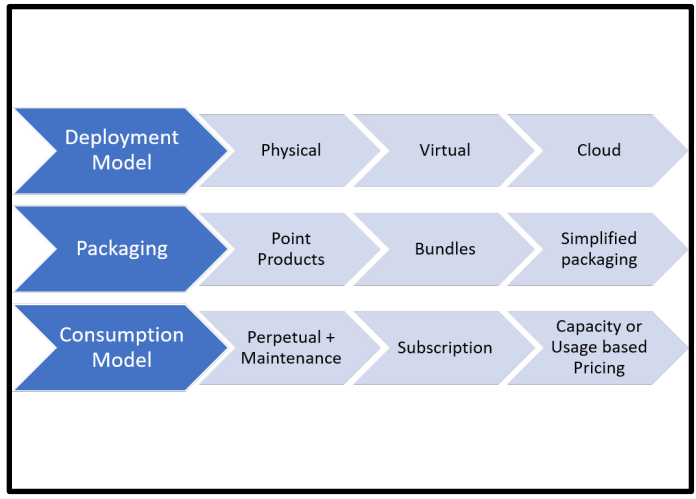


Fig. 32: The Evolution of Pricing from Perpetual Licensing Models

However with cloud computing this model is changing and so is NewCo's Pricing. As shown in Figure 32, the evolution can be described using three dimensions of the problem, each having an impact on packaging:

- **First,** the deployment model has changed over time. Software used to be deployed at first on a physical device, then moved to being deployed on virtual devices, and eventually moved to being in the cloud.
- **Second**, is the packaging. A company such as Newco may start off with one or two point products. Then, if they are successful and grow, they end up with many point products until they get to the point where there are too many point products at which point they start creating bundles. Further down the road they land up with many bundles which turns out to be too confusing. Eventually, they get to a point where they realize that they have to simplify the packaging.
- **Third,** is that metric on which customers are asked to pay for is also changing. In the beginning, it used to be a perpetual license plus annual maintenance charges. Then it became a subscription. And now it is moving to more of a meter style pricing - like what AWS or Azure do today - where it is based on some kind of a capacity or usage based metric.

In NewCo's case its packaging had grown very complex with the addition of many point products and the company moved to a more simpler packaging structure. In its case it reverted back to a Good, Better, Best style of packaging. *(This is something we've covered earlier in the book)*

It starts with a small (or Good) package which is the minimal viable product that creates value for a customer. The medium (or Better) sized package is designed for the vast majority of customers. Finally, the everything (or Best) package is for the customers with the most well defined needs or the most sophisticated customers who have to have every single feature and function. In this model, the point

products and bundles are gone and the company is left with just those three packages.

Implications of Simpler Packaging

As part of their own packaging transition, Newco has also arrived at a GBB packaging that covers all of Newco's offerings consisting of Networks & ITAM, ITOA and Information Security. The customer does not get to pick and choose individual items but gets one complete package.

One problem in this three level packaging is that the Sales people would like to sell an entry or lower level package first and be able to go back later to try and sell the higher one. That is because they like to sell more to existing customers. To grow, the Sales team would take an ITAM customer and sell them ITOA or Information Security. Similarly, if they have an Information Security customer, they sell them ITAM or ITOA, or, if they have an ITOA customer, they sell them ITAM or Information Security. Customers don't buy all three products, initially.

For Newco, how this works out is that they now have their Essentials, Business and Advanced packages. So if you have a customer who bought Essentials, Sales would try to upsell them to Business, and if they had bought Business, Sales would try to upsell them to Advanced. Now, if they have already bought your best version there is no upsell because they are already at the top.

One way to get over this situation is to look at another approach to growth, and that is to look at the pricing metrics or variables in each of these packages. For example, Newco can use the size of the customer's network in terms of the number of IP addresses. In this case, Newco can capture growth if the customer's network grows from 10000 IP addresses to, say, 50000, thus scaling five times.

There is a case to be made here for still having a very small number of point products on top of the Good, Better and Best packaging. When a company introduces this type of packaging it works for a

year or two. At this point they could start introducing a very small number of very expensive point products. Of course these would have to be very specific high value, expensive to deliver, point products. Because they are expensive to deliver, they would have to be priced high in order to make any money on them. In this way the Good, Better, Best model is still able to accommodate point products.

Choosing the Right Pricing Metric

Taking the example of Newco, they had similar decisions to make across their Networking and ITAM, ITOA, Information Security portfolio. The key decision they had to arrive at was whether and how to have a single usage metric and if they would need different metrics for their three offering groups.

Since the Networking and ITAM offering itself has multiple products lines they could, technically, have different metrics for each of those. These could include the number of DNS Queries or Queries Per Sec (QPS) for DNS services, and for DHCP services it could be the number of Leases or Leases Per Second.

Similarly, the ITAM pricing could be based on the number of assets or the number of IP addresses. The ITOA pricing could be based on the number of devices being managed. The Information Security part could be priced on the number of users or employees.

Now if they used all of those metrics then they could either sell them separately or convert them into 15-16 bundles starting with what would be appropriate for a small attorney's office and going up to a large Walmart type of facility and then the typical corporate office of a large multi location corporation. For each bundle, they would need to specify a ceiling for the respective usage metric of each of the five product components within that bundle.

So it was apparent that this would become really quite complex and yet it would never fit exactly for any single customer; they are always going to need more of some item and less of some other. And even then they may feel they are overpaying for something.

Even though this arrangement is complex, a number of companies price their offerings like this. One example of this could be Cloudflare[47]. As Figure 34 shows, Cloudflare has a Free plan and then Pro, Business and Enterprise plans. Then if the customer needs more they can take from a set of Add-Ons on top of these plans as depicted in Figure 35.



Fig. 34: Cloudflare Pricing Plans

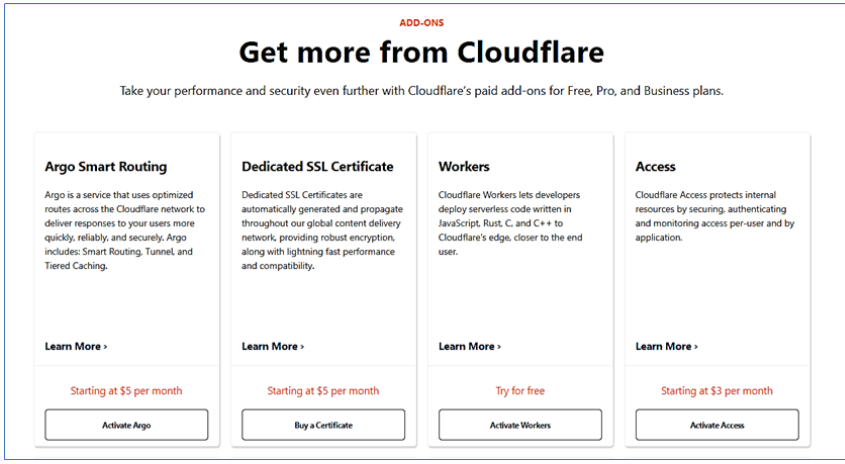


Fig. 35: Add-Ons for Cloudflare Pricing Plans

[47] https://www.cloudflare.com/en-in/plans/

For Newco it made more sense to have a single metric for everything. Newco needed to not only look at what was theoretically best for them, but also their established sales motion. In Newco's case they decided to go with a single metric because that was the preference of their Sales and field leadership and that group values simplicity more than anything else. The field leadership wants to do big deals where the customer buys all the products.

In Newco's case the single metric used became IP addresses for everything, even though IP addresses are not the most natural metric for some of those items. In this case, they would be using a suboptimal metric for some of the items, but the reason they were well advised to do it was to have the simplicity of the same metric for all the items. Using this single metric, they were been able to develop the Essentials, Business and Advanced packages for each of Networking and ITAM, ITOA and Information Security.

Considerations For Rollout

At this point Newco has been over the transformation and simplification of packaging that they attempted and the single metric approach to pricing that they liked. Now they have to deal with how they roll this out to customers and their own field teams.

We start with a metric that we wish to use, and in Newco's case it is the number of IP addresses.

Newco has multiple ways in how they can make the customer pay for what they consume. The first method is that the customer pays for a certain quantity and they cannot go over the ceiling. The second method is that the customer consumes what they need and Newco bills them for the actual arrears based on what they consumed for a period that has been chosen, say per month. That is the method AWS and Azure use. It is also possible to bill the customer in advance for a certain amount but they can go over the ceiling and at the end of the period their ceiling gets resized. This flex method has now

become quite popular with the larger cloud vendors and has become a recommended model as well.

Having developed a mature and elegant model Newco still has the challenge of getting it implemented internally. If we go over the process again we have four steps to complete:

- The first is of course deciding the metric to price on, that being the number of IP addresses for Newco.
- Then there is the need to build the ability to measure the chosen metric into the product and that is non-trivial. The product managers and the engineers have a tendency to not want to do this. Typically, when engineering enhancements are discussed and decided, this aspect takes very low priority. As the product marketer with ownership for the pricing model, it is likely that you will have to approach someone like the CEO to drive this part from the top down. Even then, this is quite difficult and the actual changes may take like a year or more to work out. The lack of instrumentation when transitioning from licensing to metric driven subscriptions seems to get repeated across companies.
- The next step in implementing the model is to collect all the data into a database, or more likely, a data lake.
- And finally you have to manifest it, that is put it across to your customers and to the internal teams. Most companies are trying to do this through a Customer Service Management (CSM) team. The customer service managers are responsible for all the follow on sales to the customers. Obviously, to do this your entire compensation model, your field model, the sales motions, the Go To market (GTM) strategy, and the Sales Ops features like territory assignments has to change.

In this transformed approach, the Sales teams get compensated for upselling a customer on new functionality, or they get compensated for increasing the quantity that the customer is buying or some similar change. They don't get compensated for anything else because the CSM team has taken on most of the post sales work. In

that sense, the CSM team is fully focussed on the data being generated out of the selling and consumption.

The key challenge with this approach is that the CSM team cannot be a success unless they have all the data on usage being generated. Having the data ready is critical for the way we want to price now - pick the metric, count it, collect it in a data lake, show it in a dashboard. Unless we can do those four things we cannot get the new pricing model implemented well. This is not a problem that is confined to one company but is prevalent quite widely. The PMM or Pricing leaders often face an uphill climb to influence Product or Engineering in a manner that prioritises this instrumentation for pricing. But it is important to get the new Pricing actually work.

Rationalizing Pricing & Packaging at Narvar

> *This case study is written in the 1st person voice of Ajit Ghuman, based on his experiences at a former employer.*

I was hired as the Director/Head of Product Marketing at Narvar in 2019, with a distinct focus on pricing as a core activity that I would be spending time on. Little did I know that one thing would lead to another, and I would eventually refocus my career on this topic, write a book, and, with you reading this sentence, also publish a v2 of the book on pricing and establish a pricing consulting and education business.

Initial Challenges in Pricing Strategy

> *One of the key problems I discovered as soon as I joined Narvar was dissatisfaction and discord amongst members of the sales and marketing teams.*

A prior pricing model implemented by a former short-tenured Chief Revenue Officer had failed – ASPs across tiers were dropping, many tiers were not being selected at all, and very high-end tiers were being severely discounted. The company's sellers mainly had been with the company for a long time and had a very distinct motion they were used to selling with. This new model just did not work for them – it created cookie-cutter tiers where the prospect could not expand their use of the product without, in many cases, a significant upgrade into the next tier.

Often, this meant that what would otherwise have been a $3-5k add-on would have become a 50-60% increase in overall subscription pricing; this was obviously a non-starter. An effective model meant that some sellers would completely skirt this model and just keep

selling in an ad-hoc way, and other sellers would try to stick to the model and get short-shafted in the pricing they were able to extract from prospects.

Impact of Rapid Pricing Standardization

The root cause of this situation was that the company was growing fast. It felt like it needed to move closer to high-velocity sales with more standardized pricing and packaging. This made sense because ad-hoc packaging can impose complete chaos into your product roadmap, riddling it with technical debt. It also made sense because sales productivity matters once a company is able to "cross the chasm," if you will.

At the time, *Narvar's leading product, Track,* had become the de facto standard for shipment tracking landing pages and notifications if you ordered from any top retailer. It was indeed time to scale. Unfortunately, the execution of pricing standardization that was needed, was too fast and sliced/diced the product in ways that were counter to how prospects bought.

Add to it the fact that the CRO who implemented the pricing left in a few months without anyone being able to iterate on the model with her teams' feedback. There is no one to blame; it is just what happens in a high-growth company. These are good problems to have.

Let us understand this problem from a neutral stance. What would happen if you implemented SMB-esque packaging/tiers created for high-velocity sales to a sales team used to selling with more of an enterprise motion in a close-to-bespoke fashion?

I am generalizing this example with a fictional B2B product in the image below to highlight the issue. There are 4 tiers aligned with different market segments.

- Outside of the top-end tier, the middle tiers only get a specified amount of "emails" and "domains."

- The problem is that it is not obvious which customer will want 1, 2, or n number of emails and domains. Some firms will need more, and some will need less. But because there is no option to buy more emails in the middle tiers, the customers will be forced into the most expensive tier, i.e., Enterprise. The problem is that the SMB customer still only has an SMB willingness to pay and is suddenly being asked to pay 1.5-3x more for a tier with features they don't need. Therefore, the real-world dynamic would be that the sellers would sell the top-end plan with a high discount and complain about it. Consequently, the features in the Enterprise+ tier that you do not want will become shelfware, i.e., unused, and since these are already sold, they cannot be upsold later on when the needs of this customer grow. This also has a negative impact on NRR (Net Retention Rate).
- Also, note that the level of support is very strictly tied to the specific tiers. What if you liked the Mid Market plan but wanted the Top Tier Service Level? You would again be forced to buy that tier and would negotiate a hefty discount with the sales rep. The same point about shelfware and blocked upsell paths applies. Standardization is great and needed but done in such a way that it will only infuriate your sales team. Standardization also needs well-crafted packages that fully solve customers' needs in a segment without having to "force them" or "move them up" into higher tiers.

> ***Sidenote:*** *I have heard PLG product managers sometimes give me this same logic: "We must move people to upgrade." The thing is, you can't change their needs or willingness to pay for your product; anything "forced" will only backfire. You can only create the tiers that allow for a natural and gradual growth in their business.*

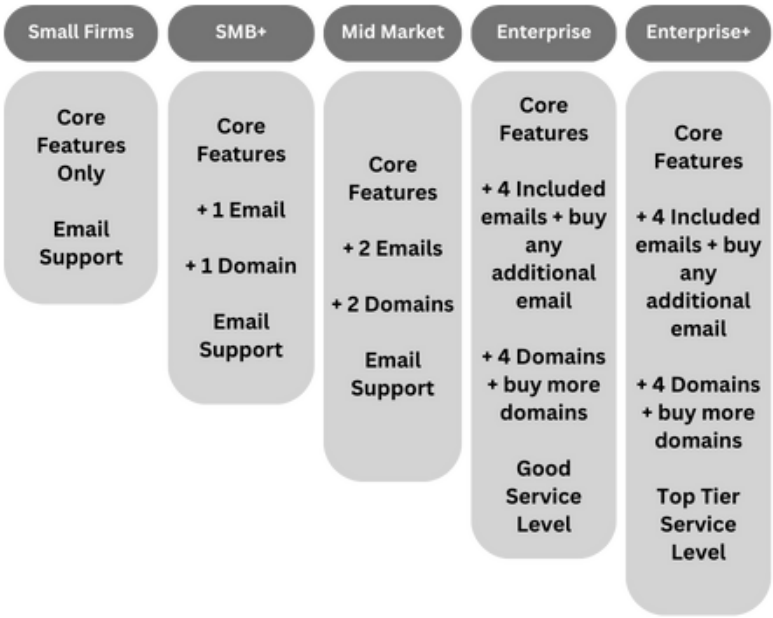


Fig.1 : Misaligned Tiered Pricing and Sales Friction

Solution

1. The biggest pathway to a solution at Narvar was not rocket science. It was just about listening and synthesizing all perspectives.
    a) Why were sellers dissatisfied? Why specifically did the new packaging/tiers not work for them?
    b) What was the SVP Sales' perception?
    c) What was the CEO's perception/desire/motivation?

    I said it was "just about listening," but perhaps I said it too easily. This is the hardest part of any project – be it pricing, product management, engineering, or what you have to do- and it is listening and aligning perspectives. In this case, alignment was hard won because a failed experiment entrenches everyone in their views.

All negotiations have to be done back door, helping everyone compromise their ego-stance to what they actually need, without enduring a loss in self-image. It takes more than a few years to understand these games of navigating between truth and ego — and it really has nothing to do with pricing or strategy.

2. For me, sitting down with sellers who took the time to patiently explain how they would create a package for a specific customer was the most helpful. In some cases, I would open up Salesforce and look at older closed won and closed lost opportunities – I would make the rep remember what had happened and why he/she decided to create a certain quote/offer. This was the most instructive in where the gaps were in the pricing model.

   After having enough of these conversations, I was able to tweak the currently in place pricing model/tiers to be flexible enough for customers within a certain segment to be fully satisfied while, at the same time, being standardized enough to allow for high sales velocity without sellers going off the reservation and selling roadmap items or singular features.

3. Compared to most pricing projects, the problem here lied mainly in the packaging decisions, not the inherent strategy and not in the pricing metric selection, which I did not revisit, at least in the initial project revamp. But we found an interest dynamic regarding price points in the entry level plans. Some of these were already seeing negative discount rates. Which means that sales reps were selling the packages at higher than the established list price even after the prior pricing revamp — now this was purely a sales incentive problem.

   Even though the strategy dictated that we try to maximize market share and keep enough entry-level offerings, sellers still wanted to make their number at the end of the day. And they were able to sell the product for more than the list, which

helped them make their number. This was an isolated problem, so it wasn't touched in the initial revamp. Instead, it highlights real-world issues like operational systems and sales compensation that can make or break your pricing strategies.

Results

1. The process explained in this case study was not short. The first set of repackaging took about 4 months to complete, and a proper launch only took about 6 months. However, I was able to get close to 100% sales adoption of the tweaked packages. One of the key factors that helped in this process was an updated pricing calculator that was updated with this latest pricing/packaging – after launch, it made the quote creation process easy for the reps, making their lives easier and thus lowering their resistance to standardization.
2. ASPs across tiers also increased without an increase in discounting. This was in the range of 15-40% across tiers, but I have to be nonspecific here because I cannot reveal sensitive information about actual financials and can only provide a directional understanding of the impact of the change.

DocuSign's Transformation from Usage-Based Pricing to Feature-Based Pricing

Context: *This is an in-depth look at how DocuSign transitioned from a usage-based pricing model to a feature-based one. This transformation was driven by market saturation and the need to better align with the evolving value provided to customers. The study delves into the challenges faced, the strategic decisions made, and the successful outcomes achieved. The insights are derived from an extensive analysis of DocuSign's pricing strategy and its impact on the company's market position and revenue growth.*

DocuSign is a pioneer in the digital transaction management and e-signature solutions market. Founded in 2003, DocuSign was the first solution of its kind, effectively creating and leading the e-signature category. The company has revolutionized the way businesses handle agreements, enabling them to be signed electronically from anywhere in the world. DocuSign's mission is to accelerate business by transforming the way people agree. The first product in their suite was eSignature, the most popular solution to sign electronically on practically any device.

Business Model Description

DocuSign operates on a SaaS business model, providing subscription-based access to its digital transaction management services. The core of DocuSign's offerings is its eSignature solution, but the company also offers a broad range of features designed to manage the entire lifecycle of an agreement. This includes document generation, negotiation, and storage, as well as advanced analytics and integrations with other enterprise systems.

Pricing Structure

DocuSign's pricing structure has evolved to better align with the value provided to customers. Initially, the company employed a usage-based pricing model, where customers were charged based on the volume of e-signatures processed. This pricing model was very well aligned with the value the product was providing. Each signature meant saving money on posting documents, it also saved time. Moreover, considering that the first adopters of this technology were customers in Finance and Real Estate. Each signature usually meant a deal closer and commissions paid. Usage-based pricing for such a solution enabling sales was the right choice at the time. However, after a few years, DocuSign started recognizing the limitations of this model, especially as e-signature technology became commoditized, transition was needed.

Docusign's Challenge

As a leader in the e-signature market, DocuSign's growth was propelled by the increasing adoption of its e-signature solution within organizations. However, as the e-signature technology became more commoditized, two significant challenges emerged:

1. Commoditization of E-Signatures: As more businesses adopted e-signature solutions, the market became saturated, and the technology itself turned into a commodity. This led to a significant drop in the price per unit, making it difficult for DocuSign to maintain its revenue growth solely through a usage-based pricing model.
2. Full Adoption by Customers: Many customers had fully integrated the e-signature solution into their operations, reaching a point where they no longer needed to increase their usage or upgrade their monthly envelope limits. This plateau in usage meant that the potential for revenue growth from existing customers was limited under the usage-based model.

These challenges necessitated a strategic pivot. DocuSign recognized that while e-signatures were essential, the additional features supporting e-signatures—such as automated workflows, integration capabilities, and advanced security—provided significant value to their customers. These supporting features became the primary selling points and the key drivers of monetization.

Market Context - Commoditization Process

Let us take a closer look at the issue of commoditization of E-Signature functionality. The problem encountered by Docusign is not an isolated case. SaaS companies often face significant challenges in monetizing their products as their features become commoditized. This process typically unfolds in a few key stages:

Phase 1: New Innovative Product

At the outset, SaaS companies invest heavily in research and development (R&D) to create innovative products that address unmet needs in the market. These new products often introduce advanced features or capabilities that set them apart from existing solutions, allowing the company to command a price premium. This premium is justified by the unique value the product offers, and customers are willing to pay more for the advanced functionalities, reliability, and brand reputation. During this phase, the company enjoys strong revenue growth, driven by early adopters and customers seeking cutting-edge solutions.

Phase 2: Low-Price Competition

As the market for the new product grows, competitors inevitably take notice. These competitors often focus on replicating the basic functionality of the innovative product but at a much lower cost. They strip down the product to its core features, which are sufficient for a broad segment of the market, and offer it at a significantly reduced price. This creates a situation where the market becomes flooded with cheaper alternatives that provide the essential functionalities,

leading to increased price sensitivity among customers. The original product, which once commanded a premium, now faces downward pricing pressure as customers start comparing it to lower-cost alternatives that meet their basic needs.

Phase 3: Bisection of the Market

In response to the rising competition, the original SaaS provider often attempts to differentiate their product further by adding new, advanced functionalities that cater to more specialized or demanding use cases. These enhancements are designed to appeal to advanced users who require more than just the basic features. However, this strategy can lead to a bisection of the market: advanced users continue to value and pay for the premium features, while less demanding users, who do not need these additional functionalities, migrate to the lower-priced, basic offerings provided by competitors.

Phase 4: Challenges in Sustaining Revenue Growth

As the market bifurcates, the SaaS company faces a dual challenge: retaining advanced users while competing with low-cost providers for the broader, price-sensitive segment. The commoditization of core features makes it difficult to maintain high margins, as customers become increasingly unwilling to pay a premium for features they can obtain elsewhere at a lower cost. Additionally, the potential for revenue growth from existing customers diminishes, especially if these customers have fully adopted the product and no longer see the need to upgrade or increase their usage.

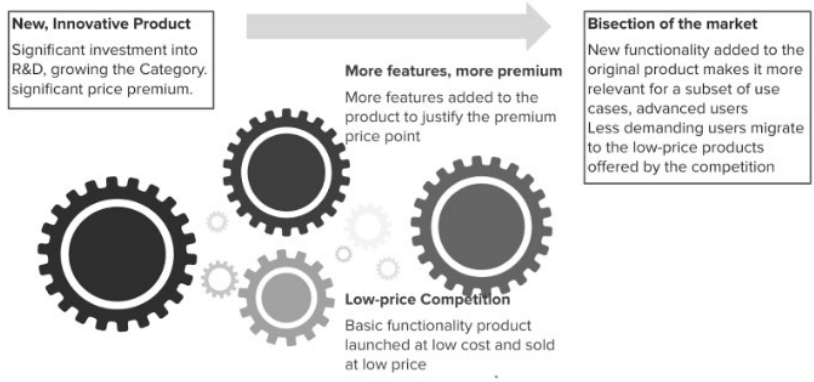


Fig.1 : Market Evolution and Product Differentiation

Ultimately, the struggle with commoditization is a common challenge in the SaaS industry, and companies that proactively adapt their strategies are more likely to thrive in an increasingly competitive market. The path DocuSign chose to adapt was moving away from E-Signature as the main source of revenue. Shifting the weight of monetization to other functionalities and functions. That change required adjustment of the packaging but most importantly, the main price model that was followed from usage-based to feature-based one.

Transformation to Feature-Based Pricing

Recognizing the need to shift its monetization strategy, the pricing team at DocuSign proposed a transition from a usage-based pricing model to a feature-based pricing model. This strategic move would involve restructuring their pricing tiers to focus on the value delivered by various advanced features rather than the volume of e-signatures processed. The new pricing model would offer different packages that included a variety of features tailored to meet the needs of different customer segments.

The transition to a feature-based pricing model presented significant challenges for DocuSign. Despite the diminishing revenue from upselling additional envelopes, this revenue stream remained

substantial. Moving to an unlimited envelope pricing model and focusing on features introduced the risk of losing this important source of income. The uncertainty of whether other upsell methods could compensate for this potential loss led to stern resistance from the sales team and the CFO. They were concerned that this shift might negatively impact the company's quarterly results, threatening financial stability and growth projections.

Solution Implementation

We decided to execute the transition from usage-based pricing to feature-based pricing at DocuSign through a gradual and strategic approach. Recognizing the importance of not abruptly disrupting their revenue stream, the team adopted a three-pronged strategy.

Three-Pronged Strategy:

1. Dual Pricing Metric Packages

The first step involved the introduction of dual pricing metric packages. These packages differentiated pricing not only by the number of envelopes available per month but also by the availability of additional features such as document generation, analysis, storage, and filing functionalities. This transitional lineup served as a temporary solution, acting as a stopgap on the way to a fully feature-based pricing model.

2. Market Testing and Transition

This approach allowed DocuSign to better test market responses without making irreversible changes. Offering unlimited envelopes from the outset could have eliminated a significant revenue stream that would be difficult to reinstate. By maintaining envelope limits alongside feature differentiation, DocuSign could gauge customer acceptance and fine-tune its offerings accordingly.

3. Controlled Reduction of the Price-Per-Unit

An essential element of the strategy was the reduction of the price-per envelope in a way that is controlled by DocuSign, not just reactive response to the market environment. This process significantly stimulated the volume of envelopes sent and the volume of users, diluting the average cost per unit. Pricing models were employed that aggressively encouraged broad adoption of the DocuSign solution, even for 'low value' use cases such as internal signatures, approvals, and routine NDAs. The pricing models in question were: aggressive volume discounting and flat-rate pricing options for covering the entire organization with DocuSign user licenses (site-license).

This approach dramatically increased the number of envelopes used while the revenue increased only marginally or remained the same. By reducing the price-per-envelope, DocuSign could better compete with companies offering lower unit prices or unlimited envelopes. This was a crucial step toward transitioning into an unlimited consumption model.

Implementation Challenges

Advantages	Disadvantages
1. The ability to test market responses without irreversible changes.	1. Increased complexity in the pricing model and associated risk to the Online sale channel (potential confusion for online sales prospects due to the more complex structure).
2. Maintaining a steady revenue stream while transitioning.	2. Incremental internal cost of managing a more complex pricing structure. The interim transition period also added to the cost of change management of the pricing projects.
3. Gradual familiarization of customers with the value of advanced features.	

Managing Complexity

The complexity introduced by dual pricing was not significantly problematic for the Enterprise sales channel, which relied on direct sales interactions. However, for the Online sales channel, where simplicity is crucial, this complexity was skillfully managed. The pricing page was designed to obfuscate the intricacy of the pricing structure, presenting it in a user-friendly manner that minimized confusion and maintained conversion rates.

Impact

The transition from usage-based to unlimited signature pricing at DocuSign had a significant positive impact on both its financial performance and market positioning. This strategic shift allowed DocuSign to better compete with other market players such as PandaDoc, DocHub, and SignNow, who were already offering unlimited signing options without monthly limits.

Revenue Stability and Growth

Despite initial concerns, the transition did not lead to a drop in revenue. Instead, it facilitated continued revenue growth and customer retention by enhancing the overall value proposition. By focusing on advanced features beyond just e-signatures, DocuSign was able to attract and retain more customers, even those who had previously maxed out their envelope limits under the usage-based model.

Enhanced Market Competitiveness

The move to unlimited signature pricing enabled DocuSign to stay competitive in a market where many competitors offered lower per-unit prices or unlimited envelopes. This shift was crucial in maintaining and growing its market share.

Introduction of New Monetization Strategies

The transition also paved the way for new monetization strategies centered around additional features such as document preparation, storage, and analysis. These features provided significant value to customers and opened new revenue streams for DocuSign, diversifying its income sources and reducing reliance on e-signature volumes alone.

Impact on Customer Retention

The new pricing model had a positive impact on customer retention. By offering more value through advanced features, DocuSign increased customer satisfaction and loyalty. Customers who were previously hesitant to upgrade due to envelope limits found the new features compelling, making them more likely to stay with DocuSign.

Overall, the transition to unlimited signature pricing and the focus on feature-based monetization allowed DocuSign to strengthen its market position, enhance customer value, and ensure long-term financial stability and growth.

By focusing on advanced features beyond just e-signatures, DocuSign was able to attract and retain more customers, even those who had previously maxed out their envelope limits under the usage-based model.

1. **Revenue Growth:** Revenue increased from *$469 million* in Q1 2022 to *$675 million* in Q4 2023.
2. **New Customers:** The number of new customers grew from *20,000* in Q1 2022 to *30,000* in Q4 2023.
3. **Customer Retention Rate:** The retention rate improved from *85%* in Q1 2022 to *92%* in Q4 2023.

Concluding Insights

DocuSign's successful transition from usage-based pricing to feature-based pricing underscores a crucial lesson for SaaS companies: most features, no matter how innovative, eventually become commoditized. When this occurs, the price-per-unit drops so significantly that usage alone no longer drives upsell and revenue growth. As a result, the feature in question loses its monetization capabilities, necessitating a shift in the weight of monetization to other features and functionalities.

Therefore, it is essential for SaaS companies to adopt a dynamic pricing strategy that anticipates the lifecycle of their features. Implementing a feature-based pricing model allows companies to continue delivering value and driving revenue, even as individual features become commoditized.

Additionally, it is important to recognize that any pricing model is only appropriate and revenue-maximizing for a certain period of time. As the market and the product evolve, it becomes crucial to foresee and plan transitions and adjustments from one pricing model or structure to another. Regularly evaluating and updating pricing strategies to align with changing market conditions and product developments can provide a significant competitive advantage.

Having a strategic approach to pricing from the outset, with the flexibility to pivot as market conditions change, can provide a significant competitive advantage. SaaS companies should regularly evaluate their pricing models to ensure they align with the evolving value propositions of their products and the needs of their customers.

DocuSign's experience highlights the importance of adaptability and customer-centric innovation in sustaining growth and maintaining market leadership in the fast-evolving SaaS landscape.

Zoom's Complexity of Pricing Structure Impacting Revenue

Zoom Video Communications was founded in 2011 by Eric Yuan, quickly established itself as a leading provider of video conferencing solutions. The company's flagship product, Zoom Meetings, gained popularity for its user-friendly interface and reliable performance. As a result, Zoom experienced rapid growth, particularly during the COVID-19 pandemic when remote work and virtual meetings became essential. By 2020, Zoom's product portfolio had expanded significantly, including *Zoom Video Webinars, Zoom Rooms, Zoom Phone,* and *numerous add-on packages*.

Business Model

Zoom operates on a freemium model, offering a basic version of its services for free while charging for premium features and add-ons. This model includes various subscription plans catering to different customer segments, from individual users and small businesses to large enterprises. Revenue is generated primarily through subscription fees for these premium plans, complemented by sales of add-on packages that enhance core functionalities.

Challenge – Fast Growth Resulted in Pricing Complexity

Between 2014 and 2020, Zoom's product portfolio and the associated features expanded rapidly. The company prioritized speed to market, introducing new functionalities primarily through add-on packages. While this approach allowed Zoom to quickly address market demands and stay ahead of competitors, it led to significant complexities:

1. Product Overload: The number of add-ons available on the website exceeded 14, with many more offered through the enterprise sales channel. This proliferation made it challenging for customers to navigate the product offerings

and understand the value propositions of each add-on. That negatively impacted user experience and online conversions.
2. **Pricing Structure:** The focus on adding new features through add-ons resulted in a convoluted pricing structure. Customers found it difficult to determine the total cost of ownership and compare different plans, leading to confusion and decreased online conversions.
3. **Operational Complexity:** Managing an extensive array of SKUs (Stock Keeping Units) exceeded 1000, escalating the costs and complexity of portfolio management. This hindered operational efficiency and scalability.

Zoom Challenge in Context of Market Trends

The challenges faced by Zoom were not unique but reflected broader trends in the SaaS market. Many SaaS companies experienced rapid growth and diversification of their product lines, leading to similar issues:

1. **Feature Bloat:** To remain competitive, SaaS companies frequently added new features, sometimes at the expense of simplicity and user experience.
2. **Complex Pricing Models:** As products became more sophisticated, pricing models often became complex, creating friction in the buying process.
3. **Operational Strain:** Expanding product portfolios increased the burden on operations, making it difficult to manage and scale efficiently.

Zoom's Response

Recognizing the need for simplification, Zoom initiated a strategic review of its product portfolio and pricing structure. The company's response focused on several key areas:

1. **Hiring a Pricing Operations Team:** Zoom decided to establish a dedicated Pricing Operations team to tackle the complexity

of their product offerings. The primary goal of this team was to streamline the product line-up by removing SKUs that generated low levels of revenue.

2. **Conjoint Studies:** To better understand market preferences and optimize packaging, our team conducted a series of Conjoint studies. These studies were aimed at soliciting feedback on customer packaging preferences and willingness to pay. The insights gained allowed us to recognize what features are predominantly purchased together, and should be merged or bundled.
3. **Simplifying the Product Line-Up:** Based on the Conjoint study results, Zoom we incorporated many add-ons into the main line-up packages. This consolidation reduced the number of separate add-ons and made the product offerings more straightforward.
4. **Leveraging Data Insights:** The richness of the data provided by Conjoint was instrumental in this undertaking. Because of that data density, it was possible to accurately predict how re-packaging and reducing the number of options available to Customers will affect revenue. Shift from packages/add-ons that were to be removed to the alternatives was accurately quantified.
5. **Introducing Zoom One Bundle:** As part of the new strategy, the Pricing team designed the "Zoom One" bundle. This bundle provided a simple way for customers to purchase multi-product combinations online, further simplifying the purchasing process and enhancing customer convenience.
6. **Operational Efficiency:** By reducing the number of SKUs and simplifying the product line-up, Zoom improved its operational efficiency. This included better inventory management, reduced costs, and enhanced scalability.

Tactics

Implementing such a fundamental shift in packaging and pricing required several core elements to align successfully. The primary tactics employed by us were:

1. Data and Insights

Central to the success of this initiative was gathering accurate data and insights. As previously mentioned, conjoint studies played a crucial role in this process. To achieve high-quality results from these studies, it was essential to identify the right cohort of prospects and customers to test on. Additionally, ensuring the correct features and functionalities were tested was vital. Testing too few features would not yield meaningful conclusions, while testing too many could compromise data quality. Conjoint analysis allowed Zoom to predict revenue impacts accurately. Given Zoom's size, any change in pricing could have significant revenue implications, making precise predictions paramount.

2. Cross-Functional "Tiger Team"

Another critical tactic was establishing a cross-functional team known as the *"Tiger Team."* This team met weekly in the Pricing Forum meeting. Since pricing changes impact every team within the company—from Sales and Customer Care to Product, Engineering, Accounting, and Legal—strong communication and collaboration systems were essential. The Tiger Team ensured all departments were aligned and informed about the changes. A dedicated Project Manager oversaw the re-packaging project, coordinating a series of broad cross-functional meetings. Clarifying decision spaces and roles was also necessary to accelerate decision-making and maintain project momentum.

3. Iterative Testing

Testing was the final pillar of the project's success. We conducted a series of iterative A/B online tests to validate the results of the

conjoint studies. These tests also examined elements that could not be assessed through conjoint analysis, such as changes to website navigation and usability. This approach allowed us to refine the customer experience and ensure that the new pricing and packaging structures were effective and user-friendly.

These core elements ensured that Zoom's strategic shift was based on robust data, effective teamwork, and continuous improvement through testing. By focusing on these areas, Zoom was able to navigate the complexities of pricing and packaging changes, ultimately driving better customer outcomes and operational efficiency.

Results

The Zoom lineup has been streamlined from an overdeveloped 5-item video product suite, which included 11 add-ons advertised online (with many more available through the sales team), to a new lineup that shifts the focus of monetization away from video conferencing.

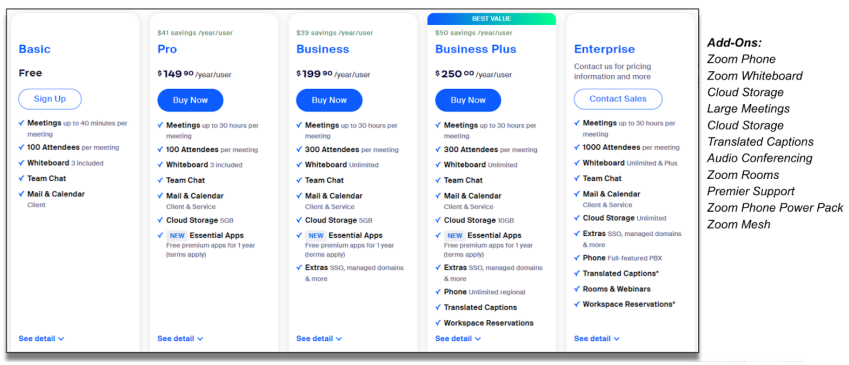


Fig.1 : Before

You will see in the after state (see Figure 2 below) how the new design enhances the online channel, reducing confusion and making it easier for customers to navigate.

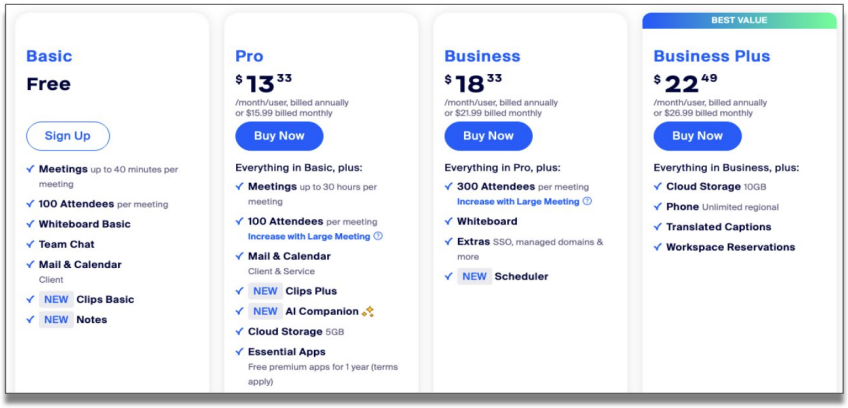


Fig.2 : After

Zoom Video Communications has reported various financial results for its different fiscal quarters in 2024 (Feb 2023-Jan 2024), reflecting on its overall performance, including the Zoom One bundle. Key highlights include:

Q4 FY2024 Financial Results

Zoom reported a total revenue of $1,146.5 million, showing a year-over-year increase of 2.6%. The Zoom One bundle significantly contributed to this growth by attracting large enterprise customers and driving a net dollar expansion rate of 115% among these customers.

Customer Growth

The Zoom One bundle has contributed to a 27% year-over-year growth in customers contributing more than $100,000 in trailing 12 months revenue. This has been pivotal in expanding its market reach.

Revenue Distribution

Enterprise revenue saw a significant increase, with the Zoom One bundle being a key product for attracting enterprise clients. This bundle includes comprehensive solutions such as Zoom Phone, Zoom Rooms, and other collaborative tools, which have been well-received by businesses.

These results underscore the importance of the Zoom One bundle in Zoom's overall strategy to boost financial performance and customer engagement. Replacing a large selection of Add-Ons by bundled solution streamlined the sales process, and attracted new Enterprise and SMB Customers.

Conclusion

Zoom's case demonstrates the importance of balancing innovation with simplicity. As companies grow and expand their product lines, it is crucial to periodically review and streamline offerings to ensure they remain user-friendly and operationally efficient.

By focusing on data-driven insights, cross-functional collaboration, and continuous testing, Zoom successfully navigated the complexities of product and pricing simplification, leading to improved customer experiences and scalable growth. Managed to transform a complex product landscape into a more streamlined and user-friendly offering.

This case study serves as a valuable example for other SaaS companies facing similar challenges in a rapidly evolving market.

Pushpay: Commoditization of Core Functionality in SaaS

> ***Context:*** *This case study explores Pushpay's strategic response to market challenges in the SaaS industry, particularly the commoditization of core functionalities and the rise of competition. It provides an in-depth look at the company's proactive approach to pricing strategy to retain market leadership.*

Company Overview

Pushpay, founded in 2011, and headquartered in Washington is a SaaS payments and technology company that provides software tools for religious organizations. These tools include a donor management system, a custom community app, a church management system (ChMS), and video streaming solutions.

The size of Pushpay operations is significant, they are the leader in the category. As of 2023[48], Pushpay serves over 10,000 churches and faith-based organizations globally, processing over $10 billion in donations annually, as per, Pushpay interim Report 2023[49].

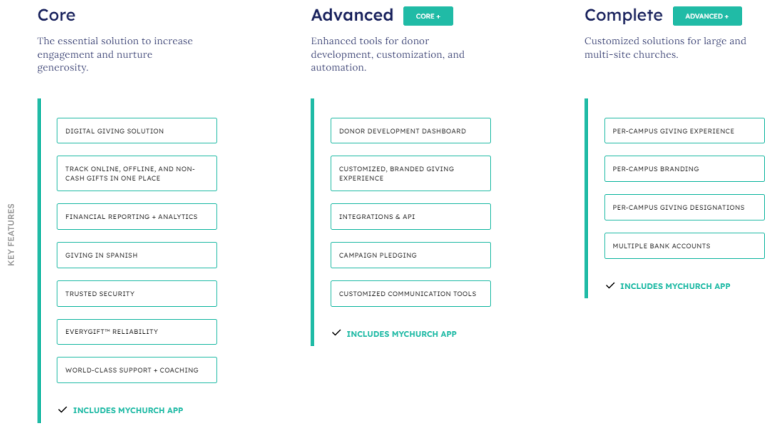
The platform's design and robust customer service have earned it numerous industry awards, including the "Best Church Management Software" by Capterra in 2022.

The success and scale was accomplished in an astonishing speed: Pushpay has been recognized for its rapid growth by Deloitte and featured by their ‘Fast 500’ list multiple times.

[48] https://www.annualreports.co.nz/wp-content/uploads/2022/10/PPH.2022.pdf
[49] https://files.q4europe.com/ClientAdmin/DownloadCenter/15607262/2022-11-08-21-42-51/Pushpay%20Interim%20Report%202023.pdf

Business Model

Pushpay operates on a subscription-based model with various pricing tiers tailored to the needs of different-sized organizations. The primary revenue streams include monthly recurring revenue (MRR) from subscription fees and transaction fees from processed donations.



Market Positioning

Pushpay has firmly positioned itself as a leader in the digital giving and church management software sector. As of March 31, 2023, Pushpay reported annual sales of USD 214.27 million, reflecting a year-over-year increase from USD 202.84 million (according to Market Screener)

The tools are known for their high-end features, easy-to-use platform, and strong customer support, which justify its higher prices. Key features include advanced analytics, integration options, and better security, which are essential for large organizations. This premium positioning has allowed the company to generate significant revenues and build a strong brand reputation.

Challenge - Emerging Competition

Despite its leadership position, Pushpay faced increasing competition from new market entrants offering similar services at lower price points. This attracted cost-sensitive customers, eroding Pushpay's market share and posing a significant threat.

Pushpay Case in Context of Market Trends

Most leading SaaS providers start with innovative products that disrupt the market. Companies like Zoom, DocuSign, Slack, Dropbox, and Evernote initially gained traction by offering unique solutions that significantly improved efficiency and productivity for their users. However, as these innovative solutions mature, their core functionalities often become commoditized. This means that what once was a unique selling point becomes a standard expectation in the market, easily replicated by new entrants.

For example, Zoom initially disrupted the market with its easy-to-use video conferencing platform, gaining a massive user base during the COVID-19 pandemic. However, as video conferencing became a standard feature in many collaborative tools, competitors like Microsoft Teams and Google Meet quickly integrated similar functionalities, often bundled with other services at no additional cost.

Similarly, DocuSign revolutionized electronic signatures, but as the technology became commonplace, competitors like Adobe Sign and HelloSign (acquired by Dropbox) offered similar capabilities, sometimes at lower price points or as part of broader service offerings.

The Common Response: Investing in Premium Features

To maintain their competitive edge and justify their premium pricing, many SaaS companies invest heavily in developing new, premium features. These enhancements are designed to add value for existing customers and attract new ones who seek advanced capabilities. However, this strategy has its limitations:

1. **High Development Costs:** Developing premium features requires significant investment in research and development, which can strain resources.
2. **Niche Appeal:** Premium features often appeal to a smaller segment of the market, typically larger organizations with more complex needs and higher budgets.
3. **Neglecting the SMB Market:** By focusing on high-end features, companies risk neglecting the small and medium-sized business (SMB) market, which is more price-sensitive and constitutes a large portion of the overall market.
4. **Time-to-Value:** Investing in premium features as a means of preventing churn and retaining market share is time-consuming, as the benefits only become apparent after extended development cycles.

The Price-Sensitive SMB Market

The SMB market is critical for SaaS providers because of its size and potential for growth. However, this segment is particularly sensitive to price changes. As lower-cost competitors enter the market, they attract SMB customers who are looking for cost-effective solutions that meet their basic needs. This shift can lead to increased churn rates among existing customers who feel that the premium pricing no longer aligns with the value they receive, especially when comparable alternatives are available at a lower cost. As an example, we can bring up Slack. Who initially captured a large share of the SMB market with its intuitive messaging platform. However, as competitors like Microsoft Teams entered the market with bundled offerings that included messaging, video conferencing, and file storage at competitive prices, many SMBs began to switch, seeking better value for their money.

Furthermore, neglecting the SaaS market risks missing out on a "land-and-expand" sales strategy, where a solution initially used by a small team within a larger organization gradually gains adoption across the entire enterprise, leading to broader and more substantial purchases.

The Rarely Considered Solution: Proactive Price Reductions

In response to commoditization and competition, proactive price reductions for existing customers at high risk of churning can be more effective than continuously adding premium features:

- Customer Retention: Price-sensitive customers are more likely to stay if they perceive good value for their money. A well-timed price reduction can significantly enhance customer loyalty and reduce churn rates.
- Market Positioning: Offering competitive pricing can help maintain market share, especially in segments where price competition is fierce. It positions the company as a customer-centric organization that values its customers' needs.
- Cost-Effective: Reducing prices for existing customers can be more cost-effective than developing and marketing new premium features.

Case Study Focus: Pushpay's Strategic Response

As a premium provider in the digital giving and church management software sector, Pushpay began to lose market share to new competitors offering similar core functionalities at lower prices. Instead of solely investing in additional premium features, Pushpay chose to proactively lower prices for its existing customers at the highest risk of churning.

Strategic Shift in Pricing Strategy

To address the challenge of losing market share, Pushpay implemented a strategic shift in its pricing strategy. The company introduced proactive price decreases for its existing customers instead of focusing solely on maintaining high price points through additional premium features.

Implementation Plan

1. Customer Segmentation: We started by segmenting our customer base to identify the most price-sensitive segments. This segmentation was based on factors that were found to be most strongly correlated with past churn. Our methodology involved calculating the correlation coefficient between churn metrics and key customer attribute metrics. For Pushpay, the best churn predictors turned out to be:

- Overall Level of Usage/Frequency of Engagement: Customers who frequently engaged with the platform were less likely to churn, while those with lower engagement levels were more at risk.
- Recent Usage Trends: Customers considering transitioning to a competitor often showed reduced usage months before deciding to terminate their relationship with Pushpay.
- Number of Customer Success Tickets Issued in the Last 6 Months: Users experiencing usability or technical difficulties were much more likely to consider alternative options. This risk increased dramatically if any of these tickets were still pending and unresolved.
- Current Price-Point and History of Price Increases: Pushpay had a history of recurring price increases, which worked well in generating short-term revenue but drastically increased the long-term risk of churn.
- Product Mix: In this case, the correlation commonly found in SaaS platforms between the number of products held and the probability of renewing the contract did not hold. Customers holding more products were not significantly more 'sticky.' However, Pushpay found that holding certain products increased the propensity to churn, which was used as an additional flag in the churn prediction.

We combined these metrics into a single churn propensity score used to identify the cohort of customers to be targeted with tailored offers and to determine the terms of these offers.

2. Personalized Pricing Reductions

Based on the segmentation, we offered tailored price reductions to the identified segments. We communicated these reductions as gestures of appreciation for their loyalty and efforts to provide better value. To avoid unilateral concessions and justify the price cuts, we requested customers to recommit to longer contracts upon receiving the discount. Price reductions ranged from 10% (the minimum impactful discount) to 30% (the maximum justifiable by contract term extension).

3. Improved Communication

We enhanced our communication strategy to ensure customers were aware of the price reductions and the continued value they received from the platform. This included personalized emails, webinars, and dedicated customer support. We used an omnichannel communication strategy (email, in-product messaging, phone) to invite customers to the repricing conversation with members of our Account Management team.

4. Iterative Approach - Monitoring and Feedback Loop

We established a robust monitoring system to track the impact of the price reductions on customer satisfaction, churn rates, and overall revenue. We collected regular feedback from Account Management, Sales, and Customers to assess the effectiveness of the strategy. Our re-pricing strategy for existing customers involved multiple rounds of price decreases. Each iteration involved analyzing customer feedback, market responses, and churn metrics, allowing us to fine-tune the offer and accurately identify the customer cohorts most sensitive to price changes. This iterative process ensured that the price reductions were both effective in retaining customers and minimized the risk of over-discounting.

Results of the Exercise

Pushpay's proactive pricing strategy was aimed at addressing competitive pressures and customer retention challenges. The results of this strategic shift were significant, demonstrating the effectiveness of their approach in reducing churn, increasing customer satisfaction, and positively impacting overall revenue. Here is a detailed breakdown of the outcomes:

1. Lower Churn Rates: The introduction of proactive price decreases significantly impacted Pushpay's customer retention. Churn rates, which had been increasing due to competitive pressure, showed a notable decrease. Customers appreciated the gesture of price reduction and felt valued, leading to increased loyalty. Pushpay observed a decrease in churn by 20%, highlighting the success of their pricing strategy.

2. Increased Customer Satisfaction: Customer satisfaction scores improved because of the pricing strategy. The enhanced communication and the perceived value of the price reductions contributed to a more positive customer experience. Many customers expressed their appreciation for Pushpay's efforts to provide better value amidst increasing competition. One might argue that the improvement in churn and customer satisfaction can be largely attributed to the personalized approach of conducting the repricing through calls or meetings. This direct outreach, where customers' concerns were heard and addressed, naturally had a positive impact on retention. Indeed, the benefits of demonstrating interest in customers' issues and providing good customer service are intertwined with the effects of repricing. However, by analyzing trends and past performance, it was possible to determine that approximately 65% of the retention improvement could be attributed specifically to the rate reductions.

3. Revenue Impact: Although the price reductions led to a decrease in monthly recurring revenue (MRR) from each individual customer, the overall impact on revenue was positive. The lowered churn rates more than compensated for the reduced MRR. Retaining existing

customers ensured a steady revenue stream and reduced the costs associated with acquiring new customers to replace those lost to churn. Consequently, Pushpay's overall revenue grew by 10%, demonstrating the effectiveness of their pricing strategy.

Conclusion

Pushpay's decision to implement proactive price decreases for existing customers in response to emerging competition proved successful. The company's ability to adapt its pricing model to address customer needs and market dynamics highlights the importance of flexibility and customer-centricity in business strategy.

This case study serves as a lesson in balancing premium positioning with competitive pricing to sustain market leadership. It demonstrates that maintaining market share and a competitive position necessitates focusing on both premium features and superior customer experience while countering lower-cost competition. This can be achieved through direct rate cuts, as Pushpay did, or by adding a low-cost, basic, or freemium package to the product lineup.

Pushpay's strategic response underscores the value of understanding customer needs and market trends, ensuring long-term success in a competitive landscape.

Epic Price Revamps at GitLab: A Conversation with Scott Williamson

> ***Context:*** *This is a summary of the "Epic Price Revamps & Wars"* [50] *podcast where Ajit Ghuman had the incredible opportunity to sit down with Scott Williamson, the former Chief Product Officer at GitLab from 2019 to 2022 and a pricing strategy turnaround at GitLab.*

As of writing this piece, Gitlab is at almost $700m in ARR, growing 33%, with 129% NRR, and 22% free-cash margin[51].

What is more interesting is that NRR is consistently high and Free Cash Flow (FCF) is also improving.

GitLab's Initial Pricing Model: The Need for Change

"When I stepped into the role, GitLab operated a multi-tiered pricing structure aimed at accommodating everyone from individual developers to large enterprises," Scott mentioned.

However, this broad approach led to significant overlap and confusion, especially between the closely priced yet feature-divergent tiers. Scott painted a vivid picture of GitLab's initial pricing setup, highlighting the confusion inherent in the old model: "We had a multi-tier system designed to cater to everyone from solo developers to large enterprises. However, this broad approach led to significant overlap between the offerings of adjacent tiers, particularly between the $4 Bronze and the $19 Silver tiers," Scott explained.

[50] https://www.youtube.com/watch?v=Hq1iSm8azFE
[51] https://www.google.com/url?q=https://www.saastr.com/5-interesting-learnings-from-gitlab-at-700000000-in-arr/&sa=D&source=docs&ust=1723055936353065&usg=AOvVaw3pW0B_dtfjA0J_qvJ67NW2

The image below illustrates the 2019 GitLab pricing tiers[52]. This visual representation highlights the feature overlap and closely priced tiers that Scott criticized for causing market confusion.

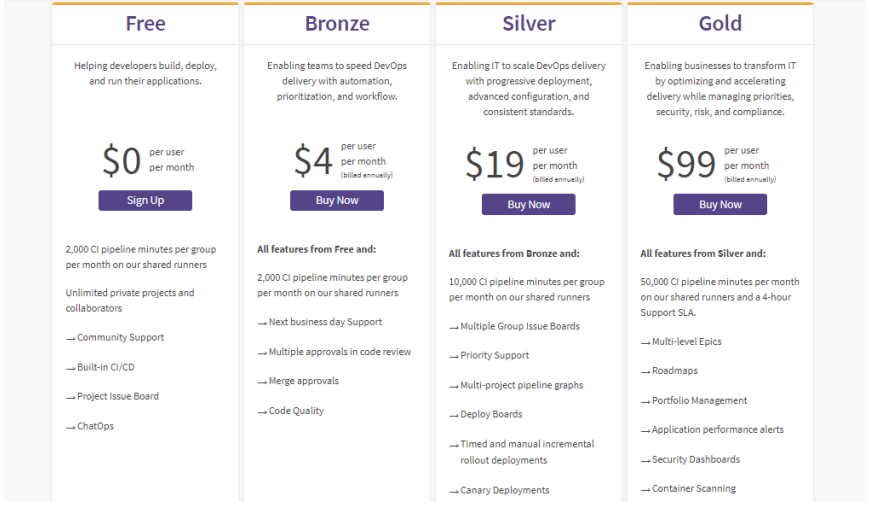


Fig.1 : GitLab 2019 Pricing Tiers

Dynamics of the 2019 Pricing Tiers

1. **Free Tier**: The free tier was designed to entice individual developers and small teams by providing just enough functionality to get started, like 2,000 CI pipeline minutes and basic project management tools. It offered a glimpse into GitLab's capabilities without full commitment.
2. **Bronze Tier**: Priced at only $4, the Bronze tier served as a stepping stone and included features like next business day support and code quality analysis. Yet, it created a comfort zone that didn't encourage moving to higher tiers. It was too close to free in price yet too far from Silver in value, offering little incentive for small businesses to upgrade despite increased feature access.

[52] https://web.archive.org/web/20191127120451/https://about.gitlab.com/pricing/

3. **Silver Tier**: At $19 per month, the Silver tier began to offer comprehensive tools like 10,000 CI pipeline minutes, priority support, and deploy boards, targeting medium-sized businesses seeking more robust DevOps solutions.
4. **Gold Tier**: The Gold tier, priced at $99, was targeted at large enterprises, offering extensive features such as security dashboards and container scanning. Despite its comprehensive capabilities, the significant price jump was often daunting for potential upgraders.

Data Integrity & Analysis

Upon reviewing GitLab's pricing, Scott faced the formidable challenge of integrating disparate types of data—financial and product usage. This integration was crucial to form a reliable basis for any pricing decisions. Financial metrics alone could depict revenue trends and customer acquisition costs, but without aligning this with detailed product usage data, the pricing model revisions would lack the necessary depth and accuracy.

The team undertook extensive data manipulation to merge these different streams, ensuring the merged data set was robust enough to inform strategic decision-making. Scott emphasized the importance of not only gathering this comprehensive data but also ensuring its accuracy and reliability. This meticulous process was essential to avoid making strategic missteps that could alienate customers or negatively impact GitLab’s revenue.

Scott detailed, "We looked at user progression, feature utilization rates, and churn data. The turning point came when we analyzed engagement and revenue data across tiers and realized that the Bronze tier was actually inhibiting growth. The tough decision to eliminate this popular tier was necessary for long-term sustainability."

Scott stressed the importance of clear communication about the value of each tier. He aimed to set clear expectations to build user understanding and trust, key for encouraging users to upgrade.

The Re-Alignment

Scott further explained that pricing at GitLab was integrated as part of the product offering: “Pricing is almost a feature of the product itself. It flows from what the product does and what it offers.”

Under Scott’s guidance, GitLab restructured its pricing tiers to align seamlessly with the functionalities and benefits provided at each level. He explained, "By embedding the pricing structure directly into the product experience, we ensure that each tier offers distinct and perceivable value to specific user groups." This strategic alignment made the transition between tiers feel more natural and justified, encouraging users to upgrade based on clear value additions.

This approach also highlighted the synergy between product development and pricing, ensuring that pricing decisions were made with a deep understanding of how users interacted with the product. "It’s about aligning our capabilities with the users’ needs at each stage of their journey, making sure that the pricing tiers reflect the evolving value we provide," Scott added.

A note on executive alignment: The pricing strategy overhaul required not only internal consensus but also external validation. Scott brought in third-party consultants to ensure objectivity: “We brought in external experts to provide a new perspective and validate our approach against the market and competitors. They helped us overcome internal biases and align our leadership around a data-driven vision.”

These consultants played a crucial role in building consensus among GitLab’s leadership, ensuring the pricing strategy was supported by empirical evidence and strategically sound.

"Their expertise was invaluable in helping us frame our pricing not just competitively but also strategically, ensuring we were positioning ourselves effectively in a rapidly evolving market," Scott reflected. This strategic decision-making was supported by comprehensive market analyses and competitive benchmarking provided by the

consultants, which were crucial for validating the new pricing models.

By eliminating the Bronze tier and enhancing the Free and Premium tiers, GitLab has simplified the decision-making process for users, making it easier to start with robust features for free and upgrade when advanced capabilities are needed. Each tier now more clearly targets specific user groups—Free for individual developers and small teams, Premium for professional teams requiring advanced tools, and Ultimate for large enterprises needing extensive security and compliance features.

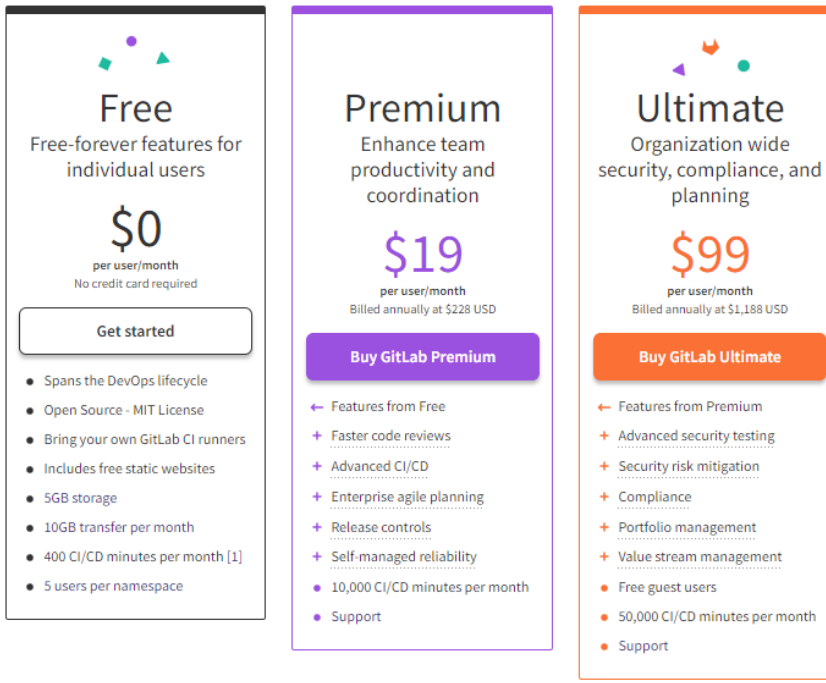


Fig.2 : GitLab 2022 Pricing Tiers

Creating Consensus With Data

Scott and his team started by merging financial data with user engagement metrics to create a comprehensive view of each tier's performance. They organized workshops to gain cross-functional consensus and held several strategy sessions across departments to discuss their findings and plan their approach.

Implementing GitLab's new strategy was the hardest part and demanded careful planning. To minimize disruption and maintain trust, Scott and his team devised a customer-centric migration plan. This plan included specific offers that allowed existing customers to transition smoothly to the new model:

1. **Renewal at the old rate:** Existing customers were given the option to renew their current subscriptions at the old rates for an additional year. This grace period was intended to provide customers ample time to adjust to the new pricing structure without immediate financial pressure.
2. **Multi-year ramp deal:** For those willing to commit to a longer-term relationship under the new pricing regime, GitLab introduced a ramp deal that gradually adjusted the pricing over several years. Starting from their current rate, customers would see a gradual increase, stepping up to the full rate over three years. This approach aimed to ease the financial impact and provide a predictable expense trajectory for budgeting purposes.

Scott emphasized the importance of communication during the phase-out of the Starter tier. "We knew this change could disrupt our current user base, so we planned an extensive communication strategy to ensure transparency and maintain trust."

"We openly shared our plans and timelines, ensuring our users were well-informed about upcoming changes. To soften the impact, we offered existing Starter tier customers special upgrade incentives, allowing them a smooth transition to higher tiers. Feedback loops

were crucial. We continually adjusted our approach based on real-time user feedback to improve the experience and address any concerns."

Reflecting on the Outcome

"The decision to streamline our pricing tiers brought significant improvements in how customers interacted with our product suite," Scott reflected. It simplified decision-making for upgrades and increased overall satisfaction. It also brought long term impact on Gitlab's revamped pricing strategy in regards to

1. **Clarity in value proposition:** Customers now have a clearer understanding of what each tier offers, which improved their conversion rates and customer satisfaction.
2. **Enhanced economic efficiency:** "This change not only helped stabilize their revenue but has also fostered a healthier upgrade cycle among their user base.

The win wasn't small, but it was definitely a stepping stone towards great improvements and better impact. The shift at GitLab mirrors a growing trend in the SaaS market where companies focus on delivering and communicating clear value at each pricing tier.

Concluding our conversation, Scott left me with enduring advice: "Pricing strategy is a continuous journey. It requires a deep understanding of your customers, a willingness to make tough decisions, and the agility to adapt based on market feedback. Always keep the customer's perceived value at the forefront of your pricing decisions."

Building Product for Total Cost of Ownership with Ariel Assaraf, CEO Coralogix

> *In this summary of the "**Episode 1: Building Product for Total Cost of Ownership**" podcast[53], I had the incredible opportunity to sit down with Ariel Assaraf, CEO of Coralogix.*

Coralogix is a technology company specializing in log analytics and observability solutions. Founded in 2014, Coralogix helps organizations gain insights from their log data by offering a comprehensive platform that includes real-time monitoring, machine learning-based anomaly detection, and integration with various tools and services.

In this podcast we discuss not just pricing strategy for yet another SaaS product, but we discussed how Ariel leveraged the pricing and marketing dynamics in a specific market to build an economically differentiated product at Coralogix.

Understanding the Market Dynamic

"Data is growing exponentially. It's simple: *data grows faster than revenue*. Doesn't matter how much your company will grow; data will outpace that," says Ariel Assaraf, CEO of Coralogix, highlighting a critical issue in the observability sector. Traditional pricing models in this space have struggled because these models create a sort of fake NRR, as spend increases alongside the ballooning of data.

Ariel explains the paradox many companies face: "For observability and security, the more data you have, the less you know. The more you pay, the more inferior your performance gets." This challenge is

[53] https://www.youtube.com/watch?v=S-Z_sqzg0-0

compounded by the expensive and often sluggish processes of storing and indexing vast amounts of data.

Diving deeper into the issue, Ariel states, "In an environment dominated by traditional storage and indexing methods, businesses find themselves trapped in a cycle of escalating costs without corresponding gains in insights or operational efficiencies. As data volumes grow, systems become increasingly sluggish, turning what should be a competitive advantage—data—into a cumbersome liability."

To combat these inefficiencies, Ariel shares Coralogix's innovative approach: "We had to rethink our strategy from the ground up. Instead of sticking to conventional data management practices, we prioritized innovative solutions emphasizing data analysis over data storage. This shift cuts down our storage costs and boosts our ability to derive meaningful insights quickly and efficiently."

Coralogix's Initial Market Realization

Initially, Coralogix attempted to create intelligence on top of existing products. However, Ariel and his team quickly realized that integrating into existing systems and adding value in a cost-effective way for customers presented considerable challenges.

Recognizing these obstacles, Coralogix significantly pivoted at the end of 2017. Ariel describes this period as a fresh start: "We had to essentially restart the company from scratch, beginning of 2018 with a small team and a clear focus." This new direction wasn't just about survival but about rethinking how to deliver value in the observability space—a sector dominated by established players and complex data challenges.

"We restarted our journey in early 2018 with five people, no customers, and no revenue," Ariel recounts. This moment was critical—it marked a pivot that would redefine the company's trajectory.

Pioneering a Pricing Revolution

"One of the key learnings from our initial years was the power of the pricing page on your website. It's one of the most powerful messaging pages," Ariel explains. In the highly competitive observability market, where differentiation is challenging due to technical parity among competitors, Coralogix opted to innovate through its pricing strategy.

When Coralogix first launched, the initial pricing strategy was a one-size-fits-all model. Ariel and his team realized that traditional pricing models did not cater effectively to the varying needs of their customers, nor did they reflect the actual value delivered."In a landscape where traditional storage and indexing methods dominate, businesses find themselves trapped in a cycle of escalating costs without proportional gains in insights or operational efficiencies. As data volumes grow, the systems become increasingly sluggish, transforming what should be a competitive advantage—data—into a cumbersome liability.

To address this, Coralogix introduced a flexible pricing model aligned more closely with customer usage and the value they derived from the service. "We moved away from a one-size-fits-all approach, recognizing that each customer's needs are unique. By aligning our pricing with the specific value customers gain from our platform, we enhanced customer satisfaction and positioned ourselves distinctively against our competitors."

"This flexibility became a game-changer in our growth trajectory, significantly boosting our customer acquisition and retention rates," Ariel reflects on the impact of their innovative pricing.

The company’s current pricing model reflects the company's continuous evolution and commitment to meeting customer needs through flexible, transparent pricing. The model features a unit-based pricing structure, where customers pay per gigabyte (GB) of data ingested, with costs varying based on the type of data and its use case:

- Frequent Search: $1.15 per GB
- Monitoring: $0.50 per GB
- Compliance: $0.17 per GB

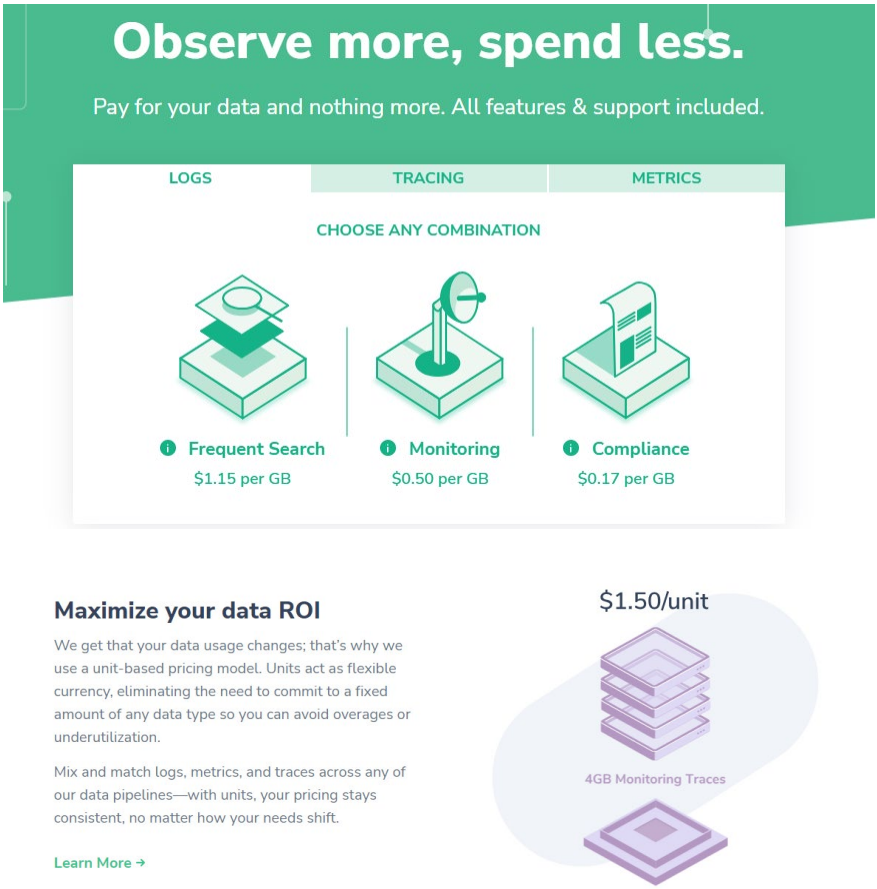


Fig.1 : Coralogix's Current Pricing as of 2024

This approach allows customers to choose any combination of these categories, ensuring they only pay for the data they use, tailored to their specific requirements. This pricing model maximizes data ROI by acting as flexible currency, eliminating the need to commit to a fixed amount of any data type, thereby ensuring cost control by preventing overages or underutilization.

Ariel explains, "Our goal with the current pricing model is to provide maximum flexibility and value to our customers. By allowing them to mix and match logs, metrics, and traces across our data pipelines,

we ensure consistent pricing regardless of how their needs shift." This model supports a broad spectrum of customer needs, from startups with minimal data requirements to large enterprises with extensive data needs.

Innovative Approach: Analyze Before Indexing and Aligning Technology with Pricing

Coralogix's strategy revolved around "analyze before index," a methodology allowing significant cost reductions and efficiency improvements. "We used to rely on the index for storage, but today, we analyze about 70% of the data that goes through Coralogix without storing it anywhere," Ariel notes. By analyzing data before storing it, Coralogix significantly reduced storage costs while enhancing data processing speed and relevance.

Ariel explains, "We realized that traditional data storage methods were unsustainable. We needed to handle massive loads of data without incurring prohibitive costs." The traditional approach of indexing all incoming data increased storage expenses and slowed down data retrieval and processing times, impacting overall system performance.

"We had to rethink our strategy from the ground up. Instead of sticking to conventional data management practices, we prioritized innovative solutions emphasizing data analysis over data storage," Ariel explains.

To implement this, Coralogix implemented a multi-faceted product strategy:[54]

1. **Embedding Databases in Streams:** By embedding a database into each stream, Coralogix could process data in real-time, only storing what was necessary. This approach ensured that data was analyzed and actionable insights were generated before any storage decisions were made.

[54] https://aws.amazon.com/blogs/startups/coralogix-sees-the-forest-for-the-logs/

2. **Using HyperLogLog for Memory Efficiency:** Coralogix utilized HyperLogLog, a probabilistic data structure, to reduce memory footprints while maintaining the ability to count unique items efficiently. This technique allowed Coralogix to handle large volumes of data without significant memory overhead.
3. **Stateful Stream Processing:** "We needed to handle known knowns and known unknowns without storing all raw data. By baking our assumptions into the stream, we could dynamically analyze and process data," Ariel explains. This method involved creating pre-defined assumptions and allowing customers to add their own, ensuring that the most relevant data was captured and analyzed in real time.

By analyzing data before deciding on its storage, Coralogix cut down on unnecessary storage costs and improved its data processing workflows' overall efficiency and speed.

A critical aspect of Ariel's strategy was aligning technology development with pricing goals. "We thought, let's handle massive loads of data and offer a new pricing model that others didn't in the past," Ariel states.

Structuring the Team for Innovation

Ariel's leadership extended beyond strategy to operational excellence. He discusses the integral role of collaboration between the go-to-market team, the CTO, and himself in rapidly iterating based on market feedback. "The main stakeholders were the go-to-market team, the CTO, and myself. We spent an average of 10 hours a day together, constantly refining our product and pricing based on market responses," Ariel shares. This tight integration allowed Coralogix to stay agile, responding quickly to market changes and customer needs.

Ariel explains how this collaborative approach facilitated rapid iteration and innovation. "We had a constant feedback loop. The go-to-market team would bring in market responses, and together with

the CTO, we would brainstorm and implement changes swiftly. This process ensured we aligned with customer needs and market demands."

By fostering a culture of continuous improvement, Coralogix maintained its competitive edge and drove growth. "Our ability to iterate quickly and efficiently was a major factor in our success. It allowed us to adapt to changes and meet the evolving needs of our customers," Ariel highlights.

One significant innovation was moving data processing to the customer's storage, reducing costs and improving efficiency. "When you use the customer's storage, you stop becoming a cloud reseller. I don't need that markup, and everyone enjoys the cost savings," Ariel explains. This strategy allowed Coralogix to offer competitive pricing while maintaining high margins.

Ariel emphasizes the importance of this approach, "We wanted to ensure that our pricing model was not only competitive but also fair. By leveraging customers' storage, we could reduce costs and pass those savings on to them." This method improved customer satisfaction and helped Coralogix stand out in a crowded market. It demonstrated Coralogix's commitment to providing value while maintaining operational efficiency and cost-effectiveness.

Adapting to Market Changes

Coralogix's ability to dynamically adjust to market changes is a cornerstone of its strategy. "We track how customers move data between different use cases and adjust our pricing accordingly," says Ariel, highlighting the company's responsive strategy. This flexibility ensures that Coralogix remains competitive regardless of market conditions.

Ariel explains, "We needed to create a system that could adapt to market fluctuations. By closely monitoring customer data usage patterns, we could adjust our pricing and offerings to better meet

their needs." This approach allowed Coralogix to stay ahead of the competition and provide value to their customers.

Results, Market Impact, and Future Outlo*ok*

The results of Coralogix's innovations were striking. *"We actually decreased our price per unit per gigabyte by 70% while increasing margins, almost doubling them*," Ariel notes. These impressive results underscored the effectiveness of Coralogix's strategy in balancing cost efficiency with high performance.

"We understand that the market is constantly evolving, and so must we," Ariel explains. "Our goal is to stay ahead of the curve by continuously innovating and adapting our strategies to meet the changing needs of our customers." This proactive approach involves reacting to market shifts and anticipating them, allowing Coralogix to remain a leader in delivering value-driven solutions.

By integrating these insights, Coralogix demonstrates how a relentless focus on improvement and alignment with market demands can lead to sustainable success. Ariel's vision and leadership continue to guide the company towards new heights, ensuring that Coralogix not only meets but exceeds its customers' expectations.